

::投資評等::

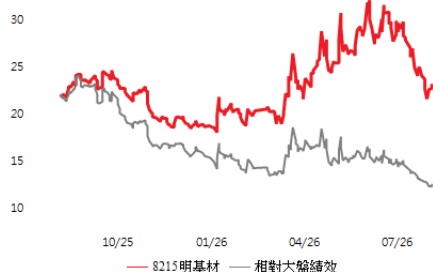
投資評等	區間持有
目標價	25.00
收盤價	23.30
隱含漲幅(%)	7.30
評價區間	1.5X - 1.6X(PBR)
訪談類型	法說會

::基本資料::

市值(億元)	74.7
月均量(張)	1,003
每股淨值(元)	14.97
PER	-18.79
PBR	1.56
外資持股(%)	1.60
投信持股(%)	0.56
資使用率(%)	3.97
券使用率(%)	0.02

報告日期	評等	目標價
20260506	買進	34.00
20251112	買進	22.00

::近一年個股與大盤報酬率比較::



::研究員聯絡方式::

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明基材(8215)

- 公司期望醫療產品線在2026年全年達到雙位數成長

投資建議

明基材(8215)投資評等區間持有，目標價 25.0元；隱含報酬率 7.3%，預估2026年稅後EPS -1.24元，每股淨值 15.23元，投資建議在本淨比 1.5~1.6倍區間，主要理由如下：

- (1). 預期第三季旺季力道將不如去年，仍可望對公司帶來一定助益。
- (2). 今年持續佈局半導體材料與光通訊領域。
- (3). 公司期望醫療產品線在2026年全年達到雙位數成長。

內容摘要

■ 預期第三季旺季力道將不如去年，仍可望對公司帶來一定助益
2026年上半年受惠世足賽帶動電視拉貨需求，不過賽事結束後，下半年電視市場需求將回歸平淡；IT及手機市場則受到記憶體供應吃緊影響，部分產品出貨受到干擾。第三季雖仍為手機傳統旺季，但旺季力道將不如去年，仍可望對公司營運帶來一定助益。

■ 今年持續佈局半導體材料與光通訊領域

半導體材料佈局：公司於半導體模材領域布局，仍與客戶討論具體產品方向。子公司「碩成」在CMP製程後清洗用刷輪已有明顯進展。光通訊領域佈局：在CPO（共封裝光學）領域聚焦散熱模組與膠材開發，目前處於與客戶合作的前期開發階段。

■ 公司期望醫療產品線在2026年全年達到雙位數成長

明基材積極衝刺醫療材料，今年醫療應用可望雙位數成長，年底營收比重可望接近 35%，目標 2~3年內衝到5成，將成為公司最大營收來源。

:: 年度EPS預估::

單位：億元、元

年度	營收	毛利率 (%)	營益率 (%)	業外收支率(%)	股本	稅前純益	稅前EPS	稅後EPS
2022	155.4	19.8	4.5	6.8	32.1	17.6	5.47	4.04
2023	171.3	18.6	3.5	0.2	32.1	6.3	1.97	1.29
2024	185.9	18.1	2.4	-0.6	32.1	3.3	1.03	0.62
2025	178.5	14.5	-2.1	0.3	32.1	-3.2	-0.99	-1.14
2026(F)	185.6	13.8	-2.6	0.7	32.1	-3.6	-1.11	-1.24

:: 訪談內容 ::

■ 公司簡介：

公司簡介：

透過核心技術交叉運用，產品從單一偏光片，擴增光學膜

(3D、觸控相關)、綠能機能膜等高附加價值光學材料；更跨足醫護產品，以自有品牌進入消費市場等

1. 明基材料於1998年7月成立，初期生產光碟片，以高品質、高容量產品，有鑑於平面顯示器產業快速發展，憑集團垂直整合優勢，積極投入偏光片事業。
2. 為確保能提供客戶最完整之解決方案，明基材料堅持研發自主，並擁有多項核心技術，包含：延伸、光學、高分子、射出與押出、捲對捲、精密塗佈、精密雕刻及配方等。
3. 2005年偏光片正式量產，展開全球佈局。目前製造和銷售據點，包含台灣（桃園、龍潭、雲林）、中國大陸（蘇州、深圳、廈門）、馬來西亞（吉隆坡、檳城、柔佛）和新加坡。2010年11月，掛牌上市。隱形眼鏡的醫護產品於2012年正式在台灣上市。
4. 持續不斷提供創新且具價格競爭力的產品是明基材料一直以來的核心精神，此外，更積極擴展業務邁入其它相關領域，如戶外面板、觸控面板、3D應用、Xpore高階特殊材料貼合代工等。
5. 明基材持續轉型，光儲存(光碟片)自1998年開始生產為BMC 1.0。機能膜自2005年偏光片產品商品化及2009年觸控光學膜產品商品化，為BMC 2.0。目前的品牌延伸多元應用的BMC 3.0。

■ 產品組合：

1. 主要產品包括：產品從單一偏光片，擴增光學膜(3D、觸控相關)、綠能機能膜等高附加價值光學材料。
2. 2026Q2產品營收佔比：機能膜Function Film佔 70%、醫療產品Healthcare佔 30%。
3. 過去醫療產品比重約 12~13%，2025Q3開始醫療產品比重達 30%。
4. 機能膜產品，包含：偏光片、觸控光學膜、智慧調光膜、電池隔離膜。
5. 醫療產品，包含：專業醫材、隱形眼鏡、滅菌包材、專業衛材、皮膚護理。

產品組合

年別	2025	%	2026(F)	%	%
產品別	營收	占比	營收	占比	YOY
機能膜產品	119.6	67	120.6	65	0.9
醫療產品	58.9	33	65.0	35	10.3
合計	178.5	100	185.6	100	4.0

節能綠色事業: 鋰離子電池性能與安全上的重要角色:

隔離膜位於鋰離子電池的正、負極之間，主要功能是防止正負極接觸造成電流短路，同時提供渠道可使鋰離子移動的微結構，在鋰離子電池的性能與安全性上扮演著很重要的角色，被視為鋰離子電池四大關鍵材料

(三層隔離膜產品~有機會打破UBE(宇部興產)、CELGARD兩者獨大局面)

純電車~要求“電能儲存量大”

油電車~要求“輸出功率大”

公司隔膜目前主攻“油電車”

產品與技術簡介：

1. 產品線：

事業分類	產品特色
偏光片	■ 目前已成功開發五項偏光片模種：WV Series、Normal Type、VA Series、Double Zero-TAC 及 Circular Polarizer 以滿足客戶端需求。 ■ 面板廠搶進車載、大型戶外看板等市場，明基材也開發出高耐候、異形加工的偏光片、OCA、防爆膜等產品。
醫療器材	■ 近期也跨足醫護產品，以自有品牌進入消費市場。 ■ 隱形眼鏡、Skin care、醫療包材、專業醫療的醫護產品。
機能膜	■ 含車用之新開發機能膜產品，目前隔離膜已出貨一家日系油電混合車的客戶，同時亦擴展中國大型巴士、電動工具以及泰國大巴及電動廠等客戶。

2. 鋰電池隔離膜狀況，EV車銷售不佳。明基材主攻油電混合車還好，客戶需求穩定。鋰電池是很大的產業，應用端也是很不一樣，有看到一些國家的太陽能儲能或工業基站需求多。

明基材從核心能力佈局醫療事業：

1. 基於雄厚的核心技術，材料科學為核心。包含：光學、卷對卷製程、射出押出、高分子合成、精密塗佈、精密雕刻等技術。提供：拉伸、成(吹)膜、表面塗布、貼合等服務。
2. 明基材從核心能力佈局醫療事業：核心材料與技術、成品、客戶與通路。
3. 核心材料與技術，包含：水膠體、水凝膠、矽膠、殼聚糖、PVA泡棉、製膜技術、不織布、透氣膜。
4. 成品，包含：derma Angel皮膚護理、Anscare止血/手術黏合/傷口護理、Cenefom眼科/耳鼻喉科手術耗材、SIGMA滅菌包材、WEB PRO防護衣/不織布濕巾/乾巾、miacare隱形眼鏡、Gem Monster隱形眼鏡。
5. 客戶與通路，包含：醫材製造商、醫院臨床、藥局通路、軍用。

預期明基材2026年醫療事業營收佔比超過 50%

預期明基材2026年醫療事業營收佔比超過 50%，每年雙位數成長，營收成長利潤攀升。朝向幾個方向進行：深耕既有客戶、擴大區域客戶數、增加高附加值產品比重、合併與收購。

1. 公司目標在2026年，醫療營收佔比 50%以上，消費性產品比較依賴行銷能力，專業性產品偏向我們的產品與技術能性，相信這兩塊都能夠貢獻出成長的目標。
2. 醫療器材品牌對醫療器材公司的要求：法規認證管理、自主研發能力、永續材料應用、多國生產基地。

■ 營運狀況：

1. 明基材(8215) 2026年第二季合併營收49.46億元，季增9%、年增12%，毛利率15%，較第一季提升3個百分點，營業虧損收斂至1.05億元，EPS -0.32元；累計上半年營收94.92億元、年增5%，EPS -0.96元。
2. 明基材2026年年第二季受惠OLED及車用顯示器新機種開始放量，帶動相關產品出貨成長，雖然電視、IT及手機等消費性顯示市場需求仍存在變數，但OLED及車用產品可望持續提供下半年營運成長動能。

■ 未來展望：

1. 展望2026年，明基材表示上半年受惠世足賽帶動電視拉貨需求，不過賽事結束後，下半年電視市場需求將回歸平淡；IT及手機市場則受到記憶體供應吃緊影響，部分產品出貨受到干擾。第三季雖仍為手機傳統旺季，但旺季力道將不如去年，仍可望對公司營運帶來一定助益。
2. 展望2026年下半年，OLED及車用新機種仍將是營收成長主要動能，但TV、Monitor及NB等傳統顯示器市場需求相對平緩，終端需求能見度仍有限，公司將審慎觀察市場變化。此外，偏光片事業亦面臨成本壓力。
3. 顯示器事業布局：車用顯示器隨著第二季新車款陸續導入，出貨動能持續提升，預期將延續至下半年；OLED方面，自第二季開始已有客戶新機種放量，第三季仍將持續增溫，可望帶動OLED產品營運持續改善。不過近期記憶體價格持續走高，可能影響部分OLED手機新機上市時程，後續仍將持續觀察終端市場需求及供應鏈變化。
4. 醫療事業布局：明基材表示今年第二季及上半年醫療事業營收皆維持約一成的年成長，其中消費性醫療、專業醫療及醫療包材皆維持穩健成長，下半年雖不預期出現爆發式成長，但隨著新市場及新客戶持續拓展，醫療事業仍是公司重要成長動能。
5. 半導體材料布局：明基材也持續布局半導體膜材。總經理劉家瑞表示，目前重點產品包括晶圓研磨膠帶及CPO相關膠材，目標於2026年底完成客戶驗證，並以既有膠材技術為基礎，持續拓展半導體及光通訊等高附加價值應用，後續將視客戶驗證進度及市場需求規劃產能配置。
6. 半導體材料布局：旗下碩晨科技負責的CMP研磨材料，產品已開始出貨至晶圓廠，另有指標性大客戶仍在驗證階段，目前營收及獲利占比仍有限，但若今年取得指標客戶突破，並順利於明年上半年導入韓國大型客戶，將可望對公司營運帶來較明顯貢獻；隨著全球持續擴大半導體投資，公司看好相關業務長期發展。

::表 季EPS回顧(單位：億元)::

項目	2026Q2	QoQ	YoY	華南預估	差異(%)	市場同業	差異(%)	原因簡述
營業收入	49.5	8.8	11.9	47.3	-4.3	47.0	-4.9	需求減少
營業毛利	7.4	37.0	61.6	11.7	58.4	7.8	5.0	匯率影響
營業利益	-1.1	--	--	5.0	--	0.4	--	產品組合
稅前純益	-0.7	--	--	2.2	--	0.5	--	匯率影響
稅後純益	-0.8	--	--	1.8	--	0.3	--	匯率影響
稅後EPS	-0.32	--	--	0.56	--	0.10	--	匯率影響
毛利率	15.0			24.8	--	16.5	--	醫療產品加持
營益率	-2.1			10.6	--	0.8	--	
稅後淨利率	-1.7			3.8	--	0.7	--	

資料來源：公開資訊觀測站、CMoney、華南投顧整理

::表 獲利預估修正(單位：億元)::

年度	2025	--			
項目	實際	原估	新估	差異(%)	修正理由簡述
營業收入	178.5	--	--	--	--
營業毛利	25.8	--	--	--	--
營業利益	-3.8	--	--	--	--
稅後純益	-3.4	--	--	--	--
稅後EPS	-1.14	--	--	--	--
毛利率	14.5	--	--	--	--
營益率	-2.1	--	--	--	--
稅後淨利率	-1.9	--	--	--	--

資料來源：CMoney、華南投顧整理

::表 股利概況::

年度	現金股利(元)	股票股利(元)	現金股利殖利率(%)	平均填息天數	平均填權天數
2018	0.60	0.00	2.46	3	--
2019	0.50	0.00	2.61	24	--
2020	0.70	0.00	2.17	1	--
2021	1.50	0.00	5.07	5	--
2022	2.00	0.00	4.62	--	--
2023	1.20	0.00	3.43	--	--
2024	0.62	0.00	2.71	3	--
2025	0.30	0.00	1.23	1	--

資料來源：CMoney、華南投顧整理

::各季EPS預估::

單位：億元、元

年季	營收	毛利率(%)	營益率(%)	業外收支率(%)	股本	稅前純益	稅前EPS	稅後EPS
202501	45.8	20.2	5.0	-3.2	32.1	0.8	0.26	0.15
202502	44.2	10.4	-6.0	6.3	32.1	0.2	0.05	0.01
202503	45.2	16.0	-0.1	-1.6	32.1	-0.8	-0.25	-0.28
202504	43.3	10.9	-7.7	-0.1	32.1	-3.4	-1.05	-1.02
202601	45.5	11.9	-5.3	1.1	32.1	-1.9	-0.59	-0.64
202602	49.5	15.0	-2.1	0.8	32.1	-0.7	-0.21	-0.32
202603(F)	47.3	14.8	-1.7	0.1	32.1	-0.8	-0.23	-0.20
202604(F)	43.4	13.3	-1.5	0.9	32.1	-0.3	-0.08	-0.08

::單月營收概況及預估::

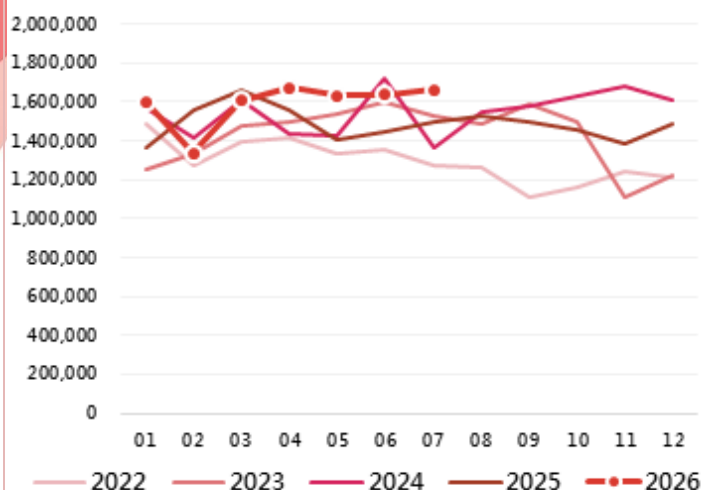
單位：億元

年\月	一	二	三	四	五	六	七	八	九	十	十一	十二
2025	13.6	15.6	16.6	15.6	14.1	14.5	14.9	15.2	15.0	14.6	13.8	14.8
2026	16.0	13.4	16.1	16.8	16.3	16.4	16.6	15.1	15.5	15.2	13.8	14.3
MOM	8.0	-16.4	19.9	4.3	-2.6	0.5	1.5	-9.1	2.3	-1.6	-9.1	3.6
YOY	17.6	-14.2	-3.1	7.2	16.0	13.0	11.4	-0.7	3.1	4.3	0.1	-3.3
2025	45.8			44.2			45.2			43.3		
2026	45.5			49.5			47.2			43.4		
QOQ	5.1			8.8			-4.5			-8.1		
YOY	-0.7			11.9			4.6			0.4		

::財務資料::

年季度	負債 比率(%)	流動 比率(%)	速動 比率(%)	應收帳款 週轉天數	存貨 週轉天數	營業 費用率 (%)	每股營業 現金流量	資產 報酬率 (%)	股東權 益報酬率 (%)
202403	62.8	113.4	66.3	75.0	84.8	17.2	0.1	0.3	0.7
202404	63.3	115.4	70.3	71.6	76.6	15.8	-0.6	0.3	0.9
202501	64.1	112.6	65.4	78.2	87.7	15.2	0.9	0.3	0.7
202502	65.3	107.5	56.7	71.0	86.4	16.3	1.9	0.0	0.0
202503	66.4	107.2	57.7	67.7	94.8	16.2	-1.5	-0.4	-1.2
202504	67.5	106.2	57.1	72.7	95.2	18.6	-0.1	-1.4	-4.1
202601	68.2	104.6	57.0	70.1	90.2	17.1	-0.1	-0.9	-2.6
202602	69.5	105.9	56.8	69.1	89.4	17.1	0.8	-0.4	-1.1

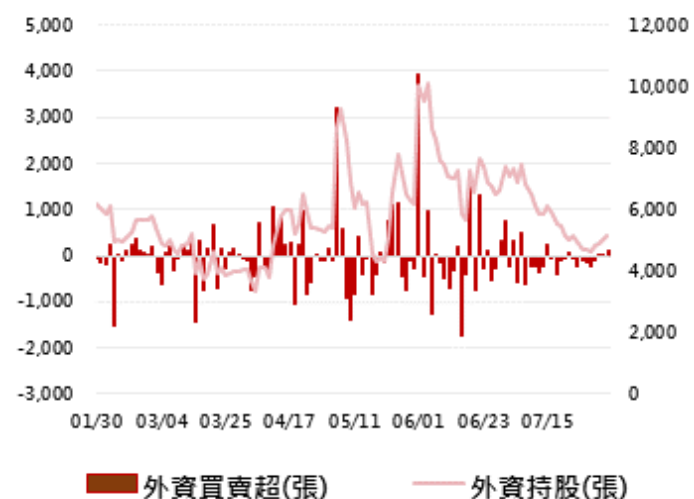
近五年營收走勢(單位：千元)



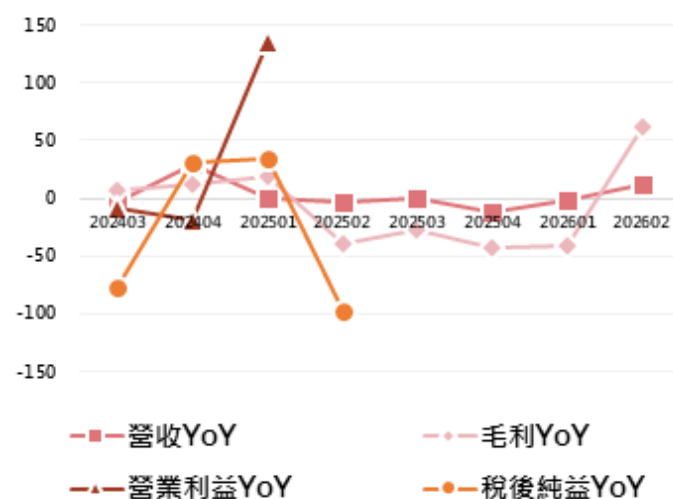
毛利率、營益率、EPS走勢(%、元)



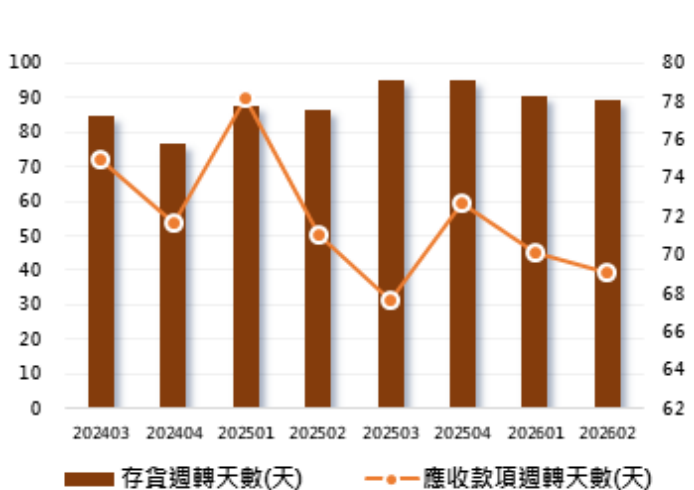
外資買賣超(張)、外資持股(張)



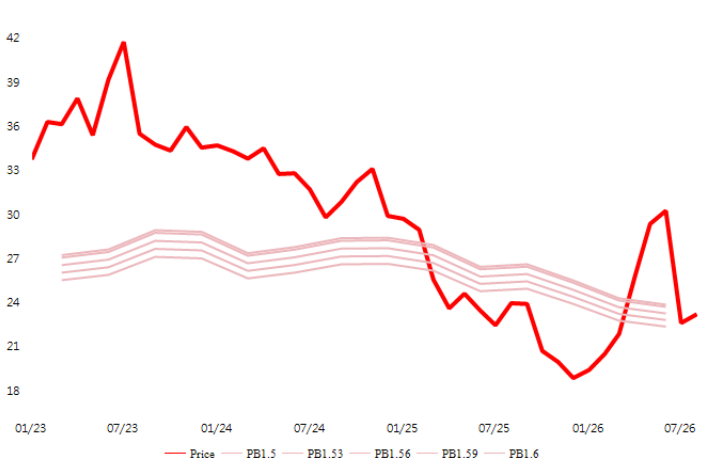
營運狀況年增率



存貨及A/R週轉天數



歷史PB區間



個股投資建議與目標價三年歷史趨勢：



:: 個股投資建議與目標價::

編號	發佈日期	收盤價(元)	目標價(元)	投資評等	研究員
1	20260805	23.30	25.00	區間持有	陳逸民
2	20260506	28.40	34.00	買進	陳逸民
3	20251112	19.50	22.00	買進	陳逸民
4	20250805	21.90	23.00	區間持有	陳逸民
5	20250506	23.20	25.00	區間持有	陳逸民
6	20250203	29.80	32.00	區間持有	陳逸民
7	20241209	33.95	36.00	區間持有	陳逸民
8	20241104	32.90	35.00	區間持有	陳逸民

::評等定義::

投資評等	定義
強力買進	未來一季報酬預期有25%以上空間
買進	未來一季報酬預期有10~25%空間
區間持有	未來一季報酬預期有0~10%空間
中立	未來一季報酬預期空間<0%

::免責宣言::

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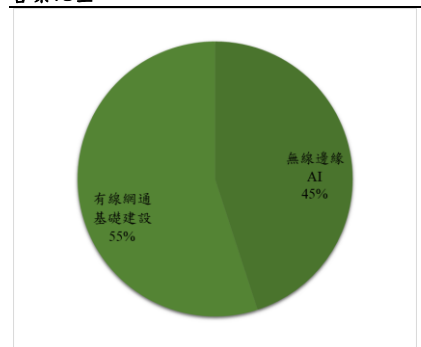
2026/08/05

潛在漲幅	14.78%
前日收盤價	575.00 元
目標價	660.00 元
前次目標價	650.00 元
前次評等	中立

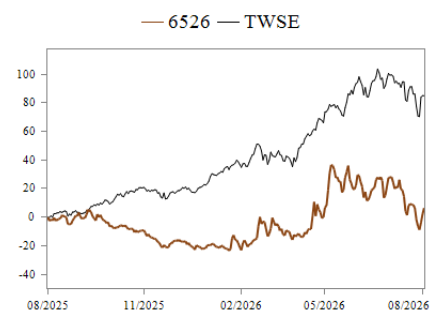
公司基本資訊

目前股本(百萬元)	1,675
市值(億元)	963
目前每股淨值(元)	107.03
外資持股比(%)	7.22
董監持股比(%)	66.41

營業比重



個股與大盤走勢(%)



賴彥維
Benson.lai@ctbcis.com

IC 設計

達發 (6526 TT)

調升評等(UG)

增加持股(Overweight)

財報略遜預期，光通訊業務展望更為樂觀

- 2Q26 財報略遜預期，3Q26 預期穩健成長
- 光通訊業務成長 4 倍以上，2027 年再成長 3 倍以上
- 漲價因應供應鏈成本上升，仍須關注獲利能力

2Q26 財報略遜預期，3Q26 預期穩健成長：達發於 8/4 舉行法說會，2Q26 營收 62.9 億元(QoQ+15%，YoY+14%)，表現優於預期，各產品線均表現強勁，毛利率 51.2%(QoQ-1.5ppts，YoY+0.7ppt)，低於市場共識 52.4%，主因受到供應鏈成本上升影響，營益率 15.0% (QoQ+0.1ppt，YoY+0.2ppt)，EPS 5.25 元，低於市場共識 5.46 元。公司預期受惠有線網通事業群 AI 基礎建設相關產品以及無線邊緣 AI 事業群商用耳機等新產品放亮，3Q26 整體營收可望持續穩健成長。

多項產品展望正向，光通業務尤為亮眼：公司對多項產品池正向看法，包含光通訊、寬頻、商用耳機等業務皆有顯著成長。光通訊方面，公司預期 2026 年全年營收貢獻將是 2025 年四倍以上(原預期三倍)，營收占比預期達中個位數百分比，2027 年在 100G 產品出貨下，預期有望再度成長 3 倍以上。寬頻業務受惠 10G PON 出貨近翻倍，25G 產品預期 2027 年量產。與 CSP 合作之帶外管理 OOB 產品預期市場規模在 2026~2028 年逐年翻倍。商用耳機 2H26 同樣翻倍成長，高階應用占比提升有利推升 ASP。

漲價因應供應鏈成本上升，仍須關注獲利能力：公司與大多 IC 設計商同樣面臨上游成本漲價影響，包含記憶體、封測、晶圓及代工等皆有漲價影響，公司透過與客戶協商轉嫁成本，並藉由母公司集團力量確保上游產能，預期 2026 年毛利率仍可維持 50%。營業費用方面，2026 年開啟 200G SerDes IP 授權有相關資源投入，預期全年費用年增約 10%，整體而言，公司在毛利率及費用方面預期略低於市場共識。

評價：我們認為公司光通訊業務展望優於先前預期，雖然公司財報及獲利表現略遜預期，但公司股價已有所回落，因此我們上調評等至「增加持股」，目標價 660 元(2027 年 EPS x 24 倍 PER)。**風險因子：**光通訊成長性不如預期。

(百萬元)	2022	2023	2024	2025	2026F	2027F
營業收入淨額	18,781	13,576	19,122	20,926	24,706	29,642
營業毛利淨額	9,042	6,322	10,005	10,865	12,770	15,434
營業利益	3,353	1,011	2,876	2,908	3,989	5,412
稅後純益	2,894	969	2,692	2,901	3,649	4,841
公告基本 EPS(元)	19.90	6.47	16.10	17.32	--	--
調整後 EPS(元)	--	5.84	16.07	17.32	21.77	28.90
營業收入 YoY(%)	5.91%	-27.72%	40.86%	9.43%	18.06%	19.98%
稅後純益 YoY(%)	49.45%	-66.51%	177.72%	7.76%	25.78%	32.69%
本益比	--	84.86	41.89	25.05	26.40	19.89
本淨比	--	5.54	6.09	3.76	4.64	3.77
股息(元)	15.00	4.96	12.50	13.50	16.98	22.54
殖利率(%)	2.41%	0.67%	2.28%	1.97%	2.95%	3.92%
ROE(%)	44.43%	7.72%	15.38%	15.31%	18.21%	20.91%

2026/08/05

圖表一：季度財報與預估差異

損益表 (單位：百萬元)	2Q26					3Q26(F)				
	實際數	中信預估	差異	市場共識	差異	調整後	調整前	差異	市場共識	差異
營業收入	6,289	5,906	6.5%	5,939	5.9%	6,540	6,427	1.8%	6,231	5.0%
營業毛利	3,217	3,097	3.9%	3,111	3.4%	3,365	3,366	0.0%	3,251	3.5%
營業利益	943	910	3.6%	999	-5.6%	1,086	1,087	-0.1%	1,076	0.9%
稅前純益	1,027	980	4.8%	1,067	-3.7%	1,156	1,157	-0.1%	1,145	1.0%
稅後淨利	880	838	5.0%	928	-5.2%	986	987	-0.1%	981	0.5%
EPS(元)	5.25	5.01	5.0%	5.46	-3.7%	5.89	5.89	-0.1%	5.86	0.4%
財務比率(%/百分點)										
毛利率	51.2%	52.4%	-1.3 pts	52.4%	-1.2 pts	51.5%	52.4%	-0.9 pts	52.2%	-0.7 pts
營益率	15.0%	15.4%	-0.4 pts	16.8%	-1.8 pts	16.6%	16.9%	-0.3 pts	17.3%	-0.7 pts
稅後淨利率	14.0%	14.2%	-0.2 pts	15.6%	-1.6 pts	15.1%	15.4%	-0.3 pts	15.7%	-0.7 pts

資料來源：CMoney、Bloomberg，中信投顧整理

圖表二：預估財報調整表

損益表 (單位：百萬元)	2026(F)					2027(F)				
	調整後	調整前	差異	市場共識	差異	調整後	調整前	差異	市場共識	差異
營業收入	24,706	23,919	3.3%	23,445	5.4%	29,642	27,383	8.3%	26,725	10.9%
營業毛利	12,770	12,558	1.7%	12,256	4.2%	15,434	14,529	6.2%	14,020	10.1%
營業利益	3,989	3,865	3.2%	3,795	5.1%	5,412	4,907	10.3%	5,162	4.8%
稅前純益	4,292	4,154	3.3%	4,041	6.2%	5,692	5,187	9.7%	5,450	4.4%
稅後淨利	3,646	3,530	3.3%	3,466	5.2%	4,841	4,417	9.6%	4,614	4.9%
EPS(元)	21.77	21.08	3.3%	20.59	5.7%	28.90	26.37	9.6%	27.55	4.9%
財務比率(%/百分點)										
毛利率	51.7%	52.5%	-0.8 pts	52.3%	-0.6 pts	52.1%	53.1%	-1.0 pts	52.5%	-0.4 pts
營益率	16.1%	16.2%	0.0 pts	16.2%	0.0 pts	18.3%	17.9%	0.3 pts	19.3%	-1.1 pts
稅後淨利率	14.8%	14.8%	0.0 pts	14.8%	0.0 pts	16.3%	16.1%	0.2 pts	17.3%	-0.9 pts

資料來源：CMoney、Bloomberg，中信投顧整理

2026/08/05

(百萬元)	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F
營業收入	5,455	6,289	6,540	6,422	6,955	7,406	7,850	7,431
營業成本	2,579	3,071	3,175	3,111	3,341	3,551	3,759	3,557
營業毛利	2,877	3,217	3,365	3,311	3,614	3,856	4,091	3,874
營業費用	2,061	2,274	2,279	2,167	2,354	2,600	2,599	2,468
營業利益	816	943	1,086	1,144	1,259	1,255	1,492	1,405
營業外收支淨額	79	84	70	70	70	70	70	70
稅前純益	895	1,027	1,156	1,214	1,329	1,325	1,562	1,475
所得稅	149	164	185	194	213	212	250	236
稅後純益	748	880	986	1,035	1,132	1,128	1,327	1,254
調整後 EPS(元)	4.47	5.25	5.89	6.18	6.76	6.74	7.92	7.49
毛利率(%)	52.73%	51.16%	51.45%	51.56%	51.96%	52.06%	52.12%	52.13%
營業利率率(%)	14.96%	15.00%	16.60%	17.81%	18.11%	16.95%	19.01%	18.91%
稅後純益率(%)	13.71%	14.00%	15.07%	16.11%	16.27%	15.23%	16.91%	16.88%
營業收入								
QoQ(%)	19.88%	15.27%	4.00%	-1.81%	8.31%	6.48%	6.00%	-5.34%
YoY(%)	4.46%	13.88%	16.16%	41.11%	27.49%	17.77%	20.03%	15.72%
營業利益								
QoQ(%)	71.04%	15.59%	15.10%	5.37%	10.10%	-0.33%	18.86%	-5.83%
YoY(%)	10.73%	15.52%	23.79%	139.79%	54.35%	33.09%	37.44%	22.83%
稅後純益								
QoQ(%)	34.80%	17.66%	12.01%	4.97%	9.38%	-0.30%	17.63%	-5.51%
YoY(%)	2.45%	13.12%	17.68%	86.47%	51.30%	28.20%	34.64%	21.20%

PER Band



資料來源：中信、CMoney

PBR Band



資料來源：CMoney

2026/08/05

資產負債表

(百萬元)	2022	2023	2024	2025	1Q26
資產總計	17,073	20,046	27,111	28,217	28,463
流動資產	12,271	13,471	17,016	18,013	18,283
現金及約當現金	3,744	9,206	12,056	12,742	12,433
應收帳款與票據	1,605	2,068	2,176	2,185	2,539
存貨	5,232	1,574	2,304	2,620	2,716
採權益法之投資	544	552	556	703	718
不動產、廠房設備	1,285	2,753	3,636	3,808	3,899
負債總計	8,405	3,589	6,149	6,538	8,205
流動負債	7,544	3,148	5,329	5,700	7,320
應付帳款及票據	735	529	1,205	1,454	1,645
非流動負債	861	441	820	838	885
權益總計	8,668	16,457	20,962	21,679	20,257
普通股股本	1,455	1,660	1,675	1,675	1,675
保留盈餘	4,977	3,768	5,673	7,489	6,981
母公司業主權益	8,668	16,457	18,556	19,348	17,928
負債及權益總計	17,073	20,046	27,111	28,217	28,463

損益表

(百萬元)	2023	2024	2025	2026F	2027F
營業收入淨額	13,576	19,122	20,926	24,706	29,642
營業成本	7,253	9,117	10,061	11,936	14,208
營業毛利淨額	6,322	10,005	10,865	12,770	15,434
營業費用	5,312	7,129	7,958	8,781	10,022
營業利益	1,011	2,876	2,908	3,989	5,412
EBITDA	1,850	3,944	4,263	4,520	5,692
業外收入及支出	183	273	377	303	280
稅前純益	1,194	3,149	3,284	4,292	5,692
所得稅	224	538	459	693	911
稅後純益	969	2,692	2,901	3,649	4,841
公告基本 EPS(元)	6.47	16.10	17.32	--	--
調整後 EPS(元)	5.84	16.07	17.32	21.77	28.90

註：稅後純益係指本期淨利歸屬於母公司業主。

現金流量表

(百萬元)	2022	2023	2024	2025	1Q26
營業活動現金	2,630	3,854	5,092	4,115	-67
稅前純益	3,755	1,194	3,149	3,284	895
折舊及攤銷	558	719	966	1,191	276
營運資金變動	-1,195	3,001	-42	-86	-262
其他營運現金	-487	-1,060	1,020	-275	-977
投資活動現金	-1,757	-1,347	-1,530	-1,286	-332
資本支出淨額	-838	-1,724	-1,187	-667	-227
長期投資變動	-517	1,339	253	-190	8
其他投資現金	-402	-961	-596	-429	-113
籌資活動現金	-2,272	2,976	-801	-2,158	-18
長借/公司債變動	0	0	0	0	0
現金增資	0	8,918	0	0	0
發放現金股利	-6,236	-2,183	-830	-2,094	0
其他籌資現金	3,964	-3,759	29	-64	-18
淨現金流量	-1,322	5,462	2,851	686	-309
期初現金	5,066	3,744	9,206	12,056	12,742
期末現金	3,744	9,206	12,056	12,742	12,433

資料來源：中信、CMoney

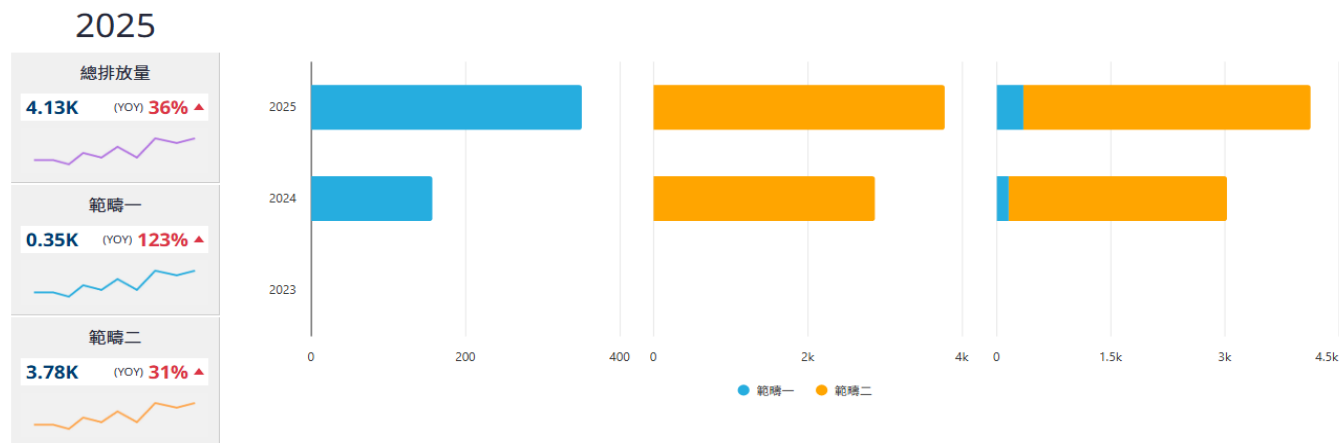
比率分析

(百萬元)	2023	2024	2025	2026F	2027F
成長力分析(%)					
營業收入淨額	-27.72%	40.86%	9.43%	18.06%	19.98%
營業毛利淨額	-30.08%	58.25%	8.60%	17.53%	20.86%
營業利益	-69.86%	184.56%	1.10%	37.19%	35.68%
稅後純益	-66.51%	169.42%	8.21%	25.78%	32.69%
獲利能力分析(%)					
毛利率	46.57%	52.32%	51.92%	51.69%	52.07%
EBITDA(%)	13.63%	20.63%	20.37%	18.29%	19.20%
營益率	7.44%	15.04%	13.89%	16.15%	18.26%
稅後純益率	7.14%	13.66%	13.50%	14.77%	16.33%
ROE(%)	7.72%	15.38%	15.31%	18.21%	20.91%

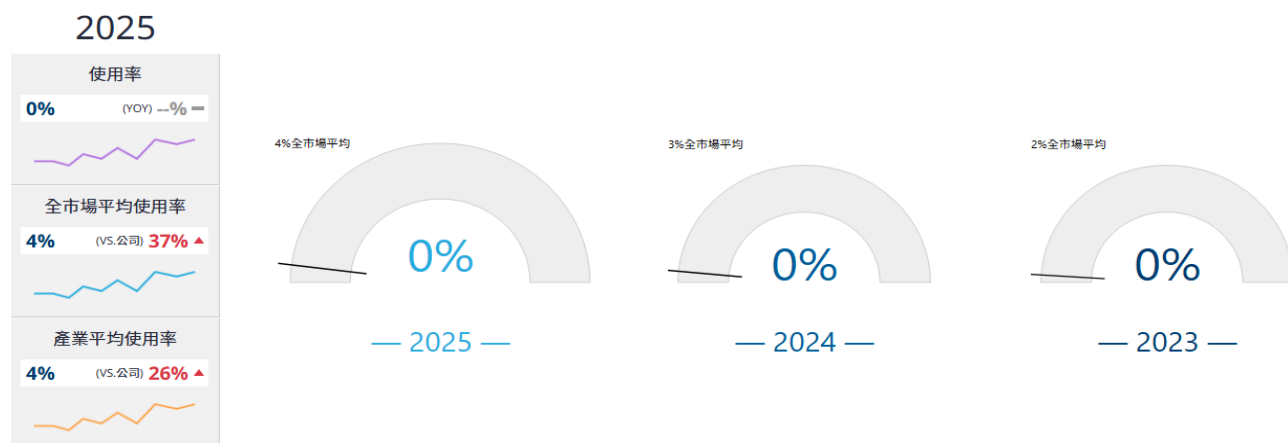
2026/08/05

ESG 資訊-環境保護(Environmental)

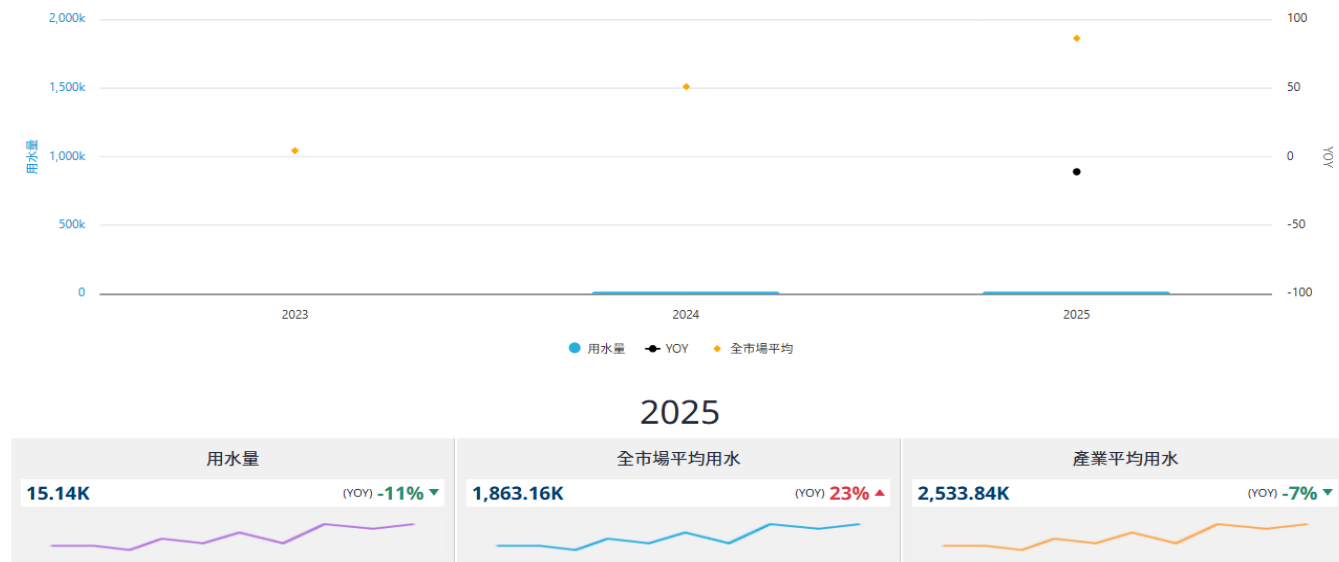
溫室氣體(範疇一/二)排放量



再生能源使用率

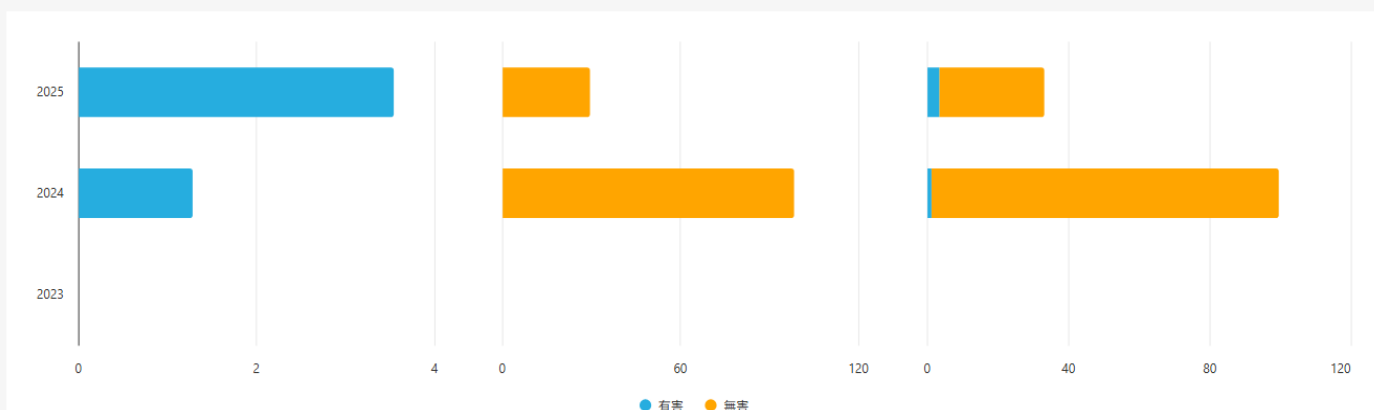


用水量



2026/08/05

廢棄物量



2025



密集度

2025

溫室氣體排放密集度

0.197

用水密集度

0.849

廢棄物密集度

0.002

溫室氣體排放密集度(公噸CO₂e/百萬元營業額)

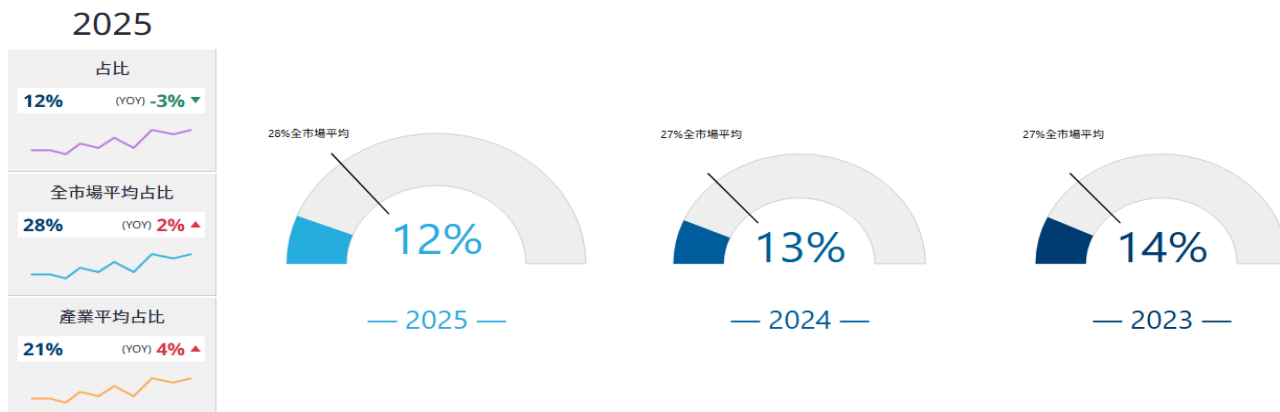


2025



ESG 資訊-社會責任(Social)

管理職女性主管占比



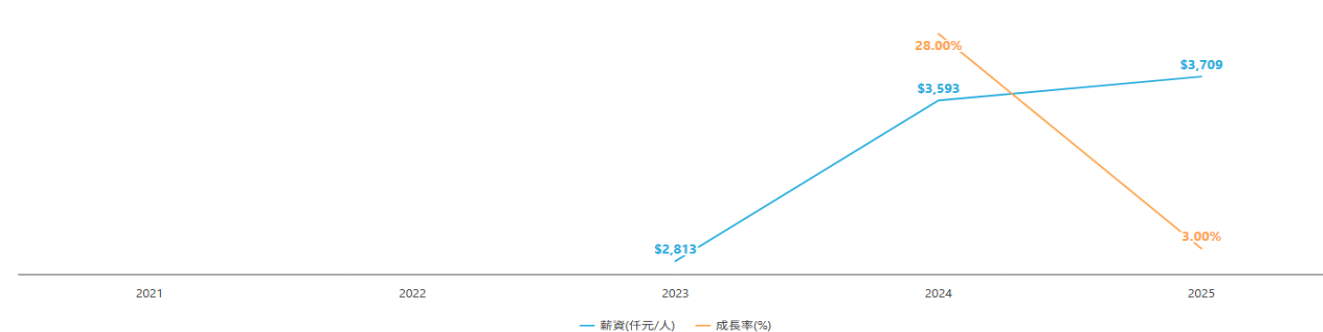
職業災害人數



2025



員工薪資年度趨勢

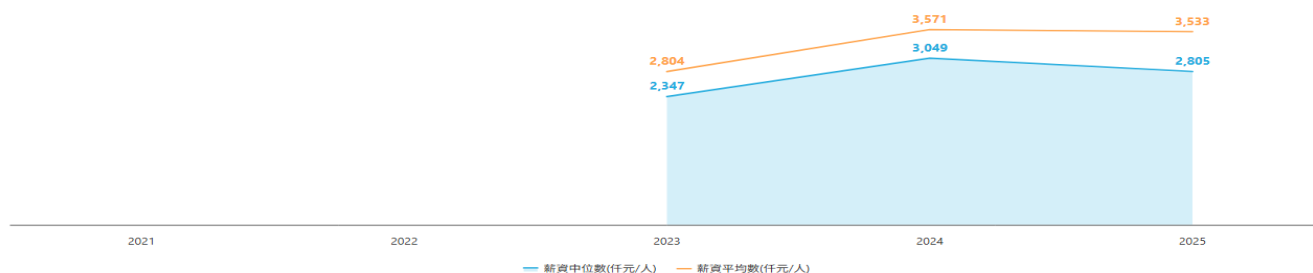


2025



2026/08/05

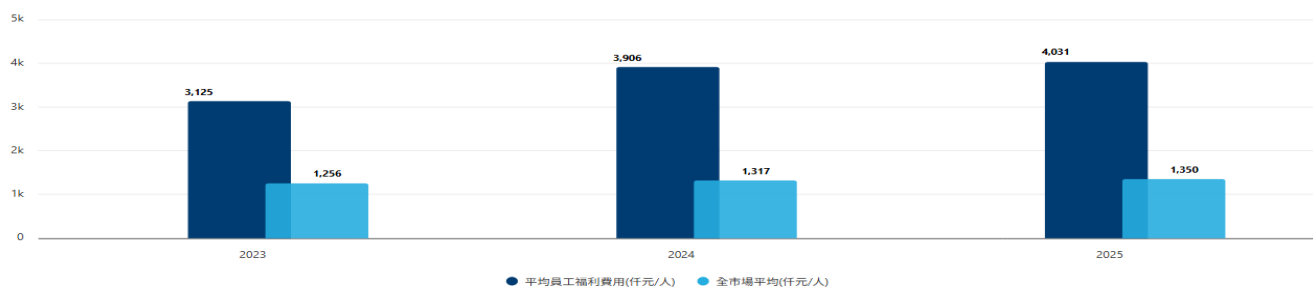
非擔任主管職務之全時員工薪資



2025



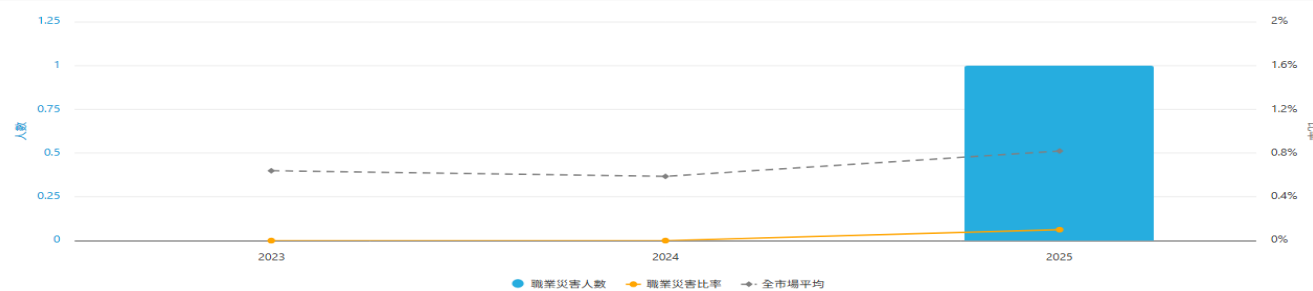
平均員工福利費用



2025



職業災害人數與比率



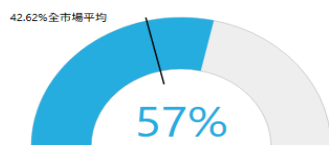
火災件數與死傷人數



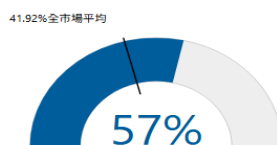
ESG 資訊-公司治理(Governance)

獨立董事vs.董事席次占比

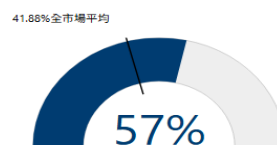
2025



— 2025 —

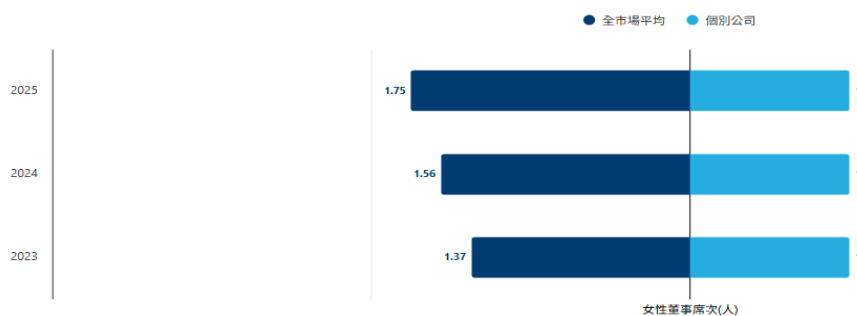


— 2024 —



— 2023 —

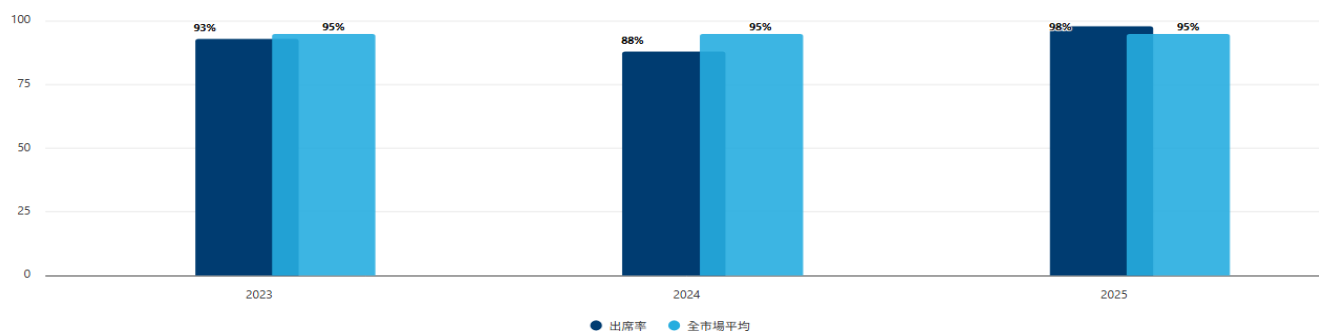
女性董事席次



2025



董事之董事會出席率



2025



2026/08/05

董事進修符合進修要點比率

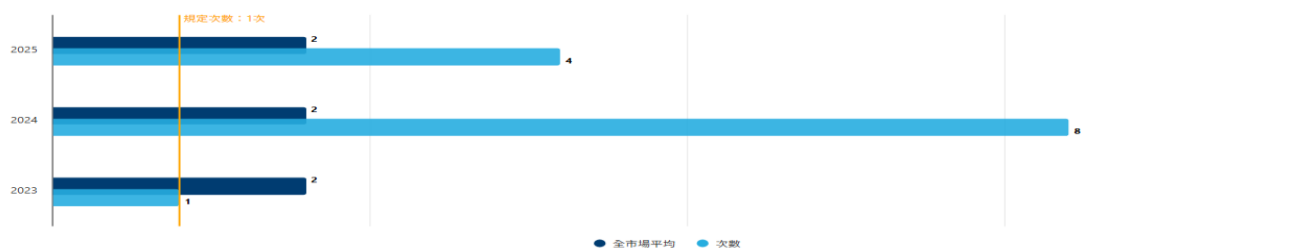


內圈:個別公司 外圈:全市場平均

2025



法說會次數



2025



薪酬委員會出席率

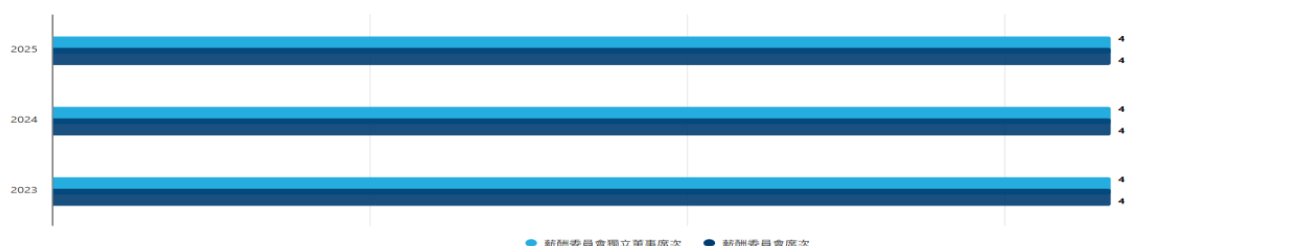


內圈:個別公司出席率 外圈:全市場平均出席率

2025



薪酬委員會席次



資料來源：證交所

投資評等說明

個股評等	Rating	定義
買進	Buy (B)	相較於市場指數之回報潛力極具吸引力
增加持股	Overweight (OW)	相較於市場指數之回報潛力略有吸引力
中立	Neutral (N)	相較於市場指數之回報潛力相似
降低持股	Underweight (UW)	相較於市場指數之回報潛力稍低
賣出	Sell (S)	相較於市場指數之回報潛力較低
未評等	Not Rated (NR)	

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營業執照字號：114 金管投顧新字第 014 號

04 Aug 2026 06:54:28 ET | 11 pages

Airtac (1590.TW)

Solid July-26 Sales Driven by Sustained Broad-Based Growth and An Easy Base

CITI'S TAKE

Airtac reported July-26 sales of NT\$4.0bn, up 51% y/y or Rmb841mn, up 30% y/y, driven by broad-based demand strength and a low base. Pneumatic daily shipments increased 29% y/y to Rmb31.mn but declined 8% m/m due to normal seasonality. By end application, growth was led by battery (+65% y/y), machine tools (+40%), electronics and machinery (+33% each). July-26 sales reached 36-37% of our/BBG 3Q26 sales forecasts vs. historical range of 32-34%, suggesting a solid start to the quarter. While approaching low season could lead to sequential sales moderation and near-term share price volatility, order intake continued to exceed shipments, and we believe sustained share gains, supportive industrial policies and new products still underpin a solid growth outlook in 2H26E. Retain Buy.

Buy

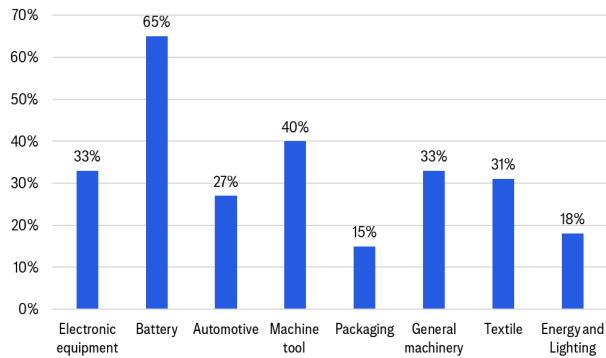
Price (04 Aug 26 13:30)	NT\$1,425.00
Target price	NT\$1,750.00
Expected share price return	22.8%
Expected dividend yield	2.6%
Expected total return	25.4%
Market Cap	NT\$285,000M US\$8,793M

Angela Hsu^{AC}

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angela.hc.hsu@citi.com

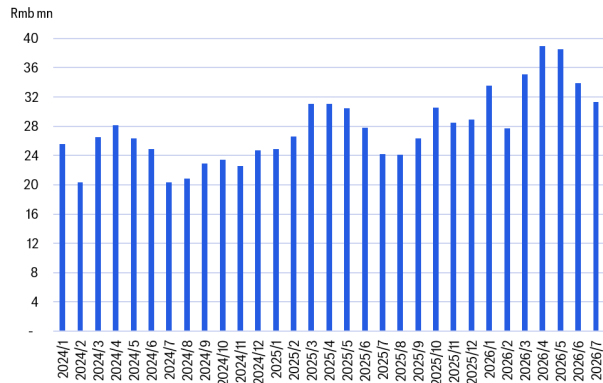
See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

Figure 1. Airtac: Daily Run Rate of Pneumatics by Month
(Based on Our Calculations)



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Source: Company Reports, Citi Research

Figure 2. Airtac: Sales Growth by Industry in July-26
(Direct Sales Only)



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Source: Company Reports, Citi Research

Airtac

Valuation

We derive our target price of NT\$1,750 for Airtac by using a P/E methodology, as we believe the margin and earnings growth outlooks will be the key drivers of the stock. We apply a P/E of 27.5x for 2H26-1H27E, which we derive from the mid range of prior upcycle valuation 25-35x during 2021 in view of a strong upcycle with solid FA demand and ongoing share gains.

Risks

Key downside risks that could impede the Airtac stock from reaching our target price include: 1) a softer-than-expected China macro economy, resulting in downside to our sales forecasts; 2) intensifying competition leading to gross margin pressures; and 3) slower-than-expected progress of its linear guide business, causing low utilization of capacity.

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Appendix A-1

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IMPORTANT DISCLOSURES

Airtac (1590.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Angela Hsu



	Date	Rating	Target Price	Closing Price
1	03-Oct-23 05:54:40	*1	*1,250.00	998.00
2	30-Apr-24 10:21:43	1	*1,350.00	1,160.00
3	06-Sep-24 14:42:18	1	*1,050.00	816.00

	Date	Rating	Target Price	Closing Price
4	31-Jul-25 08:08:45	1	*1,000.00	856.00
5	30-Oct-25 09:57:38	1	*1,100.00	904.00
6	29-Jan-26 08:12:57	1	*1,350.00	1,040.00

	Date	Rating	Target Price	Closing Price
7	29-Apr-26 10:42:32	1	*1,750.00	1,490.00

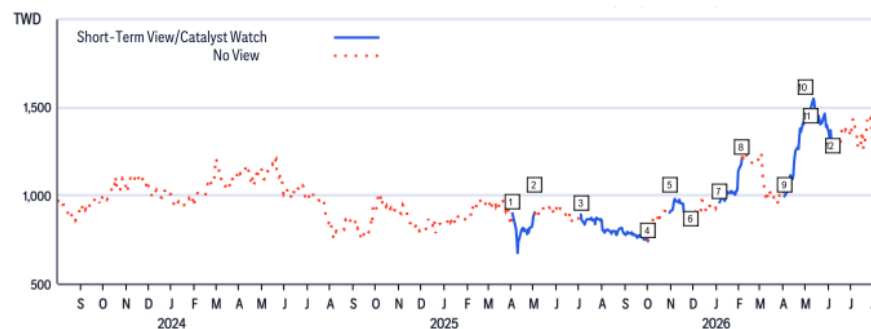
*Indicates Change

Rating/target price changes above reflect Eastern Time

Airtac (1590.TW)

Short-Term View/Catalyst Watch Research

Analyst: Angela Hsu



	Date	Action	Expected Direction	Duration	Closing Price
1	03-Apr-25 15:20:52	Add CW	Upside	30 Days	900.00
2	02-May-25 14:22:25	Remove CW	Upside	30 Days	905.00
3	03-Jul-25 02:23:51	Add STV	Upside	90 Days	893.00
4	01-Oct-25 21:44:22	Remove STV	Upside	90 Days	741.00

	Date	Action	Expected Direction	Duration	Closing Price
5	30-Oct-25 05:57:38	Add STV	Upside	30 Days	904.00
6	28-Nov-25 12:04:22	Remove STV	Upside	30 Days	903.00
7	05-Jan-26 10:25:45	Add STV	Upside	30 Days	962.00
8	04-Feb-26 19:57:43	Remove STV	Upside	30 Days	1,210.00

	Date	Action	Expected Direction	Duration	Closing Price
9	02-Apr-26 01:31:06	Add STV	Upside	30 Days	996.00
10	01-May-26 14:16:41	Remove STV	Upside	30 Days	1,455.00
11	07-May-26 05:36:56	Add STV	Upside	30 Days	1,490.00
12	05-Jun-26 14:27:33	Remove STV	Upside	30 Days	1,320.00

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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Citigroup Global Markets Taiwan Securities Company Limited Angela Hsu

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Vanguard International Semi. (5347.TWO)

Tight capacity reinforces pricing upside

CITI'S TAKE

VIS's 2Q earnings were roughly inline with expectations with GM/OPM at 32.3% and 20.4%. Net profit was NT\$2.98bn (up 32% QoQ and 46% YoY). The UTR was about 87% in 2Q26 and management expects an increase to 90% in 3Q and higher into 4Q. Beyond AI, management sees improving fundamentals across several mature-node end markets. Industrial demand has resumed growth, while automotive has stabilized with increasing semiconductor content and market share gains offsetting lower vehicle production. Customer inventories outside AI remain healthy and well controlled despite selective inventory builds. Supported by accelerating AI infrastructure deployment, management believes the mature-node foundry market is entering a broader recovery phase with improving utilization and pricing trends. Maintain Buy, with TP higher to NT\$185.

Capacity expansion amid tight supply — To address persistent strong demand extending into 2027, VIS emphasized it remains as one of the few foundries still meaningfully expanding 8-inch fabs to support customers' power semiconductor demand. Currently, PMIC contributes 77% of its 2Q revenue with AI contribution to reach double-digit % in 2026 (vs LSD % last year). VSMC's Singapore 12-inch fab is ramping ahead of schedule, with breakeven and full utilization expected earlier than originally planned. Phase one 44kwpm capacity has been largely committed, mainly for power and interposer. Management also continues sourcing second-hand equipment and upgrading existing fabs to maximize capacity expansion at attractive economics.

Pricing Momentum Reflects Rising Costs and Strong Demand — For 3Q26, wafer shipment is expected to be up 1-3% QoQ and blended ASP to increase 2-4% QoQ, primarily reflecting direct pricing actions with additional support from product mix improvements. GM to improve to 33.5% (mid-point) on higher UTR but rising depreciation cost. 3Q guidance is roughly inline with market expectations. Management expects pricing to remain on an upward trajectory into 2027, driven by structural cost inflation and sustained tight capacity. Rising labor, material, and equipment costs require price adjustments to preserve long-term competitiveness and support continued investment. Management indicated 2027 price increases are unlikely to be smaller than those implemented in 2026.

Earnings Summary

Year to	Net Profit	Diluted EPS	EPS growth	P/E	P/B	ROE	Yield
31 Dec	(NT\$M)	(NT\$)	(%)	(x)	(x)	(%)	(%)
2024A	7,046	4.27	-4.0	36.2	4.2	12.3	2.9
2025A	7,908	4.25	-0.4	36.3	3.5	10.4	2.9
2026E	11,352	5.91	38.8	26.2	3.0	12.7	3.7
2027E	14,243	7.41	25.5	20.8	2.9	14.6	4.7
2028E	17,545	9.13	23.2	16.9	2.8	17.4	5.8

Source: Powered by dataCentral

Buy

Short-Term View: Upside

Price (04 Aug 26 15:00)	NT\$154.50
Target price	NT\$185.00↑
	from NT\$170.00
Expected share price return	19.7%
Expected dividend yield	4.6%
Expected total return	24.3%
Market Cap	NT\$290,393M
	US\$8,960M

Price Performance

(RIC: 5347.TWO, BB: 5347 TT)



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5347.TWO: Fiscal year end 31-Dec						Price: NT\$154.50; TP: NT\$185.00; Market Cap: NT\$290,393m; Recomm: Buy					
Profit & Loss (NT\$m)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	44,055	48,591	59,310	78,094	89,205	PE (x)	36.2	36.3	26.2	20.8	16.9
Cost of sales	-32,122	-34,937	-39,780	-51,338	-57,495	PB (x)	4.2	3.5	3.0	2.9	2.8
Gross profit	11,933	13,654	19,530	26,756	31,710	EV/EBITDA (x)	15.4	14.7	12.5	8.5	6.3
Gross Margin (%)	27.1	28.1	32.9	34.3	35.5	FCF yield (%)	-2.1	-14.5	-16.5	14.8	5.6
EBITDA (Adj)	15,578	16,231	21,709	32,142	40,488	Dividend yield (%)	2.9	2.9	3.7	4.7	5.8
EBITDA Margin (Adj) (%)	35.4	33.4	36.6	41.2	45.4	Payout ratio (%)	105	105	98	98	98
Depreciation	-8,467	-8,458	-9,482	-15,130	-19,695	ROE (%)	12.3	10.4	12.7	14.6	17.4
Amortisation	0	0	0	0	0	Cashflow (NT\$m)	2024	2025	2026E	2027E	2028E
EBIT (Adj)	7,111	7,773	12,226	17,012	20,794	EBITDA	15,578	16,231	21,709	32,142	40,488
EBIT Margin (Adj) (%)	16.1	16.0	20.6	21.8	23.3	Working capital	-817	-922	-5,322	-4,785	-2,504
Net interest	1,665	1,484	964	-51	145	Other	-3,992	21,336	-5,763	69,174	28,712
Associates	-15	93	-329	0	0	Operating cashflow	10,770	36,645	10,625	96,530	66,696
Non-Op/Except/Other Adj	-10	-100	553	200	200	Capex	-16,004	-78,186	-59,737	-52,500	-50,000
Pre-tax profit	8,752	9,251	13,414	17,161	21,138	Net acq/disposals	0	0	0	0	0
Tax	-1,705	-1,480	-2,225	-2,917	-3,594	Other	-2,586	-1,349	-173	0	0
Extraord./Min.Int./Pref.div.	-1	137	164	0	0	Investing cashflow	-18,590	-79,535	-59,910	-52,500	-50,000
Reported net profit	7,046	7,908	11,352	14,243	17,545	Dividends paid	-7,375	-8,400	-8,303	-10,785	-13,531
Net Margin (%)	16.0	16.3	19.1	18.2	19.7	Financing cashflow	37,940	24,283	19,220	-13,691	-13,448
Core NPAT	7,046	7,908	11,352	14,243	17,545	Net change in cash	30,120	-18,607	-30,065	30,339	3,248
Per share data	2024	2025	2026E	2027E	2028E	Free cashflow to s/holders	-5,235	-41,541	-49,113	44,030	16,696
Reported EPS (\$)	4.27	4.25	5.91	7.41	9.13						
Core EPS (\$)	4.27	4.25	5.91	7.41	9.13						
DPS (\$)	4.50	4.45	5.78	7.25	8.93						
CFPS (\$)	6.53	19.72	5.53	50.23	34.71						
FCFPS (\$)	-3.17	-22.35	-25.56	22.91	8.69						
BVPS (\$)	36.79	44.77	51.16	53.01	55.16						
Wtd avg ord shares (m)	1,650	1,858	1,922	1,922	1,922						
Wtd avg diluted shares (m)	1,650	1,858	1,922	1,922	1,922						
Growth rates	2024	2025	2026E	2027E	2028E						
Sales revenue (%)	15.1	10.3	22.1	31.7	14.2						
EBIT (Adj) (%)	23.2	9.3	57.3	39.1	22.2						
Core NPAT (%)	-4.4	12.2	43.6	25.5	23.2						
Core EPS (%)	-4.0	-0.4	38.8	25.5	23.2						
Balance Sheet (NT\$m)	2024	2025	2026E	2027E	2028E						
Cash & cash equiv.	57,820	39,076	8,664	39,003	42,251						
Accounts receivables	6,235	6,748	9,596	12,072	13,358						
Inventory	6,221	6,937	9,999	12,578	13,918						
Net fixed & other tangibles	55,230	124,335	175,356	212,726	243,031						
Goodwill & intangibles	0	0	0	0	0						
Financial & other assets	23,384	23,556	30,881	36,571	39,526						
Total assets	148,889	200,652	234,495	312,951	352,083						
Accounts payable	1,416	1,724	2,312	2,583	2,704						
Short-term debt	0	10,520	17,674	14,767	14,850						
Long-term debt	0	0	0	0	0						
Provisions & other liab	78,622	104,635	118,991	196,624	231,539						
Total liabilities	80,039	116,879	138,977	213,974	249,093						
Shareholders' equity	68,667	83,590	95,518	98,976	102,990						
Minority interests	0	0	0	0	0						
Total equity	68,667	83,590	95,518	98,976	102,990						
Net debt (Adj)	-57,820	-28,556	9,010	-24,236	-27,401						
Net debt to equity (Adj) (%)	-84.2	-34.2	9.4	-24.5	-26.6						
For definitions of the items in this table, please click here .											

AI Power Portfolio Remains Anchored on 8-inch Manufacturing — With higher power demand for AI infrastructure, management believes discrete power solutions will remain as the mainstream architecture for AI servers over the next several years. While fully integrated Smart Power Stages (SPS) manufactured on 12-inch nodes are emerging, high-power AI applications continue to favor discrete controller plus MOSFET solutions due to superior robustness. Meanwhile, VIS continues expanding silicon carbide capabilities, targeting engineering samples in early 2027 to address future AI data center and automotive power applications.

Reiterate Buy; TP higher to NT\$185 — Anticipating improving earnings outlook and better UTR, we lift our 2026/27/28 earnings projection by 3%/3%/18%. We maintain Buy with TP NT\$185 (unchanged 25x PER but moving to 2027 EPS).

Figure 1. Vanguard – 2Q26 results comparison

(NT\$m)	2Q26			2Q25			2Q26		
	Actual	Actual	Q/Q	Actual	Y/Y		Citi	Diff.	Cons.
Revenue	14,245	12,532	14%	11,699	22%		14,356	-1%	14,441
Gross profit	4,604	3,671	25%	3,280	40%		4,655	-1%	4,662
Gross margin	32.3%	29.3%	+3.0 ppt	28.0%	+4.3 ppt		32.4%	-0.1 ppt	32.3%
Op. profit	2,901	2,087	39%	1,897	53%		2,860	1%	2,914
OPmargin	20.4%	16.7%	+3.7 ppt	16.2%	+4.2 ppt		19.9%	+0.4 ppt	20.2%
Net income	2,975	2,246	32%	2,043	46%		2,780	7%	2,845
EPS (NT\$)	1.55	1.17	32%	1.10	40%		1.49	4%	1.52

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Source: Citi Research, Bloomberg

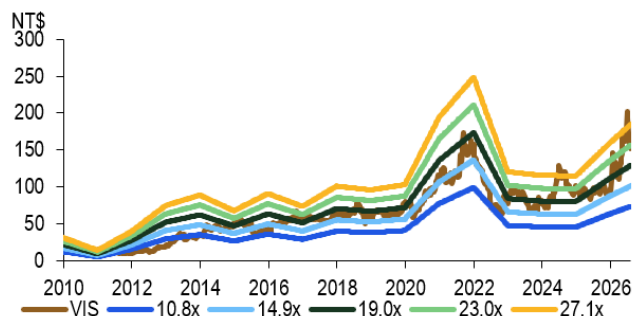
Figure 2. Vanguard – Estimates Revisions

(NT\$m)	2026E			2027E			2028E		
	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Sales	59,310	59,120	0%	78,094	75,406	4%	89,205	85,738	4%
YoY growth	22%	22%		32%	28%		14%	14%	
Gross profit	19,530	19,390	1%	26,756	25,899	3%	31,710	28,117	13%
Opex	7,304	7,358	-1%	9,744	9,412	4%	10,916	10,492	4%
Operating profit	12,226	12,032	2%	17,012	16,487	3%	20,794	17,625	18%
Pre-tax profit	13,414	13,070	3%	17,161	16,635	3%	21,138	17,969	18%
Net income	11,352	11,033	3%	14,243	13,807	3%	17,545	14,914	18%
EPS (NT\$)	5.91	5.93	0%	7.41	7.42	0%	9.13	8.01	14%
Gross margin	32.9%	32.8%	+0.1 ppt	34.3%	34.3%	-0.1 ppt	35.5%	32.8%	+2.8 ppt
Opex ratio	12.3%	12.4%	-0.1 ppt	12.5%	12.5%	-0.0 ppt	12.2%	12.2%	+0.0 ppt
Operating margin	20.6%	20.4%	+0.3 ppt	21.8%	21.9%	-0.1 ppt	23.3%	20.6%	+2.8 ppt
Net margin	19.1%	18.7%	+0.5 ppt	18.2%	18.3%	-0.1 ppt	19.7%	17.4%	+2.3 ppt

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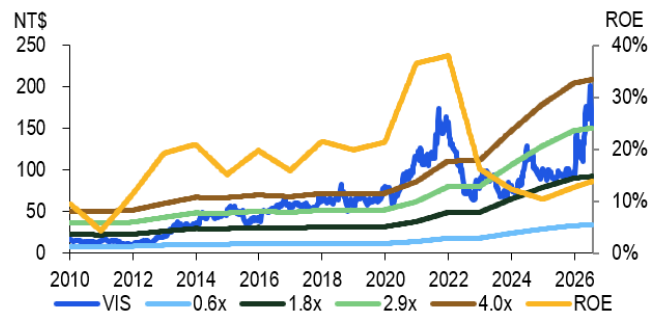
Source: Citi Research, Bloomberg

Figure 3. Vanguard – Forward P/E band



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Source: Citi Research

Figure 4. Vanguard – Forward P/B band & ROE



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Source: Citi Research

Figure 5. Vanguard – Forecast summary

	2025				2026				2027				2025	2026E	2027E	2028E
Unit: NT\$mn	1Q	2Q	3Q	4Q	1Q	2Q	3QE	4QE	1QE	2QE	3QE	4QE				
Revenue	11,949	11,699	12,349	12,594	12,532	14,245	15,837	16,696	17,544	18,862	20,684	21,004	48,591	59,310	78,094	89,205
COGS	8,352	8,419	9,037	9,129	8,861	9,641	10,516	10,762	11,586	12,312	13,736	13,704	-34,937	-39,780	-51,338	-57,495
Gross Profit	3,597	3,280	3,312	3,465	3,671	4,604	5,321	5,934	5,958	6,550	6,948	7,300	13,654	19,530	26,756	31,710
Operating Expense	1,359	1,384	1,480	1,658	1,584	1,703	1,980	2,037	2,281	2,358	2,585	2,520	-5,880	-7,304	-9,744	-10,916
EBIT	2,238	1,897	1,832	1,807	2,087	2,901	3,342	3,897	3,677	4,192	4,363	4,780	7,773	12,226	17,012	20,794
Net Interest Income	473.4	390.6	307.0	313.5	325.2	313.7	212.7	112.7	12.7	-37.3	11.7	-38.3	1,484.5	964.3	-51.2	144.8
Net Other Income	-36.8	94.5	-39.7	-25.1	24.8	98.6	50.0	50.0	50.0	50.0	50.0	50.0	-7.1	223.5	200.0	200.0
Pre Tax Profit	2,675	2,382	2,099	2,095	2,437	3,313	3,604	4,060	3,740	4,205	4,424	4,791	9,251	13,414	17,161	21,138
Tax Expense/(Credit)	269	369	414	429	273	420	721	812	636	715	752	815	-1,480	-2,225	-2,917	-3,594
Net Profit	2,414	2,043	1,703	1,748	2,246	2,975	2,883	3,248	3,104	3,490	3,672	3,977	7,908	11,352	14,243	17,545
EPS (NT\$)	1.30	1.10	0.91	0.94	1.17	1.55	1.50	1.69	1.62	1.82	1.91	2.07	4.25	5.91	7.41	9.13
Margins (%)																
Gross Margin	30.1	28.0	26.8	27.5	29.3	32.3	33.6	35.5	34.0	34.7	33.6	34.8	28.1	32.9	34.3	35.5
Operating Margin	18.7	16.2	14.8	14.3	16.7	20.4	21.1	23.3	21.0	22.2	21.1	22.8	16.0	20.6	21.8	23.3
Net Margin	20.2	17.5	13.8	13.9	17.9	20.9	18.2	19.5	17.7	18.5	17.8	18.9	16.3	19.1	18.2	19.7
Sequential Growth (%)																
Volume	10	7	4	-7	3	11	6	4	-2	3	6	-2	16	14	12	2
Revenue	3	-2	6	2	0	14	11	5	5	8	10	2	10	22	32	14
Gross Profit	9	-9	1	5	6	25	16	12	0	10	6	5	14	43	37	19
EBIT	16	-15	-3	-1	15	39	15	17	-6	14	4	10	9	57	39	22
Net Profit	31	-15	-17	3	29	32	-3	13	-4	12	5	8	12	44	25	23

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Source: Citi Research, Company Reports

Adding Upside 90-Day Short-Term View on Vanguard International Semi. (5347.TWO)

Direction:	Upside
Duration:	Within 90 Days
Category:	Thematic driven

We see VIS' improving gross margin on higher UTR and pricing to support its share price performance in the coming months.

Bull/Bear: Vanguard International Semi. (5347.TWO)

NT\$ 200.00
▲ 29% Upside

NT\$ 185.00
▲ 20% Upside

NT\$ 120.00
▼ 22% Downside



Spread 52pp
Current Price and expected returns (upside/downside) as of 04 Aug 2026

BULL Assumptions

- Better-than-expected PMIC and consumer demand
- Shorter learning curve and higher utilization ramp for the Singapore fab

BASE Assumptions

- Robust sales growth with some GM pressure from increasing depreciation
- Some margin impact from the Singapore fab

BEAR Assumptions

- Worse-than-expected 8-inch recovery
- Weaker-than-expected PMIC growth

Vanguard International Semi.

Company description

Vanguard International Semiconductor Corporation (VIS) is a specialty IC foundry service provider, with existing capacity mainly focused on 8-inch. VIS offers a wide range of process technologies, including high voltage, ultra-high voltage, and BCD. In 2024, VIS and NXP Semiconductors established the VSMC joint venture in Singapore, with its first 12-inch fab set to begin initial production in 2027.

Investment strategy

We rate Vanguard a Buy as we expect it to benefit from robust PMIC sales momentum, driven by strong AI demand and improving industrial demand. VIS is gaining market share in PMIC as clients are looking for non-Chinese suppliers. Moreover, we believe VIS should benefit from transfer orders from TSMC on the 8-inch wafer process. We think VIS has already passed its trough and expect a gradual recovery into 2027.

Valuation

Our target price for VIS of NT\$185 is based on 25x 2027E P/E, which we see as justified by its robust PMIC sales growth momentum and increasing outflow order opportunity from TSMC with support from its consistent cash dividend policy. Our target price equates to 2026/27E P/B of 3.6x/3.5x.

Risks

Key downside risks to our target price include: 1) weaker 8-inch demand along with higher costs due to inflation or more severe ASP competition from Chinese peers; 2) lower UTR of the new capacity at the newly acquired fab, with depreciation burden; and 3) less-than-expected outsourcing opportunities from IDMs.

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Appendix A-1

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IMPORTANT DISCLOSURES

Vanguard International Semi.
(5347.TWO)

Ratings and Target Price History
Fundamental Research

Analyst: Laura (Chia Yi) Chen



Date	Rating	Target Price	Closing Price
1 07-Nov-23 07:30:32	3	*60.01	71.52
2 25-Jan-24 18:23:32	3	*47.22	75.06
3 30-Apr-24 07:23:56	*2	*92.47	84.60
4 30-Jul-24 09:32:19	2	*114.11	118.05

*Indicates Change

Date	Rating	Target Price	Closing Price
5 05-Nov-24 10:33:28	2	*92.00	93.60
6 21-Mar-25 15:53:47	*1	*112.00	95.20
7 29-Jul-25 09:19:50	1	*107.00	95.10
8 25-Sep-25 09:04:47	1	*125.00	101.50

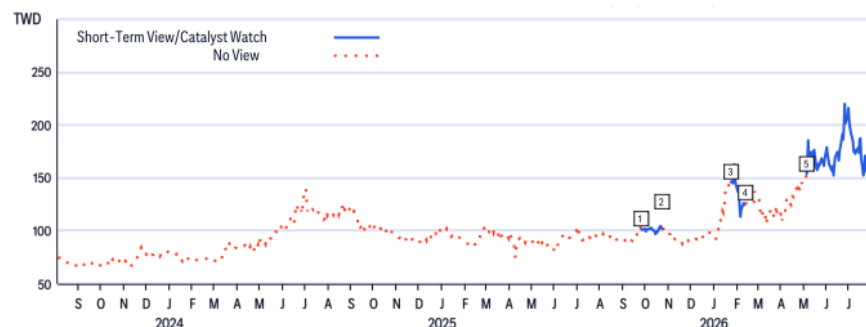
Date	Rating	Target Price	Closing Price
9 04-Nov-25 06:36:27	1	*115.00	98.70
10 23-Jan-26 10:47:04	1	*165.00	146.50
11 03-Feb-26 07:44:06	1	*150.00	135.50
12 05-May-26 08:26:59	1	*170.00	154.00

Rating/target price changes above reflect Eastern Time

Vanguard International Semi.
(5347.TWO)

Short-Term View/Catalyst Watch Research

Analyst: Laura (Chia Yi) Chen



Date	Action	Expected Direction	Duration	Closing Price
1 25-Sep-25 05:04:47	Add STV	Upside	30 Days	101.50
2 24-Oct-25 14:20:21	Remove STV	Upside	30 Days	101.50

Date	Action	Expected Direction	Duration	Closing Price
3 23-Jan-26 05:47:04	Add STV	Upside	30 Days	146.50
4 22-Feb-26 20:01:25	Remove STV	Upside	30 Days	126.00

Date	Action	Expected Direction	Duration	Closing Price
5 05-May-26 04:26:59	Add STV	Upside	90 Days	154.00
6 03-Aug-26 22:05:45	Remove STV	Upside	90 Days	151.00

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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Fositek Corp (6805 TT)

 Target price: **TWD2,615.00** (from TWD2,600.00)

 Share price (4 Aug): **TWD1,590.00** | Up/downside: **+64.5%**

 5 4 3 2 **1**
 **Buy**
(unchanged)

Investor meeting: positive tone over 2026-27 outlook

- 2Q26 results missed, but historical-high gross margins
- Stronger revenue outlook in 2H26 vs. 1H26, driven by server segment
- Reaffirming our Buy (1) rating; raising 12M TP to TWD2,615

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What's new: We attended Fositek's investor meeting following its 2Q26 results announcement on 4 August. We believe the company will benefit from the AI server trend with rising liquid cooling penetration rate in the following years, with rising server revenue over 2026-28E. Given the company's share-gain potential, we reaffirm our Buy (1) rating. See our [memo](#), 7 July 2026.

What's the impact: 2Q26 results missed, but historical-high margins set. Fositek's 2Q26 revenue of TWD3,740m (-10.6% QoQ, +42.7% YoY) missed our and Bloomberg consensus estimates by 12.1% and 12.8%, respectively, due to the product transition in the foldable phone and server segments. Its 2Q26 gross margin came in at 34.0% (vs. 32.3% in 1Q26 and 24.1% in 2Q25), a record-high level above our (33.0%) and consensus (32.9%) estimates, mainly on manufacturing process improvements and better-than-expected product mix (server revenue accounted for 55.7% in 1H26, up from 36.3% in 2025). Its operating margin of 27.9% (vs. 26.8% in 1Q26 and 19.0% in 2Q25), also a record-high level, beat our (27.2%) and consensus (26.9%) estimates, on better opex control. Thus, its operating profit of TWD1,043m (-6.9% QoQ, +110.0% YoY) missed our and consensus estimates by 9.9% and 9.5%, respectively. Overall, its net profit of TWD849m (-7.4% QoQ, +157.0% YoY) missed our and consensus estimates by 16.0% and 12.4%, respectively. Its 2Q26 EPS finished at TWD12.39. Its 2Q26 product mix was: server (54.9%, +259.9% YoY), foldable phone (38.3%, -20.5% YoY), NB (6.0%, -0.8% YoY) and others (0.7%, +49.1% YoY).

Brighter 2H26 vs. 1H26. We expect a strong 2H26 revenue vs. 1H26 and gross margin expansion on the ramping up of GPU and ASIC projects in 2H26. Due to the rise in liquid cooling penetration rate, product application and QD shipments per rack, we expect its revenue to grow 40.9% YoY in 2026E and 41.7% YoY in 2027E. We lower our 2026-28E EPS by 5-11% due to our slightly conservative revenue and higher tax rate estimates.

What we recommend: We reaffirm our Buy (1) call and raise our 12M TP to TWD2,615 (from TWD2,600), now based on a target PER of 32x (from 33x vs. its past-3-year range of 9-43x [average of 24x]) on decelerating earnings momentum, translating to a 0.8x PEG over 2026-28E on our 1-year forward EPS. Key downside risks: lower-than-expected market share for key clients, slower-than-expected penetration rate of foldable phones and geopolitical risks.

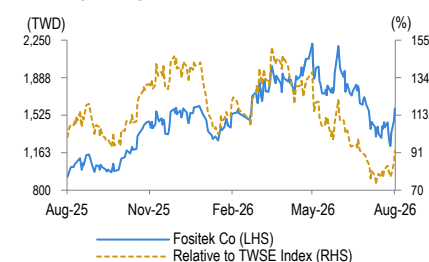
How we differ: Our 2026-27E EPS are 5-8% below the Bloomberg consensus, likely as we are more conservative on revenue.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	(6.2)	(5.7)	(5.5)
Net profit change	(11.3)	(6.9)	(4.6)
Core EPS (FD) change	(11.2)	(6.9)	(4.6)

Source: Daiwa forecasts

Share price performance



12-month range	943.00-2,215.00
Market cap (USDbn)	3.36
3m avg daily turnover (USDm)	89.13
Shares outstanding (m)	69
Major shareholder	AVC (16.9%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	17,494	24,793	30,230
Operating profit (m)	4,948	7,711	9,825
Net profit (m)	4,046	6,254	7,935
Core EPS (fully-diluted)	58.996	91.206	115.720
EPS change (%)	90.4	54.6	26.9
Daiwa vs Cons. EPS (%)	(8.0)	(4.6)	0.9
PER (x)	27.0	17.4	13.7
Dividend yield (%)	1.9	2.9	3.6
DPS	29.5	45.6	57.9
PBR (x)	10.1	7.3	5.5
EV/EBITDA (x)	18.4	11.5	8.7
ROE (%)	45.0	48.5	45.6

Source: FactSet, Daiwa forecasts

Fositek: revenue and earnings forecasts revisions

(TWDm)	2026E			2027E			2028E		
	New	Previous	Change	New	Previous	Change	New	Previous	Change
Sales	17,494	18,644	-6.2%	24,793	26,294	-5.7%	30,230	31,998	-5.5%
Gross profit	5,948	6,283	-5.3%	8,925	9,071	-1.6%	11,185	11,199	-0.1%
Gross margin	34.0%	33.7%	0.3pp	36.0%	34.5%	1.5pp	37.0%	35.0%	2pp
Operating profit	4,948	5,314	-6.9%	7,711	7,914	-2.6%	9,825	9,839	-0.1%
Operating margin	28.3%	28.5%	-0.2pp	31.1%	30.1%	1pp	32.5%	30.8%	1.8pp
Net profit	4,046	4,560	-11.3%	6,254	6,720	-6.9%	7,935	8,318	-4.6%
Net margin	23.1%	24.5%	-1.3pp	25.2%	25.6%	-0.3pp	26.2%	26.0%	0.3pp
Fully diluted EPS (TWD)	59.00	66.47	-11.2%	91.21	97.96	-6.9%	115.72	121.26	-4.6%

Source: Daiwa forecasts

Fositek: 2Q26 results review

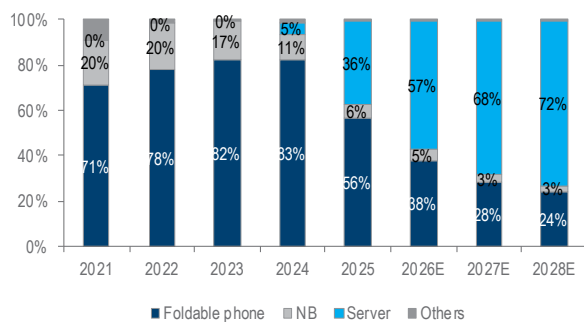
(TWDm)	Fositek's 2Q26 results	Our forecasts	Differ	Bloomberg consensus	Differ
Revenue	3,740	4,253	-12.1%	4,287	-12.8%
Gross profit	1,273	1,404	-9.3%	1,410	-9.7%
Operating profit	1,043	1,159	-9.9%	1,153	-9.5%
Profit before tax	1,075	1,204	-10.6%	1,188	-9.5%
Net profit	849	1,011	-16.0%	969	-12.4%
EPS	12.39	14.75	-16.0%	14.23	-12.9%
Margin					
Gross margin	34.0%	33.0%	1pp	32.9%	1.2pp
Operating margin	27.9%	27.2%	0.7pp	26.9%	1pp
Pre-tax margin	28.8%	28.3%	0.5pp	27.7%	1pp
Net margin	22.7%	23.8%	-1.1pp	22.6%	0.1pp

Source: Company, Bloomberg, Daiwa forecasts

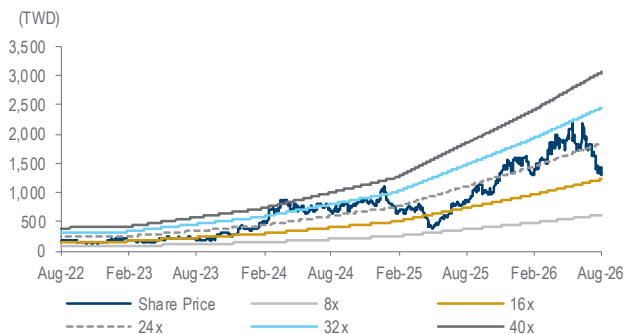
Fositek: quarterly and annual P&L

(TWDm)	2026E				2027E				2026E	2027E	2028E
	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E			
Revenue	4,184	3,740	4,550	5,020	5,500	6,000	6,300	6,993	17,494	24,793	30,230
Gross profit	1,352	1,273	1,561	1,762	1,870	2,100	2,268	2,687	5,948	8,925	11,185
Operating profit	1,120	1,043	1,316	1,468	1,600	1,820	1,988	2,303	4,948	7,711	9,825
Pre-tax profit	1,165	1,075	1,348	1,500	1,639	1,859	2,027	2,342	5,089	7,867	9,982
Net profit	917	849	1,071	1,208	1,303	1,478	1,612	1,862	4,046	6,254	7,935
Basic EPS (TWD)	13.38	12.39	15.63	17.62	19.01	21.56	23.51	27.16	59.01	91.23	115.75
Margin											
Gross margin	32.3%	34.0%	34.3%	35.1%	34.0%	35.0%	36.0%	38.4%	34.0%	36.0%	37.0%
Operating margin	26.8%	27.9%	28.9%	29.2%	29.1%	30.3%	31.6%	32.9%	28.3%	31.1%	32.5%
Pre-tax margin	27.9%	28.8%	29.6%	29.9%	29.8%	31.0%	32.2%	33.5%	29.1%	31.7%	33.0%
Net margin	21.9%	22.7%	23.5%	24.1%	23.7%	24.6%	25.6%	26.6%	23.1%	25.2%	26.2%
YoY											
Revenue	85.8%	42.7%	27.6%	26.3%	31.5%	60.4%	38.5%	39.3%	40.9%	41.7%	21.9%
Gross profit	171.2%	101.9%	58.2%	52.6%	38.3%	64.9%	45.3%	52.5%	81.9%	50.1%	25.3%
Operating profit	206.3%	110.0%	66.0%	68.9%	42.8%	74.4%	51.1%	56.8%	96.0%	55.8%	27.4%
Pre-tax profit	177.1%	172.5%	62.3%	66.9%	40.7%	72.9%	50.4%	56.1%	100.0%	54.6%	26.9%
Net profit	157.3%	157.0%	56.0%	60.7%	42.1%	74.1%	50.4%	54.1%	90.4%	54.6%	26.9%
QoQ											
Revenue	5.2%	-10.6%	21.7%	10.3%	9.6%	9.1%	5.0%	11.0%			
Gross profit	17.1%	-5.8%	22.6%	12.9%	6.1%	12.3%	8.0%	18.5%			
Operating profit	28.9%	-6.9%	26.1%	11.6%	9.0%	13.8%	9.2%	15.8%			
Pre-tax profit	29.6%	-7.7%	25.3%	11.3%	9.2%	13.4%	9.0%	15.5%			
Net profit	22.1%	-7.4%	26.2%	12.7%	7.9%	13.4%	9.0%	15.5%			

Source: Company, Daiwa forecasts

Fositek: product mix


Source: Company, Daiwa forecasts

Fositek: 1-year forward PER


Source: Bloomberg, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Foldable phone revenue YoY growth	0.0	8.9	19.1	45.9	3.6	(5.0)	5.0	5.0
NB YoY growth (%)	0.0	2.4	(5.5)	(7.7)	(11.1)	0.0	0.0	0.0
Server revenue YoY growth (%)	0.0	0.0	0.0	0.0	935.9	120.0	70.0	30.0

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Foldable phone	3,572	3,889	4,633	6,759	7,001	6,651	6,984	7,333
Server	0	0	0	435	4,506	9,914	16,853	21,909
Other Revenue	1,449	1,125	1,011	994	906	929	955	988
Total Revenue	5,020	5,014	5,644	8,188	12,414	17,494	24,793	30,230
Other income	0	0	0	0	0	0	0	0
COGS	(3,827)	(3,848)	(4,326)	(6,361)	(9,144)	(11,546)	(15,867)	(19,045)
SG&A	(133)	(153)	(151)	(180)	(187)	(262)	(347)	(393)
Other op.expenses	(251)	(238)	(286)	(450)	(559)	(738)	(868)	(967)
Operating profit	809	775	881	1,197	2,524	4,948	7,711	9,825
Net-interest inc./(exp.)	(9)	(15)	1	52	41	17	17	17
Assoc/forex/extraord./others	(24)	76	30	245	(21)	124	140	140
Pre-tax profit	776	835	911	1,495	2,545	5,089	7,867	9,982
Tax	(243)	(271)	(283)	(267)	(419)	(1,043)	(1,613)	(2,046)
Min. int./pref. div./others	0	0	0	0	0	0	0	0
Net profit (reported)	533	564	628	1,227	2,125	4,046	6,254	7,935
Net profit (adjusted)	533	564	628	1,227	2,125	4,046	6,254	7,935
EPS (reported)(TWD)	9.289	9.331	10.185	17.904	31.002	59.013	91.233	115.754
EPS (adjusted)(TWD)	9.289	9.331	10.185	17.904	31.002	59.013	91.233	115.754
EPS (adjusted fully-diluted)(TWD)	9.276	9.311	10.174	17.890	30.982	58.996	91.206	115.720
DPS (TWD)	3.688	4.000	6.115	8.000	10.500	29.507	45.617	57.877
EBIT	809	775	881	1,197	2,524	4,948	7,711	9,825
EBITDA	910	966	1,043	1,638	2,801	5,396	8,269	10,478

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	776	835	911	1,495	2,545	5,089	7,867	9,982
Depreciation and amortisation	126	115	132	196	298	325	419	513
Tax paid	(78)	(128)	(125)	(173)	(337)	(1,043)	(1,613)	(2,046)
Change in working capital	(726)	1,400	221	(212)	(260)	(554)	(108)	(316)
Other operational CF items	386	96	80	103	(274)	(17)	(17)	(17)
Cash flow from operations	484	2,318	1,218	1,409	1,970	3,799	6,549	8,115
Capex	(204)	(106)	(189)	(541)	(322)	(500)	(500)	(500)
Net (acquisitions)/disposals	0	3	5	(70)	6	0	0	0
Other investing CF items	54	(16)	2	(53)	(47)	0	0	0
Cash flow from investing	(150)	(119)	(182)	(664)	(362)	(500)	(500)	(500)
Change in debt	644	77	(521)	(10)	(10)	0	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(19)	(272)	(242)	(377)	(548)	(720)	(2,023)	(3,127)
Other financing CF items	650	(19)	1,833	(35)	(45)	0	0	0
Cash flow from financing	1,275	(214)	1,071	(422)	(603)	(720)	(2,023)	(3,127)
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	1,609	1,985	2,107	324	1,005	2,579	4,026	4,488
Free cash flow	280	2,131	949	713	1,881	3,299	6,049	7,615

Source: FactSet, Daiwa forecasts

Financial summary continued ...

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	1,854	3,841	5,898	6,336	7,446	10,025	14,051	18,539
Inventory	1,111	943	999	2,902	3,606	5,282	6,198	7,647
Accounts receivable	1,375	452	1,462	2,166	2,300	3,930	5,080	6,493
Other current assets	49	36	105	260	143	143	143	143
Total current assets	4,390	5,272	8,464	11,664	13,494	19,380	25,472	32,822
Fixed assets	324	312	359	758	817	992	1,073	1,060
Goodwill & intangibles	13	12	15	18	17	17	17	17
Other non-current assets	113	107	92	318	351	351	351	351
Total assets	4,840	5,704	8,930	12,758	14,678	20,739	26,912	34,249
Short-term debt	369	703	440	430	420	420	420	420
Accounts payable	1,502	1,865	3,224	5,811	5,911	8,662	10,618	13,162
Other current liabilities	129	133	166	291	503	228	228	228
Total current liabilities	1,999	2,701	3,830	6,533	6,833	9,310	11,266	13,810
Long-term debt	515	258	22	22	22	22	22	22
Other non-current liabilities	256	359	483	657	629	629	629	629
Total liabilities	2,770	3,318	4,335	7,212	7,485	9,962	11,918	14,462
Share capital	605	605	686	686	686	686	686	686
Reserves/R.E./others	1,466	1,781	3,910	4,861	6,507	10,092	14,308	19,102
Shareholders' equity	2,070	2,386	4,595	5,546	7,193	10,777	14,994	19,787
Minority interests	0	0	0	0	0	0	0	0
Total equity & liabilities	4,840	5,704	8,930	12,758	14,678	20,739	26,912	34,249
EV	108,030	106,121	103,564	103,117	101,998	99,418	95,393	90,905
Net debt/(cash)	(971)	(2,880)	(5,437)	(5,884)	(7,003)	(9,582)	(13,608)	(18,096)
BVPS (TWD)	36.079	39.467	74.534	80.906	104.919	157.208	218.717	288.635

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	125.8	(0.1)	12.6	45.1	51.6	40.9	41.7	21.9
EBITDA (YoY)	158.0	6.1	8.0	57.1	71.0	92.7	53.2	26.7
Operating profit (YoY)	179.5	(4.2)	13.7	36.0	110.8	96.0	55.8	27.4
Net profit (YoY)	153.3	5.8	11.3	95.5	73.2	90.4	54.6	26.9
Core EPS (fully-diluted) (YoY)	48.7	0.4	9.3	75.8	73.2	90.4	54.6	26.9
Gross-profit margin	23.8	23.3	23.3	22.3	26.3	34.0	36.0	37.0
EBITDA margin	18.1	19.3	18.5	20.0	22.6	30.8	33.4	34.7
Operating-profit margin	16.1	15.5	15.6	14.6	20.3	28.3	31.1	32.5
Net profit margin	10.6	11.3	11.1	15.0	17.1	23.1	25.2	26.2
ROAE	36.1	25.3	18.0	24.2	33.4	45.0	48.5	45.6
ROAA	13.9	10.7	8.6	11.3	15.5	22.8	26.3	25.9
ROCE	39.6	24.6	21.0	21.7	37.0	52.5	57.9	55.1
ROIC	56.2	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	31.3	32.4	31.1	17.9	16.5	20.5	20.5	20.5
Accounts receivable (days)	65.8	66.5	61.9	80.9	65.7	65.0	66.3	69.9
Current ratio (x)	2.2	2.0	2.2	1.8	2.0	2.1	2.3	2.4
Net interest cover (x)	91.5	50.1	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	39.7	42.9	60.0	44.7	33.9	50.0	50.0	50.0
Free cash flow yield	0.3	2.0	0.9	0.7	1.7	3.0	5.5	7.0

Source: FactSet, Daiwa forecasts

Company profile

Fositek is a provider of foldable phone hinges, foldable laptop/tablet hinges, AR/VR glasses hinges, ultra-thin laptop hinges and keyboard hinges, as well as hinges for medical instruments and automobile applications. Its major clients include Huawei and Motorola.

ESG analysis

ESG risks

Risks	Management	Analyst comments	
G	Executive/board quality	1	The CEO and chairperson of Fositek are not the same individual, and we see no issue with its board quality. Besides, we note that the chairperson has 24 years of experience in this industry and took over the role of chairman at Fositek in 2014, which is a positive sign from a governance perspective.
	Capital management	2	Fositek's dividend payout ratio was 40-60% over 2022-25, due likely to its capacity expansion plans.
	Related party & transaction	2	Revenue generated from related-party transactions (mainly for AVC and SZFSD) was 0-16% of total revenue during 2022-25, and we found no suspicious activity.
E	Supply chain management	1	Fositek maintains smooth communication channels with its suppliers and executes its business operations effectively. In response to ESG issues, Fositek actively implements supply chain management, striving to optimise the overall environment through product design, raw-material procurement, manufacturing, transportation, packaging and recycling processes. It integrates upstream and downstream suppliers to establish a green supply chain. For example, Fositek has required its suppliers to sign environmental protection agreements since 2021, committing to comply with hazardous substance control regulations.
G	Data security	2	To protect company information and customer data, Fositek has passed the IEC/ISO 27001 information security management system certification and will continue to enhance execution in various management areas.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 7 May 2026

Source: Daiwa, Company

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Rating	Percentage of total
Buy*	72.63%
Hold**	20.53%
Sell***	6.84%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 June 2026.

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Nanya Technology (2408 TT)

Share price (4 Aug): TWD436.00

12-mth rating: **Buy (1)**

Information Technology: Taiwan

July revenue increased by 49% MoM and 720% YoY, likely upside in 3Q earnings

SK Kim
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Summary: Nanya announced its July revenue after market hours on 4 August. Its revenue of TWD 44bn increased significantly MoM (49%) and YoY (720%). Given limited shipment growth due to supply constraints, we assume higher DRAM price in July and 3Q26 on solid demand. Assuming August-September revenue rises 6-8% MoM as it did in 2Q26, we expect Nanya's 3Q26 revenue to reach TWD142bn, exceeding our and market estimates by 47% and 37%, respectively. We assume DDR4 DRAM ASP to increase by >30% QoQ in 3Q26, likely to drive another earnings surprise following 2Q26.

Recommendation

We have a Buy (1) call on Nanya with a 12M TP of TWD650. We expect the robust July revenue and positive earnings outlook for 3Q26 to drive positive investor sentiment. Key risk: weaker-than-expected DRAM demand due to delays in data centre build-outs.

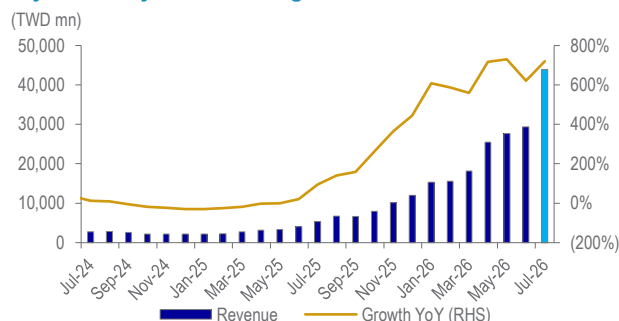
Nanya: July Revenue and 3Q26 earnings outlook

(TWD bn)	Jul.26					3Q26				
	Jul.26	Jun.26	MoM	Jul.25	YoY	Assumed MoM +6-8%	Daiwa estimates	Diff	BBG consensus	Diff
Revenue	43.9	29.4	49%	5.4	720%	142.1	96.9	47%	103.5	37%

Source: Company, Bloomberg

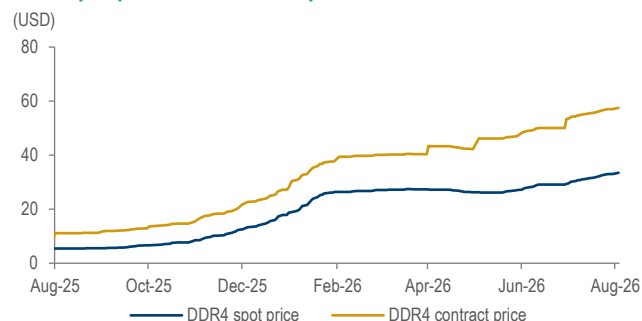
Note: Bloomberg consensus as of August 4, 2026

Nanya: monthly revenue and growth YoY trend



Source: Company

DRAM spot price and contract price trend



Source: Dram eXchange, Daiwa

In the interests of timeliness, this document has not been edited.

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Disclosure of investment ratings

Rating	Percentage of total
Buy*	72.63%
Hold**	20.53%
Sell***	6.84%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 June 2026.

* comprised of Daiwa's Buy and Outperform ratings.

** comprised of Daiwa's Hold ratings.

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Sinbon Electronics (3023 TT)

Share price (4 Aug): TWD299.50

12-mth rating: **Buy (1)**

Information Technology: Taiwan

July 2026 revenue ahead of our and the Bloomberg consensus estimates

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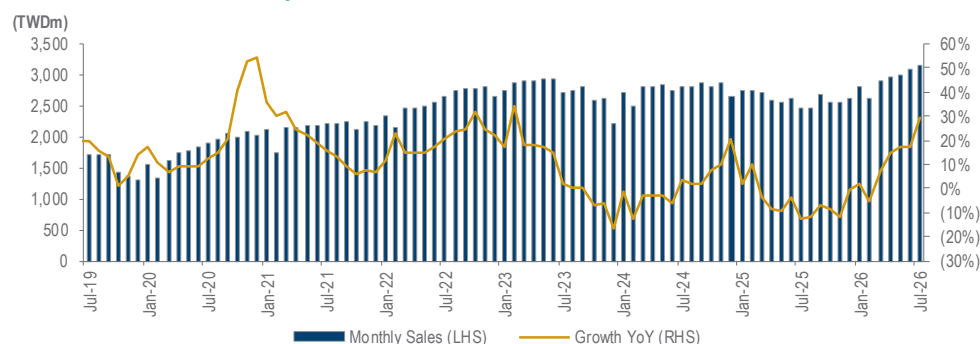
Summary: Sinbon reported its monthly revenue for July 2026 of TWD3,167m (+2.4% MoM and +29.0% YoY; +11.4% YoY for 7M26), a record-high level, after market hours on 4 August 2026. Its July revenue accounted for 34.1% and 33.6% of our and the Bloomberg consensus estimates of 3Q26 revenue.

We have a Buy (1) rating with a 12-month TP of TWD365, based on a target PER of 21x applied to our 1-year-forward EPS forecast. For more information on the company, please refer to our latest memo ([2Q26 results: slight miss on higher opex](#), on 23 July 2026).

What's the impact

- **July 2026 revenue ahead of our and the Bloomberg consensus estimates.** Sinbon reported a monthly revenue for July 2026 of TWD3,167m (+2.4% MoM and +29.0% YoY; +11.4% YoY for 7M26), a record-high level, and it accounted for 34.1% and 33.6% of our (TWD9,300m, +3.1% QoQ and +23.2% YoY) and the Bloomberg consensus estimates of 3Q26 revenue. We saw stronger YoY revenue growth in the medical, auto and industrial segments in July 2026. We expect its monthly revenue to see further record high levels in the following months.

Sinbon: consolidated monthly sales



Source: Company

Sinbon: revenue breakdown by segment

	Medical	Automotive	Green energy	Industrial	Communication	Total
July 2026 revenue (TWDm)	324	559	450	1,230	603	3,167
7M26 breakdown (%)	9.8%	16.8%	17.9%	36.1%	19.5%	100.0%
July 2026 YoY (%)	+44.9%	+33.0%	+13.4%	+66.4%	-10.6%	+29.0%
7M26 YoY (%)	+26.3%	+25.4%	-8.1%	+30.5%	-9.4%	+11.4%

Source: Company

- **Upside risk for its 2026 revenue.** Due to better-than-expected outlooks for the medical and industrial segments, we believe there could be some upside risk for Sinbon's 2026 revenue, ie TWD36-37bn vs. its revenue guidance of TWD36-36.5bn in 2026. For 3Q26 and 4Q26, the company aims to deliver revenue of TWD9.3-9.5bn in each quarter, vs. Daiwa and the Bloomberg consensus forecasts of TWD9.3-9.4bn for 3Q26.

What we recommend

We have a Buy (1) rating with a 12-month TP of TWD365, based on a target PER of 21x applied to our 1-year-forward EPS forecast. Based on our 2026/27E EPS, the stock is currently trading at PERs of 19.1x/15.7x, vs. its past-3-year trading range of 12-23x. Risk: a weak rise in gross margin if the segment mix is less favourable than we expect.

In the interests of timeliness, this document has not been edited.

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Hold**	20.53%
Sell***	6.84%

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Airtac International Group (1590.TW): July Monthly revenue -3% vs. GSe; Backlog continues to accumulate

On August 4th, AirTAC reported July revenue of Rmb841mn (flattish MoM, +30% YoY) / NT\$3,994mn (+2% MoM, +51% YoY), which was 3% below GSe in Rmb terms.

In July, AirTAC's revenue was 3% below GSe in Rmb terms, with flattish MoM despite 9% more working days, given the company's pneumatic daily revenue declined by 8% MoM due to normal low season and is 3% lower than our estimation (Rmb29.8mn vs. GSe of Rmb30.7mn). Linear guide revenue contribution is slightly weaker than our estimation (Rmb58mn missed GSe of Rmb60mn).

Moreover, July revenue was up 30% YoY (in Rmb) with the same working days as July 2025. We believe this solid YoY revenue growth was driven by (1) strong battery demand, which continued to deliver strong monthly revenue YoY growth for more than a year, (2) YoY growth across all end markets reached double digits as China pneumatic market has entered a prolonged upcycle. However, revenue contribution from linear guides was slightly lower in July at Rmb58mn vs. GSe of Rmb60mn vs. Rmb58mn in June, and the daily average linear guides revenue is lower at Rmb2.3mn (vs. Rmb2.5mn in June), AirTAC continues to improved its brand image for its linear guide products and maintained strong price competitiveness (c.20-30% discount vs. peers) and the company continue to expect the linear guide utilization rate to trend up sequentially throughout 2026 (see [here](#)).

In terms of revenue growth by end-market segment for July (see [Exhibit 1](#)), the battery sector continued to outgrow all other sectors (+65% YoY), suggesting sustained demand. Key segments' monthly revenue YoY trend includes machine tool (40% YoY), general machinery (33% YoY), electronics (+33% YoY), textile (+31% YoY), automotive (+27% YoY), energy lighting (+18% YoY) and packaging (+15%).

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Exhibit 1: Strength/weakness in major segments of AirTAC in July

AirTAC's monthly revenue by segment at a glance

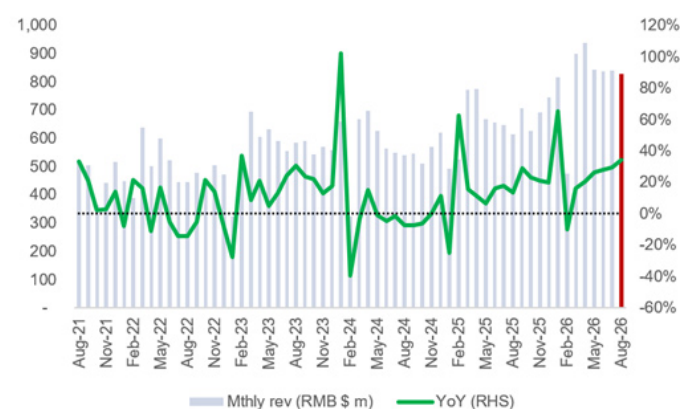
End market	% of revenue	YoY (%)
General machinery	5%	33%
Auto	10%	27%
Machine tools	7%	40%
Textiles	5%	31%
Packaging	8%	15%
Electronics	27%	33%
Battery	16%	65%
Energy lighting	3%	18%

Revenue breakdown represents the contribution by each end-market customer for AirTAC's "direct" sales, which represent more than 80%+ of its total revenue. Breakdown of distribution sales, which are c.20% of total sales, is not included in this data.

Source: Company data

For the month of August 2026, we estimate AirTAC's monthly revenue will slightly decline to Rmb828mn (~1% MoM, +35% YoY)/NT\$3,934mn (~1% MoM, +52% YoY)
We expect August revenue will go down by 1% MoM to Rmb828mn/NT\$3,934mn, mainly due to 6% less working days in Mainland China, while the growth remains strong from key customers (including battery, electronics and machine tools) and overall pneumatic UTR remains high at 100% despite in the low seasons. The company's backlog continues to increase as of the end of July, and we expect shipment to be solid in August in order to fulfill these undelivered orders, thus we believe the overall daily revenue in August should be higher than July (Rmb31.0mn vs. Rmb29.8mn).

Exhibit 2: We estimate AirTAC's August revenue will increase by 35% YoY



Source: Company data, Goldman Sachs Global Investment Research

Investment view: Shipment and order continue to be better than expected since 2026 start. Maintain positive view on AirTAC

We reiterate our Buy rating on AirTAC, as we remain positive on the company's previous comment on the (1) solid 2026 revenue outlook, which is expected to see 20%+ YoY growth (see [here](#)), and (2) a prolonged upcycle that could last longer at 2-3 years this time with robust performance expected to sustain across multiple end markets, including battery/electronics/automotive/machine tools. Furthermore, the company will

continue to enhance internal operational efficiency to mitigate the ongoing risk of higher raw material costs amid geopolitical uncertainties. Moreover, the company remains committed to maintain a stable pricing strategy in the China pneumatic market, which we believe should support further market share gains. We continue to see backlog accumulation and expect the company to maintain a high UTR to effectively digest the growing order backlog.

Also, we believe AirTAC's strong B/S and healthy cash flow position will help the company to overcome potential industry demand risks, and further supporting market share gains during industry downturns (AirTAC's share gains have accelerated during industry downcycles historically, due to its solid B/S and cash flow management). We expect the company's ROE to continue to rise in the coming years (ROE should improve to 26.2% in 2028E per GSe vs. 16%-17% in 2022-25) supporting a high dividend payout ratio (50%-60%+ per year per GSe) in coming years.

Maintain Buy on AirTAC with an unchanged 12m TP of NT\$1,925.

Investment Thesis - AirTAC

AirTAC is the 2nd-largest pneumatic supplier in mainland China with 28% market share in 2025, outpacing most local competitors, owing to its low-cost yet high quality product, and service quality reputation in most key cities in mainland China. We forecast its market share will reach 30% in 2026E and expect AirTAC to be the structural winner in a deflationary market, due to its: (1) strong market growth and leadership: AirTAC continues to expand its market share in mainland China driven by competitive pricing that is more than 10% lower vs. international peers (with 45%+ GM / 30-35% OPM) and high demand elasticity among mainland China customers; and (2) superior cost structure and financial health: with best-in-class cash cost and a solid balance sheet, featuring positive net cash over FCF since 2023/2024, we believe AirTAC is well-equipped to weather industry downturns and capitalize on market restructuring.

Overall, we believe AirTAC will see better revenue/profitability in the long term given its share gainer position in the China pneumatic market and potential to gain share in the linear guide market (improved demand in the next 1-2 years). This should lead to strengthened valuation, vs. its recent trading range (trading below its 10-year avg. P/E multiple). We are Buy rated on AirTAC.

Price target risks and methodology - AirTAC

Valuation methodology: Our 12m TP of NT\$1,925 is based on a target P/E of 26.0x on our 2027E EPS (0.25x STDV above avg of the last pneumatic upcycle).

Key downside risks: (1) Stronger competition from peers; (2) sharper-than-expected Rmb depreciation, and (3) a longer-than-expected end-market demand downtrend in mainland China.

1590.TW	12m Price Target: NT\$1,925.00	Price: NT\$1,425.00	Upside: 35.1%			
Buy	GS Forecast					
	Market cap: NT\$272.5bn / \$8.4bn	Revenue (NT\$ mn)	12/25	12/26E	12/27E	12/28E
	Enterprise value: NT\$262.2bn / \$8.1bn	EBITDA (NT\$ mn)	34,329.9	45,643.9	53,446.1	60,126.1
	3m ADTV: NT\$1.3bn / \$39.5mn	EPS (NT\$)	12,865.9	17,645.7	21,223.6	24,179.9
	Taiwan	P/E (X)	42.00	61.95	74.00	85.29
	Taiwan Electronic Components	P/B (X)	20.9	23.0	19.3	16.7
	M&A Rank: 3	Dividend yield (%)	3.3	5.0	4.6	4.2
	Leases incl. in net debt & EV?: No	N debt/EBITDA (ex lease,X)	3.3	2.8	3.4	3.9
		CROCI (%)	(0.3)	(0.6)	(0.7)	(0.8)
		FCF yield (%)	19.2	24.0	27.8	30.2
			2.8	4.3	4.0	5.0
			6/26	9/26E	12/26E	3/27E
		EPS (NT\$)	16.55	16.64	15.40	16.11

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 4 Aug 2026 close.

Disclosure Appendix

Reg AC

We, Chao Wang, Yuichiro Isayama and Al Wang, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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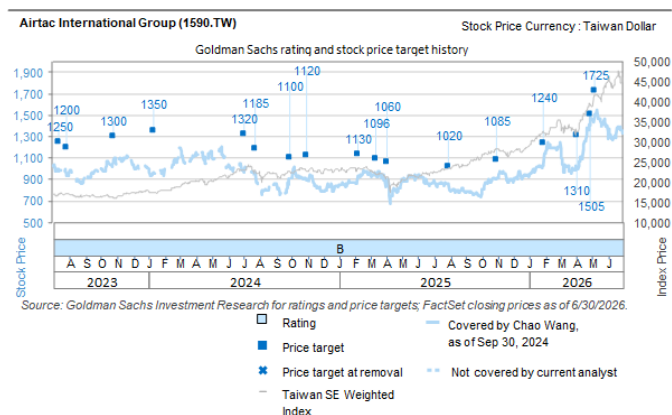
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Target price history table(s)

Airtac International Group (1590.TW)

Date of report **Target price (NT\$)** **Closing price (NT\$)**

28-Jul-26	1,925.00	1,365.00
07-May-26	1,725.00	1,490.00
29-Apr-26	1,505.00	1,490.00
02-Apr-26	1,310.00	996.00
29-Jan-26	1,240.00	1,040.00
30-Oct-25	1,085.00	904.00
31-Jul-25	1,020.00	856.00
03-Apr-25	1,060.00	900.00
13-Mar-25	1,096.00	938.00
07-Feb-25	1,130.00	934.00
31-Oct-24	1,120.00	894.00
29-Sep-24	1,100.00	939.00
24-Jul-24	1,185.00	970.00
02-Jul-24	1,320.00	972.00
11-Jan-24	1,350.00	958.00
25-Oct-23	1,300.00	1,060.00

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August 4, 2026 10:06 AM GMT

Greater China Technology Hardware | Asia Pacific

ABF Substrates – Implications of AT&S' F1Q26/27 Results

Key Takeaways

- AT&S' strong numbers align with the positive view from Unimicron's earnings call ([report here](#)).
- AT&S' planned investments are also support by long-term customer commitments, similar to those of ABF substrate companies in our coverage.
- Raised guidance from AT&S further supports our confidence in Unimicron and NYPCB.

Results:

- AT&S (ATSV.VI, not covered) reported C2Q revenue of €549mn (+15% q/q): Electronics Solutions (+10% q/q) and Microelectronics (ABF; +18% q/q).
- C2Q/F1Q Microelectronics (ABF) EBIT margin jumped by 730bp q/q to 24.7%, which management attributed to higher volumes and a better pricing environment.

Guidance updated:

- Revenue: +45-55% y/y, raised from +30-35% y/y previously.
- EBITDA margin: +32-37%, raised from 25-29% previously.

Capacity expansion:

- The expansion in Kulim, Malaysia, includes the fit-out of the existing structure of plant 2 and the construction of a new manufacturing site for both substrate cores and advanced PCBs.
- AT&S says its planned investments of €1.5-2.0B in Kulim are fully supported by long-term customer commitments.
- AT&S has also decided to expand capacity in Chongqing, China, with required capex of 'a double-digit million' euros, which the company says will also be supported by long-term customer agreements.

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GREATER CHINA TECHNOLOGY HARDWARE

Asia Pacific

Industry View

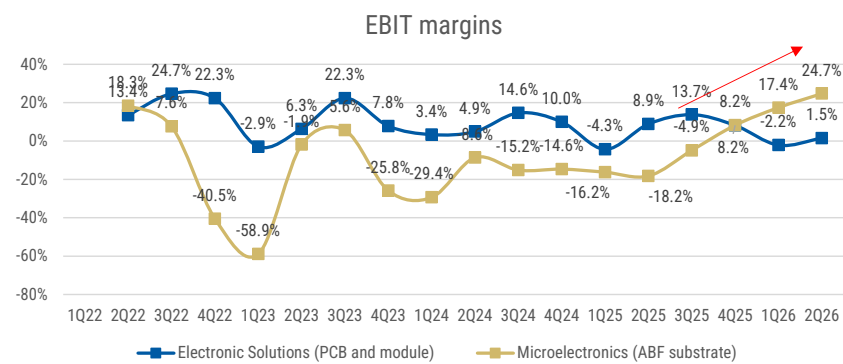
In-Line

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Exhibit 1: AT&S EBIT margins by product segment



Source: Company data

AlphaSignals Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
Unimicron 3037.TW			
AT&S F1Q results	04 Aug 2026	Strengthens	↑ Modest upside surprise
Nan Ya PCB 8046.TW			
AT&S F1Q results	04 Aug 2026	Strengthens	↑ Modest upside surprise

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Unimicron (3037.TW)

Base case, residual income (RI) valuation model, which we think derives the most accurate value of the firm given that it takes into account cost of equity. We use a cost of equity of 9.2% [risk-free rate of 1% (10-year Taiwan government note yield), equity risk premium of 8.7%, and a beta of 1.0], a medium-term growth rate of 15%, and a terminal growth rate of 3%.

Risks to Upside

- Better-than-expected ABF substrate demand from PC and server customers
- Capex cuts; halt to its capacity expansion plan
- Continued yield issues of alternative technology that doesn't require substrate (e.g., CoWoP)

Risks to Downside

- Sudden demand shortfall
- Technological change that would not require ABF substrates
- Intensifying competition
- Yield issues or production hiccups when ramping new capacity

Nan Ya PCB (8046.TW)

Base case, residual income (RI) valuation model, which we think derives the most accurate value of the firm given that it takes into account cost of equity. We use a cost of equity of 9.3% [risk-free rate of 1% (10-year Taiwan government note yield), equity risk premium of 8.7%, and a beta of 1.0], a medium-term growth rate of 17%, and a terminal growth rate of 3%.

Risks to Upside

- Better-than-expected ABF and BT demand
- Faster-than-expected pickup in AI and 5G demand
- Stronger-than-expected ASP hike
- Continued yield issues of alternative technology that doesn't require substrate (e.g., CoWoP)

Risks to Downside

- Sudden demand shortfall, creating headwinds for ABF substrate demand and pricing
- Technological change that would not require ABF substrates
- Intensifying competition

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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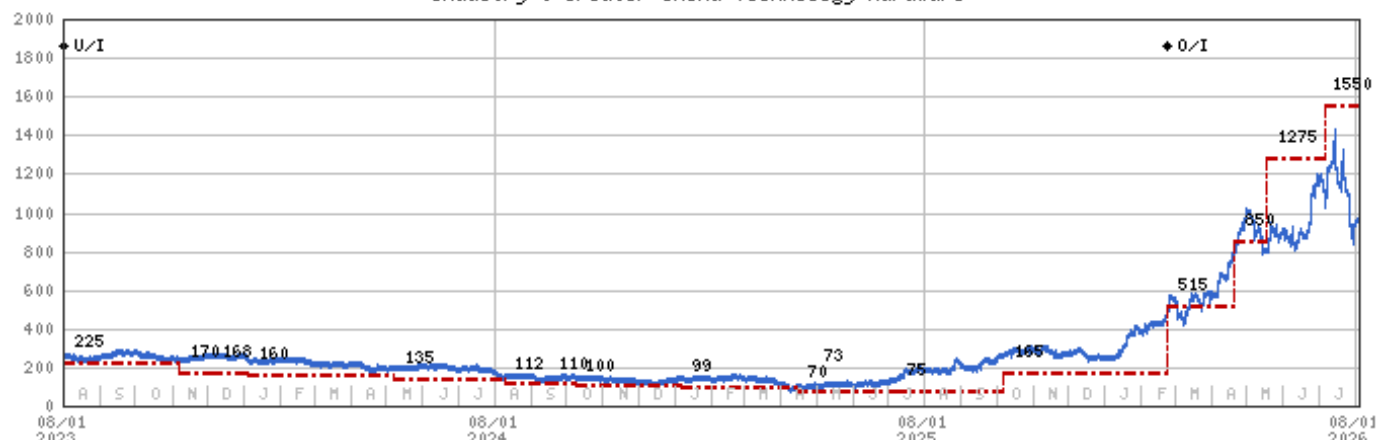
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Stock Price, Price Target and Rating History (See Rating Definitions)

Nan Ya PCB (8046.TW) - As of 08/04/26 GMT in TWD
Industry : Greater China Technology Hardware

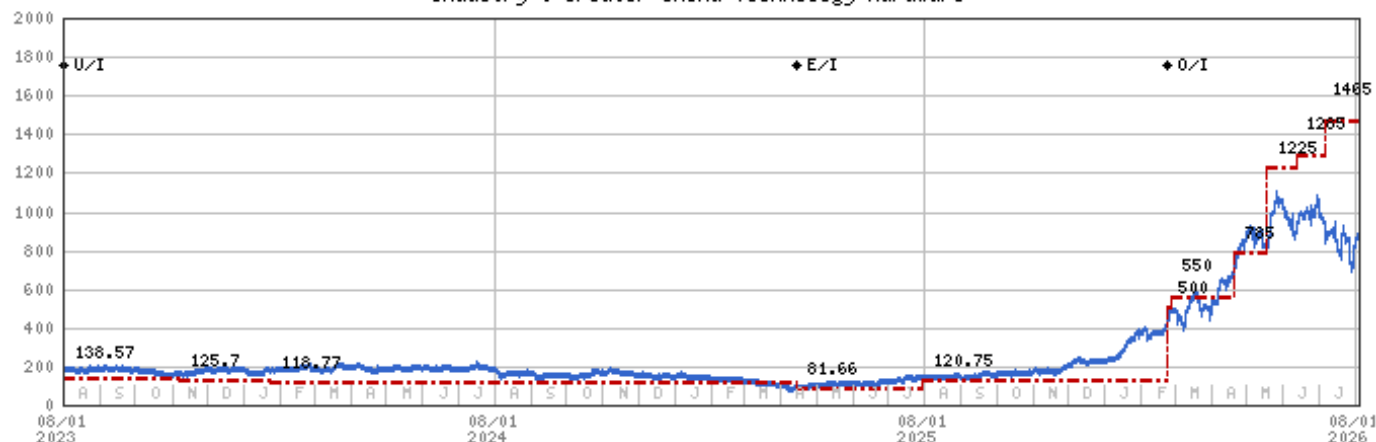


Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Unimicron (3037.TW) - As of 08/04/26 GMT in TWD
Industry : Greater China Technology Hardware



Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/04/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$41.06
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb172.32
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$24.44
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.13
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb17.13
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb448.00
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$502.00
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb23.11
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.83
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb38.63
Largan Precision (3008.TW)	O (07/10/2026)	NT\$4,355.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb7.09
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.66
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb55.48
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.73
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$7.24
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb46.39
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$33.76
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb57.83
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$57.80
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb212.00
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb17.11
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$27.96
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb284.00
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$105.60
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb92.93
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb25.91
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb1,021.99
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$25.64
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb34.37
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,320.00
Advantech (2395.TW)	O (01/20/2021)	NT\$576.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,425.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,600.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$24.45
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$944.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,300.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.63
Chenbro (8210.TW)	O (07/23/2025)	NT\$1,150.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$1,925.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,620.00
E Ink Holdings Inc. (8069.TWO)	O (05/11/2026)	NT\$197.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$53.70
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,590.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$332.00
Innolux (3481.TW)	E (04/07/2025)	NT\$47.80
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$9,495.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb32.95
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$252.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.77
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.58

Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb182.52
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$29.05
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$806.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$181.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$37.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.28
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb59.93
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$332.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$897.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$250.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb74.14
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$1,965.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$25.16
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$2,010.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,045.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$88.40
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$300.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb112.23
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb332.54
Unimicron (3037.TW)	O (02/23/2026)	NT\$924.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$353.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$195.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$6,205.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$566.00
Zhen Ding (4958.TW)	O (05/18/2026)	NT\$444.00

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

August 4, 2026 09:25 AM GMT

AirTAC International | Asia Pacific

July Sales +2% MoM/+51% YoY

Here we focus on AirTAC's monthly sales, which we believe could be a catalyst for its share price.

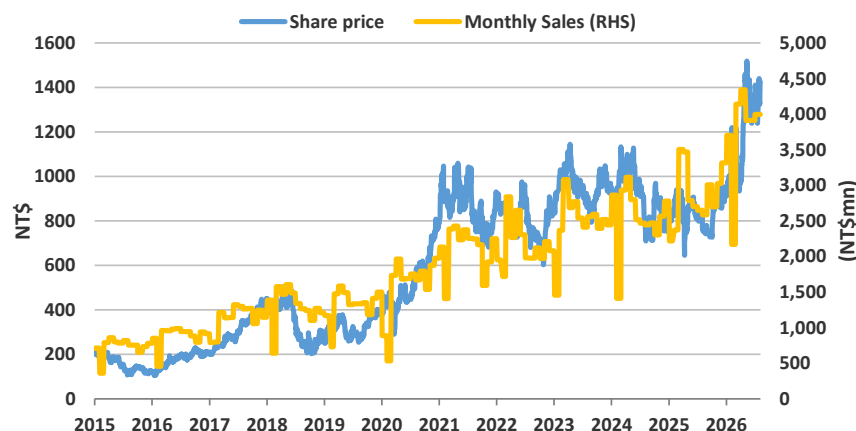
What's new:

- July sales came in at NT\$3,994mn (+2% MoM/+51% YoY),
- By segment, shipments from battery (+65% YoY), machine tool (+40% YoY), general machinery (+33% YoY), Electronics (+33% YoY), and textiles (+31% YoY) outperformed during the month.
- QTD revenue reached 34% of MSe at NT\$11,586mn (-5% QoQ/+41% YoY) and 36% of consensus at NT\$11,105mn (-9% QoQ/+35% YoY).

Outlook:

- We see 3Q26 sales tracking in line with our estimate, but slightly ahead of the consensus.
- Both orders and shipments are above its internal target, supported by the industry upcycle, its own share gains, and the government stimulus policies.
- Management remains positive on the growth outlook for 2026 and expects the upcycle to extend into 2027.
- Stay OW, as current valuation of 21x 2027e P/E seems undemanding vs. its mid-cycle average of 25x.

Exhibit 1: AirTAC monthly sales vs. its share price since 2015



Source: Company data, TEJ, Morgan Stanley Research. Note: Past performance is no guarantee of future results. Results shown do not include transaction costs.

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AirTAC International (1590.TW, 1590 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	Overweight
Industry View	In-Line
Price target	NT\$2,000.00
Up/downside to price target (%)	40
Shr price, close (Aug 4, 2026)	NT\$1,425.00
52-Week Range	NT\$1,600.00-741.00
Sh out, dil, curr (mn)	200
Mkt cap, curr (mn)	US\$8,805
EV, curr (mn)	US\$8,656
Avg daily trading value (mn)	US\$33

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	41.97	60.77	68.77	77.77
EPS (NT\$)§	41.43	57.68	66.43	74.32
Revenue, net (NT\$ mn)	34,330	45,007	50,917	57,428
EBITDA (NT\$ mn)	12,866	17,543	19,669	22,130
ModelWare net inc (NT \$ mn)	8,400	12,165	13,765	15,567
P/E	22.2	23.4	20.7	18.3
P/BV	3.5	4.8	4.3	3.8
RNOA (%)	17.7	25.1	25.9	27.3
ROE (%)	17.5	23.1	23.4	23.4
EV/EBITDA	14.1	15.9	14.0	12.3
Div yld (%)	2.2	2.0	2.1	2.4
FCF yld ratio (%)	3.4	2.6	3.4	3.8
Leverage (EOP) (%)	(9.1)	(11.0)	(15.2)	(18.7)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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AlphaSignals Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
AirTAC International 1590.TW			
July 2026 monthly sales	04 Aug 2026	Unchanged	In-line

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

AirTAC International (1590.TW)

Base case, 29x 2027e P/E. We believe this methodology better captures earnings growth momentum for industrial automation component plays (market sentiment moves along with business cycles). As the industry enters an up-cycle, we think applying a near-peak cycle valuation of 29x P/E is reasonable given the stronger business outlook.

Risks to Upside

- Stronger macroeconomic climate in China
- Stronger-than-expected demand from industrial automation

Risks to Downside

- Sharper economic downturn in China
- Miniature linear guideway business development taking more time
- Larger-than-expected investment in new products but weaker-than-expected demand

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Global Stock Ratings Distribution

(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

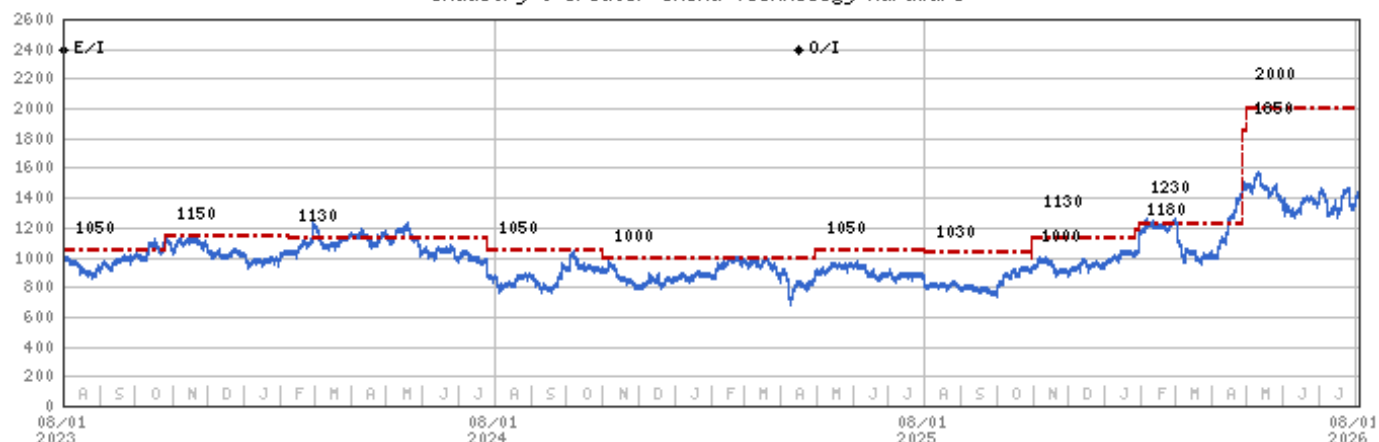
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

AirTAC International (1590.TW) - As of 08/04/26 GMT in TWD Industry : Greater China Technology Hardware



Stock Rating History: 8/1/21 : 0/I; 11/8/21 : E/I; 1/11/22 : 0/I; 8/4/22 : E/I; 4/16/25 : 0/I

Price Target History: 4/29/21 : 1567.27; 8/5/21 : 1379.98; 10/4/21 : 1300; 11/8/21 : 870; 1/11/22 : 1250; 3/24/22 : 1150; 8/4/22 : 850; 10/27/22 : 600; 1/16/23 : 1050; 2/8/23 : 1100; 4/26/23 : 1150; 7/28/23 : 1050; 10/26/23 : 1150; 2/7/24 : 1130; 7/25/24 : 1050; 11/1/24 : 1000; 4/30/25 : 1050; 8/1/25 : 1030; 10/30/25 : 1000; 10/31/25 : 1130; 1/27/26 : 1180; 1/30/26 : 1230; 4/28/26 : 1850; 4/30/26 : 2000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/04/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$41.06
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb172.32
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$24.44
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.13
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb17.13
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb448.00
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$502.00
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb23.11
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.83
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb38.63
Largan Precision (3008.TW)	O (07/10/2026)	NT\$4,355.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb7.09
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.66
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb55.48
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.73
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$7.24
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb46.39
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$33.76
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb57.83
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$57.80
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb212.00
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb17.11
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$27.96
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb284.00

Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$105.60
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb92.93
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb25.91
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb1,021.99
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$25.64
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb34.37
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,320.00
Advantech (2395.TW)	O (01/20/2021)	NT\$576.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,425.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,600.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$24.45
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$944.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,300.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.63
Chenbro (8210.TW)	O (07/23/2025)	NT\$1,150.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$1,925.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,620.00
E Ink Holdings Inc. (8069.TWO)	O (05/11/2026)	NT\$197.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$53.70
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,590.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$332.00
Innolux (3481.TW)	E (04/07/2025)	NT\$47.80
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$9,495.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb32.95
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$252.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.77
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.58
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb182.52
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$29.05
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$806.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$181.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$37.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.28
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb59.93
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$332.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$897.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$250.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb74.14
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$1,965.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$25.16
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$2,010.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,045.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$88.40
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$300.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb112.23
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb332.54
Unimicron (3037.TW)	O (02/23/2026)	NT\$924.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$353.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$195.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$6,205.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$566.00
Zhen Ding (4958.TW)	O (05/18/2026)	NT\$444.00

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

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August 4, 2026 04:04 PM GMT

GlobalWafers Co Ltd | Asia Pacific

LTA negotiations ongoing; price hikes have never been easy

AlphaSignals Earnings Reaction

Unchanged

Impact to our thesis



Modest upside

Financial results versus consensus

Largely unchanged

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Despite existing capacity operating near full utilization, we believe 2027 price increases could be more modest than the bull camp expects. Stay EW.

New LTA negotiations ongoing; price hikes have never been easy: Management indicated that more customers are actively discussing new LTAs (long-term agreements) to secure localized sourcing, but reiterated that pricing negotiations have never been easy. GWC noted that it "aims to gain customers' understanding and support" for new pricing. This aligns with our [preview](#) that 2027 price increases may be less aggressive than some bulls expect. On the positive side, management expects 2Q26 to mark the trough for prepayments, with levels increasing in subsequent quarters as payments from Micron are received, followed by a larger step-up in 1H27 from other customers.

New LTAs may incorporate flexible pricing and longer durations: When asked how the new LTAs could differ from 2021–22, mgmt said negotiations no longer focus solely on pricing or volume commitments. Instead, they increasingly emphasize longer-term, more flexible partnerships that include pricing adjustment mechanisms and localized supply. The longest LTAs signed in the previous cycle had terms of 5–8 years, while the recent Micron/GWC agreements cover 10 years of supply. However, ASPs from overseas fabs (GWA, Novara) do not necessarily need to exceed those of existing fabs given lower transportation costs. Flexible pricing could help GWC protect margins by reflecting underlying costs, but they do not necessarily imply continuous price increases over the next 5–10 years, as the raw wafer industry remains cyclical in our view.

Fire at Novara fab in Italy weighs on near-term supply; 2027 should see significant recovery: The fire at the Novara fab will have a greater impact on 3Q26 revenue than on 2Q26, suggesting 2026 revenue could be flat or increase only modestly YoY. Management expects meaningful rev. growth in 2027, driven by: (1) ramp-up of new greenfield capacity, (2) recovery at the Novara 8-inch fab, and (3) potential price increases. We forecast rev. growth of 4%/40% in 2026/27.

We stay EW as we believe buy-side expectations for 2027 price increases are too high despite improving raw wafer fundamentals. We note that 2027e LTA wafer pricing has not yet been finalized. We could become more constructive if pricing ultimately exceeds our expectations. Our PT of NT\$900 implies 25x 2027e EPS.

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GlobalWafers Co Ltd (6488.TWO, 6488 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	Equal-weight
Industry View	Attractive
Price target	NT\$900.00
Up/downside to price target (%)	(5)
Shr price, close (Aug 4, 2026)	NT\$952.00
52-Week Range	NT\$1,600.00-333.00
Sh out, dil, curr (mn)	437
Mkt cap, curr (mn)	NT\$416,262
EV, curr (mn)	NT\$456,217
Avg daily trading value (mn)	NT\$3,403

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	15.28	23.68	35.56	51.09
Prior EPS (NT\$)**	-	27.70	35.81	50.94
EPS (NT\$)§	14.68	21.49	32.77	55.44
Revenue, net (NT\$ mn)	60,598	62,770	90,337	113,424
EBITDA (NT\$ mn)	17,585	18,119	31,788	45,348
ModelWare net inc (NT \$ mn)	7,312	11,326	17,012	24,437
P/E	26.6	40.2	26.8	18.6
P/BV	2.1	4.6	4.2	3.7
RNOA (%)	6.2	4.6	11.1	15.9
ROE (%)	8.0	12.1	17.3	22.5
EV/EBITDA	13.3	24.8	14.0	9.6
Div yld (%)	2.7	1.2	1.5	2.2
FCF yld ratio (%)**	(11.1)	2.3	2.3	4.8
Leverage (EOP) (%)	42.8	34.3	27.8	15.2

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

§ = Consensus data is provided by Refinitiv Estimates

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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Better supply/demand dynamics into 2027/28e

2Q26 earnings and 3Q26 outlook review: 2Q26 gross margin missed both our estimate and consensus expectations due to continued margin dilution from new capacity and the fire at the Novara 8-inch fab in Italy. Looking ahead to 3Q26, management expects a larger revenue impact from the fire, leading to more modest quarterly revenue growth than 2Q (+8.8% Q/Q), while full-year 2026 revenue may be flat to up slightly YoY.

Exhibit 1: GWC: 2Q26 earnings review

(NT\$ mn)	2Q26				
	Actual	Q/Q	Y/Y	MS Est.	Consensus
Financials					
Revenue	15,214	8.8%	-5.0%	15,214	15,467
Opex	(1,717)	19.4%	1.9%	(1,481)	(1,517)
EPS (NT\$)	7.90	99.2%	124.6%	12.18	6.39
Ratios					
GM (%)	20.6%	-19bps	-512bps	23.3%	23.0%
Opex (%)	11.3%	100bps	76bps	9.7%	9.8%
OPM (%)	9.4%	-120bps	-588bps	13.6%	13.2%

Source: Company Data, Visible Alpha, Morgan Stanley Research estimates

Exhibit 2: GWC: 3Q26 outlook review

(NT\$ mn)	3Q26				
	Guidance	MS Est.	Q/Q	Y/Y	Consensus
Financials					
Revenue	Larger impact from the fire	16,702	9.8%	15.2%	16,686
Opex		(1,531)	-10.8%	6.9%	(1,595)
EPS (NT\$)		5.52	-30.2%	34.0%	4.94
Ratios					
GM (%)		25.7%	505bps	732bps	23.4%
Opex (%)		9.2%	-212bps	-72bps	9.6%
OPM (%)		16.5%	717bps	803bps	13.8%

Source: Company Data, Visible Alpha, Morgan Stanley Research estimates

New Micron/GWC deal marks a new milestone for GWC

Micron Technology and GlobalWafers [announced a deeper strategic partnership on July 9, 2026](#), centered on a 10-year supply agreement and US\$500mn of strategic financing from Micron to support GlobalWafers' new 12-inch silicon wafer facility in Sherman, Texas. The agreement secures significant raw silicon wafer capacity for Micron's long-term manufacturing plans, with the financing linked to the buildout of GlobalWafers America's (GWA) Sherman facility.

GlobalWafers Chairwoman Doris Hsu described the agreement as the largest and longest contract in the company's history. The two companies will also collaborate on next-generation wafer technologies and process innovation. The Sherman plant is notable as the only US-based source of advanced 12-inch wafers.

The agreement forms part of Micron's broader US\$3bn commitment to strengthen the US semiconductor supply chain and accompanies its target of manufacturing 40% of its DRAM output domestically by the mid-2030s. We believe GWC is well positioned to support ongoing foundry and memory capacity expansion in the US, not only for Micron but also for TSMC and Samsung, which are already GWC's two largest customers. We currently assume Micron/GWC LTA pricing could be 20–30% above current LTA pricing (after discounts), reflecting the higher US cost base. This would be broadly in line with, or

slightly above, LTAs signed in 2021–22.

Current inventory levels remain higher than during the 2021–22 upcycle when existing LTAs were signed

Notably, customer inventories of 12-inch wafers remain well above levels seen during the previous industry upcycle. According to SUMCO's inventory trend data (see [Exhibit 3](#)), inventory volumes and turnover days were near the lowest levels of the 2014–2026 period during 2021–22, reflecting a lean and highly utilized supply chain. By contrast, the current cycle presents the opposite picture: shipment volumes are approaching record highs, but customer inventories are also near record levels, with inventory days and absolute inventory exceeding those seen even at the peak of the 2021–22 upcycle.

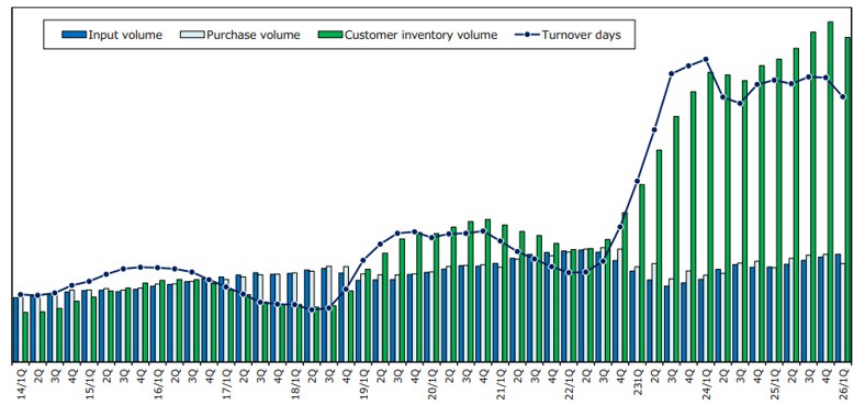
This backdrop differs meaningfully from the 2021–22 environment and, in our view, supports a more moderate and delayed pricing recovery in 2027 rather than a repeat of the broad-based increases seen during the prior cycle. In 2021–22, wafer makers held significant pricing leverage as customer inventories sat near cycle lows despite record shipment volumes. Fabs consumed nearly all purchased wafers with minimal inventory buffers, creating a tight supply environment that enabled wafer manufacturers to implement meaningful price increases across 12-inch wafers.

Today, while shipment volumes remain elevated, customers also hold substantial inventory. This provides a buffer against demand growth and moderate supply disruptions, reducing the urgency to secure incremental wafer supply. Historically, this dynamic weakens suppliers' pricing power. Until inventories normalize meaningfully, wafer makers are likely to have less pricing leverage than they did entering the 2021–22 upcycle. We believe SUMCO's comment that "long-term contract prices [will be] maintained" is broadly consistent with our view that 2027 LTA negotiations will focus primarily on removing current discounts rather than driving nominal price increases.

That said, silicon wafer capacity investment remained notably more disciplined during the 2023–25 downturn than during the 2021–22 boom. In addition, raw wafer capacity requires long lead times to bring online, with equipment lead times currently ranging from 12–18 months. This underpins the strategic rationale for Micron's recent US\$500mn, 10-year agreement with GlobalWafers. As a result, we expect wafer pricing to continue improving in 2027, albeit in a more selective and gradual manner than during the 2021–22 cycle. We broadly expect industry pricing increases of 10–20%, with GWC's US-based capacity potentially achieving higher gains of 20–30%.

Exhibit 3: Customer 12-inch wafer inventory trend (May. 12, 2026)

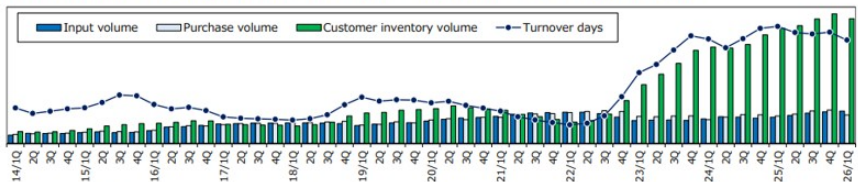
■ 300 mm Wafer Inventory Trend for Major Customers



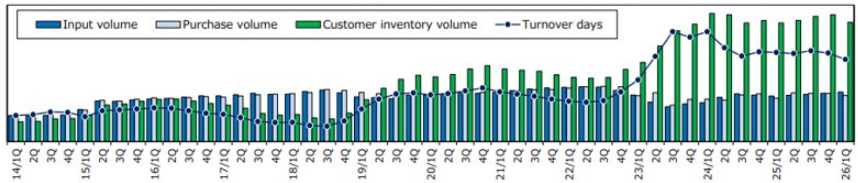
Source: Sumco

Exhibit 4: Customer 12-inch wafer inventory trend (Logic vs. memory; May. 12, 2026)

■ 300 mm Wafer Inventory Trend for Major Customers' Logic Applications



■ 300 mm Wafer Inventory Trend for Major Customers' Memory Applications

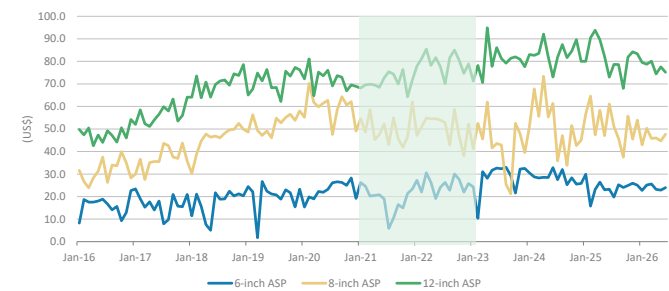


Source: Sumco

What was pricing like during the prior wafer up-cycle?

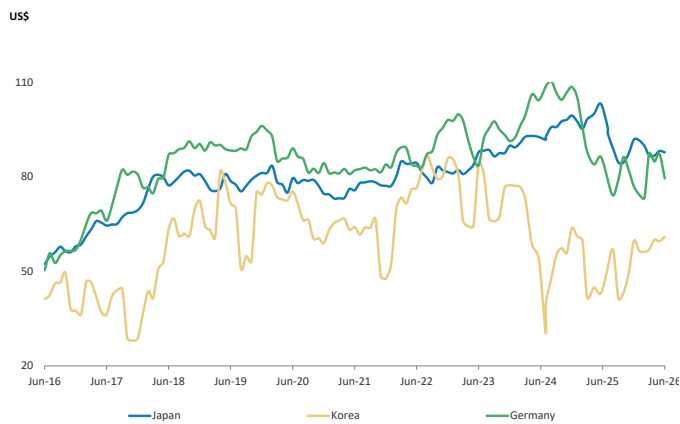
Back in 2022, average 12-inch wafer prices (including both LTA and spot pricing) increased by approximately 12%, while 8-inch wafer pricing remained weak, suggesting that LTAs primarily supported demand for 12-inch wafers. Given that reported pricing reflects a blend of LTA and spot transactions, we estimate that nominal 12-inch LTA pricing likely increased by at least 20–30% during the 2021–22 cycle. In our view, this could represent the upper bound for potential 2027e price increases.

Exhibit 5: We expect memory to lift 12-inch wafer prices



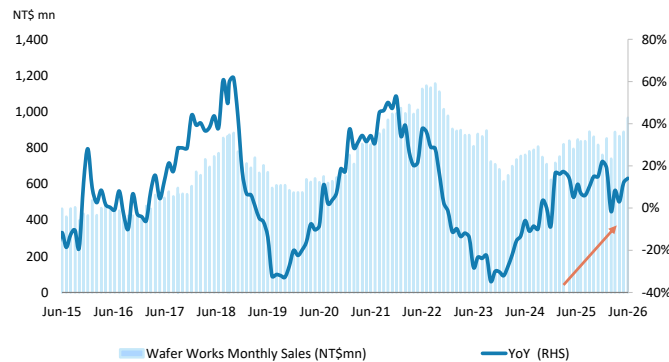
Source: Taiwan Customs CPT Single Window, Morgan Stanley Research

Exhibit 6: Japan 12-inch wafer prices have seen consecutive quarters of decline



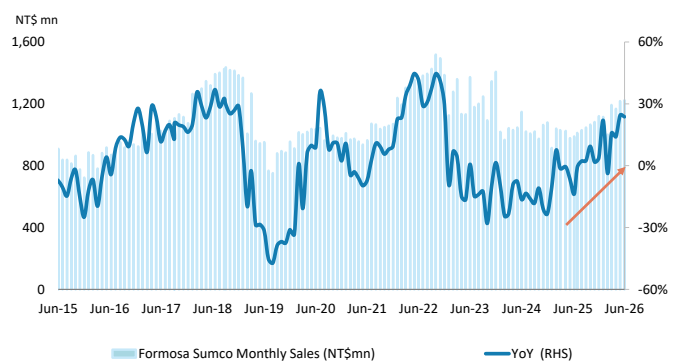
Source: Taiwan Customs CPT Single Window, Morgan Stanley Research

Exhibit 7: Wafer Works' monthly sales as 8-inch spot indicator



Source: TEJ, Morgan Stanley Research

Exhibit 8: Formosa Sumco's monthly sales as 12-inch spot indicator



Source: TEJ, Morgan Stanley Research

Estimate Revisions

We cut our EPS estimates by 14.5%, 1.0%, and 0% for 2026–28, respectively. The reductions to our 2026 and 2027 forecasts primarily reflect lower investment income from Siltronic and the impact of the fire at the Novara fab.

Exhibit 9: GlobalWafers: Earnings estimate revisions

(NT\$ mn)	New 2026e	Old 2026e	Diff.%	New 2027e	Old 2027e	Diff.%	New 2028e	Old 2028e	Diff.%
Net sales	62,770	63,873	-2%	90,337	90,728	0%	113,424	113,214	0%
Gross profit	14,282	15,353	-7%	26,102	26,267	-1%	36,821	36,724	0%
Operating profit	8,258	9,333	-12%	19,486	19,643	-1%	29,394	29,301	0%
Pretax income	14,466	16,998	-15%	22,683	22,840	-1%	32,582	32,489	0%
Net income	11,326	13,248	-15%	17,012	17,130	-1%	24,437	24,367	0%
EPS for Consensus	23.68	27.70	-15%	35.56	35.81	-1%	51.09	50.94	0%
Margins									
Gross margin	22.8%	24.0%		28.9%	29.0%		32.5%	32.4%	
Operating margin	13.2%	14.6%		21.6%	21.7%		25.9%	25.9%	
Pretax margin	23.0%	26.6%		25.1%	25.2%		28.7%	28.7%	
Net margin	18.0%	20.7%		18.8%	18.9%		21.5%	21.5%	

Source: Company data, Morgan Stanley Research (e) estimates

Valuation Methodology

We keep our price target at NT\$900: All of our key assumptions are unchanged, including a cost of equity of 11% (beta of 1.5, risk premium of 6% and risk-free rate of 2%), an intermediate growth rate of 13%, and a terminal growth rate of 4%.

Our bull- and bear-case values also remained NT\$1,140 and NT\$450, respectively, implying P/Es of 32x and 13x 2027e.

Exhibit 10: GWC: Residual income model

(NT\$ mn)	2026e	2027e	2028e	2029e	2030e	2031e	2032e	2033e	2034e	2035e	2036e	2037e
Total Equity	98,534	108,684	122,913	129,974	137,952	146,968	157,156	168,668	181,677	196,377	212,988	231,759
Net Profit	11,438	17,012	24,437	27,613	31,203	35,259	39,843	45,023	50,876	57,490	64,963	73,408
ROAE	11.9%	16.4%	21.1%	21.8%	23.3%	24.8%	26.2%	27.6%	29.0%	30.4%	31.7%	33.0%
Residual Income	863	5,340	10,980	13,322	15,977	18,969	22,342	26,145	30,433	35,270	40,726	46,881
Spread	0.9%	5.4%	10.1%	10.8%	12.3%	13.8%	15.2%	16.6%	18.0%	19.4%	20.7%	22.0%
Ending Equity Capital	98,534											
PV of Forecast Period	111,119											
PV of Continuing Value	220,996											
Equity Value	430,649											
No. of Shares	478											
Projected Price (NT\$)	900											

Source: Company data, Morgan Stanley Research (e) estimates

Exhibit 11: GlobalWafers: One-year forward P/E chart



Source: Company data, Morgan Stanley Research estimates

Quarterly Financials

Exhibit 12: GlobalWafers: Quarterly financials

(NT\$ mn)	1Q26	2Q26e	3Q26e	4Q26e	1Q27e	2Q27e	3Q27e	4Q27e	2024	2025	2026e	2027e	2028e
Total Revenues	13,985	15,214	16,172	17,399	20,137	22,582	23,339	24,279	62,626	60,598	62,770	90,337	113,424
Sequential Change	-3.6%	8.8%	6.3%	7.6%	15.7%	12.1%	3.3%	4.0%					
Change vs Year Ago	-10.3%	-5.0%	11.6%	20.0%	44.0%	48.4%	44.3%	39.5%	-11.4%	-3.2%	3.6%	43.9%	25.6%
Cost of Sales	(11,071)	(12,074)	(12,417)	(12,925)	(14,307)	(16,057)	(16,496)	(17,374)	(42,823)	(45,974)	(48,488)	(64,234)	(76,603)
Gross Profit	2,914	3,140	3,755	4,474	5,831	6,525	6,842	6,904	19,804	14,624	14,282	26,102	36,821
Gross Margin	20.8%	20.6%	23.2%	25.7%	29.0%	28.9%	29.3%	28.4%	31.6%	24.1%	22.8%	28.9%	32.5%
Total Opex	(1,438)	(1,717)	(1,415)	(1,453)	(1,592)	(1,651)	(1,675)	(1,697)	(5,685)	(5,987)	(6,024)	(6,616)	(7,427)
Percent of Revenues	10.3%	11.3%	8.8%	8.4%	7.9%	7.3%	7.2%	7.0%	9.1%	9.9%	9.6%	7.3%	6.5%
R&D	(471)	(476)	(481)	(486)	(600)	(610)	(615)	(620)	(2,363)	(2,218)	(1,914)	(2,445)	(2,740)
Percent of Revenues	3.4%	3.1%	3.0%	2.8%	3.0%	2.7%	2.6%	2.6%	3.8%	3.7%	3.0%	2.7%	2.4%
Sales and Marketing	(375)	(408)	(434)	(467)	(362)	(406)	(420)	(437)	(1,352)	(1,600)	(1,685)	(1,626)	(2,042)
Percent of Revenues	2.7%	2.7%	2.7%	2.7%	1.8%	1.8%	1.8%	1.8%	2.2%	2.6%	2.7%	1.8%	1.8%
General and Admin	(592)	(832)	(500)	(500)	(630)	(635)	(640)	(640)	(1,970)	(2,169)	(2,424)	(2,545)	(2,645)
Percent of Revenues	4.2%	5.5%	3.1%	2.9%	3.1%	2.8%	2.7%	2.6%	3.1%	3.6%	3.9%	2.8%	2.3%
Operating Income	1,475	1,423	2,339	3,021	4,238	4,873	5,167	5,207	14,118	8,636	8,258	19,486	29,394
Percent of Revenues	10.5%	9.4%	14.5%	17.4%	21.0%	21.6%	22.1%	21.4%	22.5%	14.3%	13.2%	21.6%	25.9%
Total Non-operating Income(Loss)	871	3,162	1,059	1,116	821	779	794	803	(1,690)	880	6,208	3,197	3,188
Profit Before Taxes	2,347	4,585	3,398	4,137	5,060	5,652	5,961	6,010	12,429	9,516	14,466	22,683	32,582
Percent of Revenues	16.8%	30.1%	21.0%	23.8%	25.1%	25.0%	25.5%	24.8%	19.8%	15.7%	23.0%	25.1%	28.7%
Change vs Year Ago	10.0%	100.3%	55.4%	42.3%	115.6%	23.3%	75.4%	45.3%					
Taxes	(451)	(806)	(849)	(1,034)	(1,265)	(1,413)	(1,490)	(1,503)	(2,590)	(2,205)	(3,141)	(5,671)	(8,146)
Tax Rate	19.2%	17.6%	25.0%	25.0%	25.0%	25.0%	25.0%	25.0%	20.8%	23.2%	21.7%	25.0%	25.0%
Net Income, Cont Ops	1,896	3,779	2,548	3,103	3,795	4,239	4,471	4,508	9,839	7,312	11,326	17,012	24,437
Percent of Revenues	13.6%	24.8%	15.8%	17.8%	18.8%	18.8%	19.2%	18.6%	15.7%	12.1%	18.0%	18.8%	21.5%
Minority Interest	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	7	0	(0)	(0)	(0)
Reported Income (TW GAAP)	1,896	3,779	2,548	3,103	3,795	4,239	4,471	4,507	9,846	7,312	11,326	17,012	24,437
Percent of Revenues	13.6%	24.8%	15.8%	17.8%	18.8%	18.8%	19.2%	18.6%	15.7%	12.1%	18.0%	18.8%	21.5%
Change vs Year Ago	30.2%	124.7%	29.4%	40.7%	100.2%	12.2%	75.4%	45.3%	-50.2%	-25.7%	54.9%	50.2%	43.6%
Reported Diluted EPS (NT\$, TW GAAP)	3.96	7.90	5.33	6.49	7.93	8.86	9.35	9.42	21.14	15.28	23.68	35.56	51.09
Reported Basic EPS (NT\$, GAAP)	3.97	7.90	5.33	6.49	7.94	8.87	9.35	9.43	21.06	15.29	23.69	35.58	51.11

Source: Company data, Morgan Stanley Research (e) estimates

Risk Reward – GlobalWafers Co Ltd (6488.TWO)

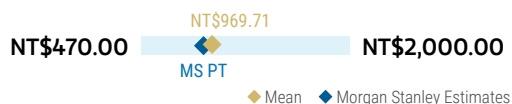
More balanced set-up from here

PRICE TARGET NT\$900.00

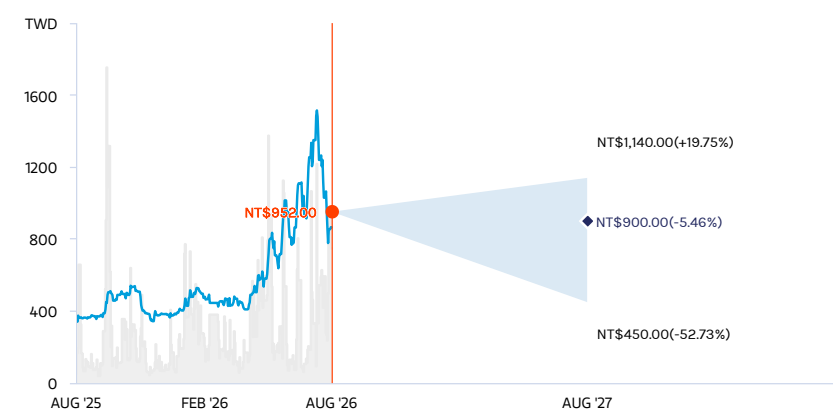
Base-case, residual income model. We assume a cost of equity of 11.0% (risk-free rate of 2.0%, beta of 1.5 and equity risk premium of 6.0%), intermediate-term growth rate of 13%, and terminal growth rate of 4.0%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



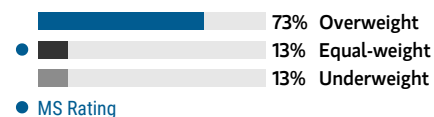
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- The 2H26 pricing recovery, improving LTA fulfillment, and compound semiconductor progress are constructive.
- However, we believe much of this is increasingly reflected in expectations.
- At the same time, higher production costs and new capacity ramp up could limit the pace of margin recovery.
- With pricing upside back-end-loaded and cost pressure still visible, we see a more balanced set-up from here.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

NT\$1,140.00

32x 2027e EPS

Semiconductor industry recovers faster than expected. Pure foundry players' utilization rates rebound to 100%, and memory players start to pull in more raw wafers. GWC's total revenue CAGR picks up to >30% in 2025-28 vs. 8% in 2021-23. Gross margin recovers to over 40% vs. 37.4% in 2023.

BASE CASE

NT\$900.00

25x 2027e EPS

Semiconductor industry recovers from a down-cycle. Pure foundry and memory players start to see recovery in utilization rate, while both spot price and LTA amount also increase gradually. GWC's total revenue CAGR rises to >15% in 2025-28 vs. 8% in 2021-23. Gross margin stays above 25%.

BEAR CASE

NT\$450.00

13x 2027e EPS

Semiconductor industry recovers more slowly than expected during this down-cycle. Pure foundry players start to breach LTAs and memory players start to cut more raw wafer orders. GWC's total revenue CAGR slows to 0% in 2025-28 vs. 8% in 2021-23. Gross margin declines to <20% vs. 37.4% in 2023.

Risk Reward – GlobalWafers Co Ltd (6488.TWO)

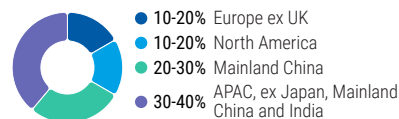
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Total Wafer Shipment (NT\$, 000s)	32,501	33,263	37,382	32,035
GWC Utilization Rate (%)	60.1	59.0	63.7	60.4
Blended ASP Per Wafer (NT\$)	60	61	78	61

INVESTMENT DRIVERS

- Monthly sales inflection
- Stronger outlooks from key customers
- Extension of LTA pricing or shipments by GWC or peers

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Margins improve as loosening competition boosts overall wafer ASP.
- Wafer supply remains stable or even goes into shortage amid stronger-than-expected wafer demand.

RISKS TO DOWNSIDE

- Global semiconductor growth slows again, triggering less wafer demand.
- Margins erode as rising competition lowers overall wafer ASP.
- Global wafer supply rises unexpectedly from new projects.

OWNERSHIP POSITIONING

Inst. Owners, % Active **65.4%**

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (NT\$, mn) **62,770**
61,936 64,545 69,231

EBITDA (NT\$, mn) **18,119**
13,676 19,920 24,730

Net income (NT\$, mn) **11,326**
7,337 10,460 15,723

EPS (NT\$) **23.68**
15.34 21.49 32.89

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Financial Summary

Income Statement, 2024-2028e, Year End Dec

(NT\$ mn)	2024	2025	2026e	2027e	2028e
Turnover	62,626	60,598	62,770	90,337	113,424
YoY Growth	-11.4%	-3.2%	3.6%	43.9%	25.6%
Less: COGS	(42,823)	(45,974)	(48,488)	(64,234)	(76,603)
Variable costs	(35,056)	(37,362)	(38,998)	(52,395)	(61,249)
Depreciation & amort	(7,766)	(8,612)	(9,490)	(11,839)	(15,354)
Gross profit	19,804	14,624	14,282	26,102	36,821
YoY Growth	-25.1%	-26.2%	-2.3%	82.8%	41.1%
% margin	31.6%	24.1%	22.8%	28.9%	32.5%
Operating Expenses:	(5,685)	(5,987)	(6,024)	(6,616)	(7,427)
R&D	(2,363)	(2,218)	(1,914)	(2,445)	(2,740)
Sales and Marketing	(1,352)	(1,600)	(1,685)	(1,626)	(2,042)
General and Admin	(1,970)	(2,169)	(2,424)	(2,545)	(2,645)
Operating Profit	14,118	8,636	8,258	19,486	29,394
YoY Growth	-29.6%	-38.8%	-4.4%	136.0%	50.8%
% margin	22.5%	14.3%	13.2%	21.6%	25.9%
Total Non-op	(1,690)	880	6,208	3,197	3,188
Pretax Profit	12,429	9,516	14,466	22,683	32,582
YoY Growth	-53.1%	-23.4%	52.0%	56.8%	43.6%
% margin	19.8%	15.7%	23.0%	25.1%	28.7%
Tax	(2,590)	(2,205)	(3,141)	(5,671)	(8,146)
Reported Net Income	9,846	7,312	11,326	17,012	24,437
EPS (NT\$)	21.14	15.28	23.68	35.56	51.09
Key Ratios	2024	2025	2026e	2027e	2028e
Return (%)					
ROAA	4.4%	2.7%	3.9%	5.5%	7.3%
ROAE	11.3%	7.1%	10.7%	15.5%	21.1%
OP. ATO	51.1%	38.6%	39.3%	54.3%	67.1%
Gearing (x)					
Net Debt/ Equity	(0.0x)	0.3x	0.1x	0.1x	(0.0x)
Current Ratio	1.3x	1.6x	1.8x	2.6x	3.5x
Quick Ratio	0.8x	0.5x	1.1x	1.8x	2.7x
Operating Cycle					
AR/NR Turnover (days)	62	87	90	70	64
Inventory Turnover (days)	92	114	114	95	90
AP Turnover (days)	40	44	42	35	33
Cash Conversion (days)	114	156	162	130	120

Balance sheet

(NT\$ mn)	2024	2025	2026e	2027e	2028e
Assets					
Cash & Equivalents	38,929	19,484	57,431	100,965	152,451
Marketable Security	29	1	21	21	21
A/R & N/R	10,265	10,113	12,612	17,600	22,465
Inventories	11,238	10,399	12,842	17,263	20,870
Other Current Asset	20,030	46,632	31,636	31,636	31,636
Total current assets	81,349	87,237	115,205	168,147	228,106
LT Investment	14,280	14,811	15,495	15,495	15,495
Total Fixed Assets	119,074	107,241	116,929	115,584	110,939
Total Other Assets	9,877	9,054	9,270	9,502	9,734
Total Assets	224,581	218,343	256,898	308,728	364,274
Liabilities					
A/P & N/P	5,371	4,161	4,686	6,299	7,615
Accrued Expenses	0	0	0	0	0
Other Payable	4,650	3,613	5,597	5,597	5,597
Total Current Liab.	65,065	54,109	63,043	64,656	65,972
L-T Liabilities	37,678	43,244	69,221	109,221	149,221
Total Other L-T Liab	30,810	27,695	26,213	26,213	26,213
Total Liabilities	133,553	125,048	158,476	200,089	241,406
Equity					
Common Stock	4,781	4,781	4,781	4,781	4,781
Preferred Stock					
Capital Reserve	45,720	44,764	44,764	44,764	44,764
Retained earnings	40,530	43,753	48,881	59,097	73,327
Treasury Stock	0	0	0	0	0
Total Equity	91,028	93,295	98,422	108,639	122,868
Cash Flow Statement	2024	2025	2026e	2027e	2028e
Net Income	9,846	7,312	11,326	17,012	24,437
Depreciation	8,069	8,949	9,861	12,301	15,954
Net Investment Losses (Gains)	(49)	48	(89)	(89)	(89)
Others	(2,825)	(3,564)	(6,902)	(7,795)	(7,157)
Cash Flow-Operating	15,041	12,745	14,194	21,429	33,145
(Purchase) of FA	(48,319)	(33,497)	(19,117)	(10,867)	(11,220)
Sale of Fix Asset	380	86	35	0	0
(Purchase)L-T Inv.	0	0	0	0	0
Sale of L-T Inv.	0	0	0	0	0
Sale(Pur.)S-T Inv.	(6,846)	(106)	13	0	0
Cash Flow-Investing	(29,620)	(34,049)	(3,633)	(11,099)	(11,452)
Inc(Dec)-S-T Debt	8,222	(3,977)	(3,382)	0	0
Dividend Paid	(8,748)	(5,259)	(5,343)	(6,795)	(10,207)
Dir.&Emp.Bonus	0	0	0	0	0
Proceed from New Issue	21,891	0	0	0	0
Dec/Inc-TreasureSt	0	0	0	0	0
Others	4,375	10,540	35,568	40,000	40,000
Cash Flow-Financing	25,740	1,303	26,843	33,205	29,793
Change in Cash	12,765	(19,445)	37,947	43,534	51,485
Net cash/(debt), b/f	26,165	38,929	19,484	57,431	100,965
Net cash/(debt), c/f	38,929	19,484	57,431	100,965	152,451

e = Morgan Stanley Research Estimates
Source: Company Data, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/04/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$78.64
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb317.74
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$122.50
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$3,390.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$585.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,078.21
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$4,145.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$952.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$430.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$135.10
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$479.20
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$245.50
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb72.34
MediaTek (2454.TW)	O (11/28/2025)	NT\$3,865.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb696.04
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$436.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb687.00
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb87.95
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$1,820.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb101.56
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$424.00
SMIC (0981.HK)	O (10/21/2025)	HK\$65.30
TSMC (2330.TW)	O (02/07/2022)	NT\$2,320.00
UMC (2303.TW)	O (05/19/2026)	NT\$118.50
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$154.50
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$342.00

Daisy Dai, CFA

ASMP T Ltd (0522.HK)	O (07/24/2025)	HK\$158.00
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb54.15
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb89.81
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb29.12
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb275.35
Innoscence (2577.HK)	E (10/13/2025)	HK\$42.68
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb65.41
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$25.80
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb86.45
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb82.80
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb65.55
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb23.60
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb86.80
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$806.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,360.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$15,500.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$96.50
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$157.50
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb105.38
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb356.02
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$120.00
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$262.60
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb203.25
Novatek (3034.TW)	U (02/04/2026)	NT\$524.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$129.50
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$584.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$60.10
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$723.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb52.69
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$157.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$117.50
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$212.50
Duan Liu		
Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb101.78
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb336.05
Tiffany Yeh		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,090.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$563.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$12.78
Hon Precision (7769.TW)	O (04/17/2026)	NT\$6,190.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$5,900.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$251.52
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$6,575.00

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

August 4, 2026 12:19 PM GMT

Novatek | Asia Pacific

2Q Earnings Beat

AlphaSignals Earnings Reaction

Unchanged

Impact to our thesis

↑ Modest upside

Financial results versus consensus

↑ Modest revision higher

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- Gross margin expanded 3.4ppt Q/Q to 42.4%, exceeding MSe by 0.2ppt and the Street by 2.8ppt on price hikes and stronger SoC mix.
- We expect 3Q revenue to rise at least 0-5% Q/Q, with auto and SoC strength offsetting smartphone weakness, alongside resilient gross margin.
- Key focus areas for Aug 6 call (3pm HKT) incl. consumer tech demand in 2H26–2027, pricing trends across DDIC and supply chain, and ASIC development progress.

2Q earnings above expectations: EPS was NT\$10.4, +68% Q/Q and +69% Y/Y, 3%/36% higher than MSe/consensus, mainly helped by strong non-op gains. Revenue was +24% Q/Q and +10% Y/Y, 2% below MSe but 2% higher than Street. GM was up 3.4ppt Q/Q to 42.4%, 0.2/2.8ppt higher than MSe/Street, supported by price increases and a favorable product mix driven by strong SoC demand. OpM was up 5.2ppt Q/Q to 22.6%, 1.6ppt below MSe on higher R&D spending. Inventory increased 23% Q/Q on elevated costs, while inventory days rose by 4 days to 67.

Stay UW: We expect 3Q revenue to grow at least 0-5% Q/Q, with auto and SoC offsetting smartphone weakness. We also expect GM to remain resilient at current levels on mix and price. The stock is trading at 15x 2027E EPS, which we view as fair, while the company's limited exposure to AI keeps us UW.

Novatek will host its earnings call on August 6 at 3pm HKT ([link](#)). Key topics to monitor include: 1) consumer tech demand through 2H26–2027; 2) pricing trends for DDICs, foundry services, OSAT, and materials; and 3) ASIC development progress.

Exhibit 1: Novatek 2Q26 Earnings Table

P/L Comparison (NT\$ mn)	2Q26 Result								
	2Q25	1Q26	2Q26	Q/Q	Y/Y	MSe.	diff.	Cons.	diff.
Net sales	26,152	23,145	28,660	24%	10%	29,183	-2%	28,174	2%
Gross profit	9,494	9,040	12,157	34%	28%	12,307	-1%	11,166	9%
Operating profit	4,823	4,028	6,466	61%	34%	7,051	-8%	5,216	24%
Pretax profit	4,602	4,389	7,782	77%	69%	7,413	5%	5,646	38%
Net profit	3,739	3,767	6,328	68%	69%	6,153	3%	4,705	35%
EPS (NT\$)	6.14	6.19	10.40	68%	69%	10.11	3%	7.66	36%
Key ratios (%)									
Gross margin	36.3%	39.1%	42.4%	3.4 ppt	6.1 ppt	42.2%	0.2 ppt	39.6%	2.8 ppt
Operating margin	18.4%	17.4%	22.6%	5.2 ppt	4.1 ppt	24.2%	-1.6 ppt	18.5%	4.0 ppt
Pretax margin	17.6%	19.0%	27.2%	8.2 ppt	9.6 ppt	25.4%	1.7 ppt	20.0%	7.1 ppt
Net profit margin	14.3%	16.3%	22.1%	5.8 ppt	7.8 ppt	21.1%	1.0 ppt	16.7%	5.4 ppt

Source: Company data, Bloomberg, Morgan Stanley Research estimates

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Novatek (3034.TW, 3034 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	Underweight
Industry View	Attractive
Price target	NT\$414.00
Up/downside to price target (%)	(21)
Shr price, close (Aug 4, 2026)	NT\$524.00
52-Week Range	NT\$606.00-352.00
Sh out, dil, curr (mn)	609
Mkt cap, curr (mn)	NT\$318,860
EV, curr (mn)	NT\$272,315
Avg daily trading value (mn)	NT\$1,798

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	26.87	34.61	35.34	30.17
EPS (NT\$)§	26.61	29.48	32.82	35.80
Revenue, net (NT\$ mn)	100,663	108,436	114,160	108,577
EBITDA (NT\$ mn)	19,573	24,946	25,652	21,884
P/E	13.9	15.1	14.8	17.4
P/BV	3.4	4.3	4.1	4.1
ROE (%)	24.1	31.1	28.7	23.5
Div yld (%)	6.1	5.7	5.8	4.9

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Novatek (3034.TW)

Base case, residual income model. Key assumptions: cost of equity constant at 9.8% (2.0% risk-free rate, 6% risk premium, 1.3 beta), payout ratio of 80%, medium-term growth rate of 6.1% and terminal growth rate assumption of 3.4%.

Risks to Upside

- Faster-than-expected 8K/4K TV growth.
- Better-than-expected smartphone sell-through.
- Better-than-expected sell-through of foldable products.

Risks to Downside

- Intensified price competition in TDDI, driving Novatek's gross margin below its corporate average.
- Slower-than-expected 8K/4K TV growth.
- Slower sell-through of foldable products.

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Global Stock Ratings Distribution

(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

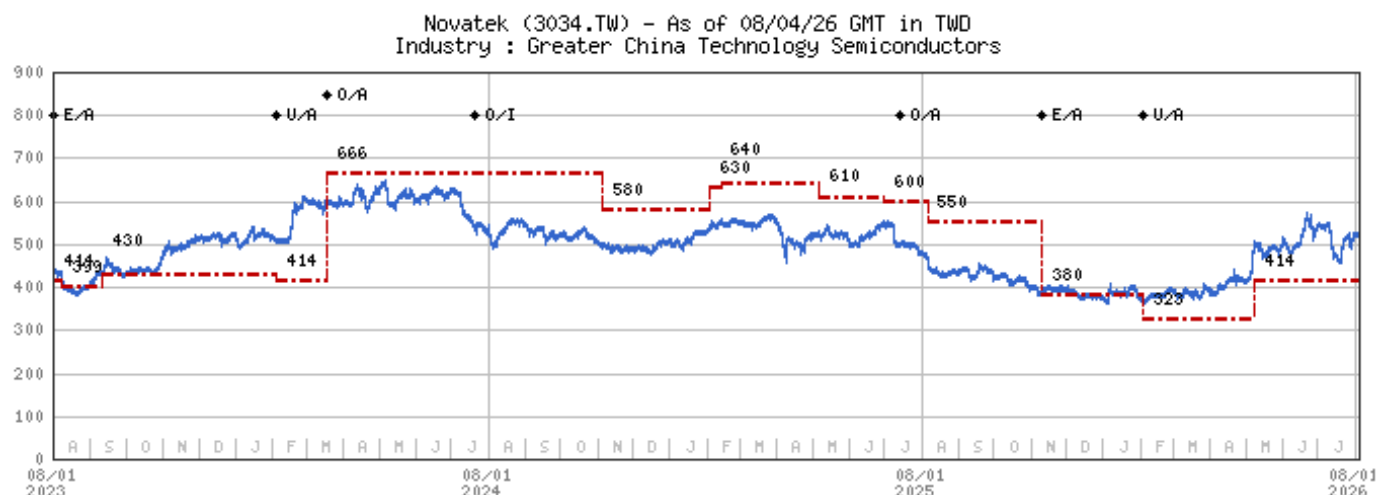
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 8/1/21 : U/I; 10/12/21 : U/C; 10/4/22 : U/A; 2/22/23 : E/I; 7/7/23 : E/A; 2/5/24 : U/A; 3/18/24 : O/A; 7/21/24 : O/I; 7/14/25 : O/A; 11/10/25 : E/A; 2/4/26 : U/A

Price Target History: 5/20/21 : 414; 10/21/21 : 313; 5/4/22 : 272; 6/21/22 : 262; 7/12/22 : 174; 8/5/22 : 161; 2/22/23 : 390; 5/9/23 : 414; 8/8/23 : 399; 9/11/23 : 430; 2/5/24 : 414; 3/18/24 : 666; 11/6/24 : 580; 2/3/25 : 630; 2/13/25 : 640; 5/7/25 : 610; 7/1/25 : 600; 8/6/25 : 550; 11/10/25 : 380; 2/4/26 : 323; 5/8/26 : 414

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target — No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/04/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$78.64
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb317.74
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$122.50
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$3,390.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$585.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,078.21
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$4,145.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$952.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$430.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$135.10
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$479.20
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$245.50
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb72.34
MediaTek (2454.TW)	O (11/28/2025)	NT\$3,865.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb696.04
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$436.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb687.00
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb87.95
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$1,820.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb101.56
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$424.00
SMIC (0981.HK)	O (10/21/2025)	HK\$65.30
TSMC (2330.TW)	O (02/07/2022)	NT\$2,320.00
UMC (2303.TW)	O (05/19/2026)	NT\$118.50
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$154.50
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$342.00

Daisy Dai, CFA

ASMP Ltd (0522.HK)	O (07/24/2025)	HK\$158.00
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb54.15
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb89.81
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb29.12
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb275.35
Innoscence (2577.HK)	E (10/13/2025)	HK\$42.68
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb65.41
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$25.80
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb86.45
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb82.80
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb65.55
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb23.60
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb86.80

Daniel Yen, CFA

AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$806.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,360.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$15,500.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$96.50
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$157.50
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb105.38
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb356.02
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$120.00
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$262.60
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb203.25
Novatek (3034.TW)	U (02/04/2026)	NT\$524.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$129.50
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$584.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$60.10
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$723.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb52.69
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$157.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$117.50
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$212.50

Duan Liu

Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb101.78
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb336.05

Tiffany Yeh

AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,090.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$563.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$12.78
Hon Precision (7769.TW)	O (04/17/2026)	NT\$6,190.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$5,900.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$251.52
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$6,575.00

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

August 4, 2026 10:54 AM GMT

Nanya Technology Corp. | Asia Pacific

Unleashing Strong Pricing Power; OW

Key Takeaways

- We attribute July's sales beat to price hikes rather than unit growth, highlighting stronger realized pricing in the period.
- Even with flat M/M momentum in August and September, 3Q revenue is likely to grow ~60% Q/Q, above our prior 25–30% Q/Q view.
- Our supply chain checks indicate that Nanya Tech has the strongest bargaining power in DDR4...
- ...supported by possession of the largest DDR4 capacity, especially into 2H26–2027.
- Stay OW. 2027e P/E is 3.9x vs. our implied target multiple of 5.2x and global peers at 3.8x.

Details: Nanya Tech reported July sales of NT\$43,868mn, +49% M/M and +720% Y/Y, beating our original +10-15% M/M estimate. We attribute the strength to price hikes. The company indicated that July shipments actually fell M/M given very lean inventories.

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Nanya Technology Corp. (2408.TW, 2408.TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	Overweight
Industry View	Attractive
Price target	NT\$580.00
Up/downside to price target (%)	33
Shr price, close (Aug 4, 2026)	NT\$436.00
52-Week Range	NT\$505.00-42.10
Sh out, dil, curr (mn)	3,082
Mkt cap, curr (mn)	NT\$1,343,794
EV, curr (mn)	NT\$1,299,343
Avg daily trading value (mn)	NT\$25,640

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	2.36	62.13	112.32	74.33
Prior EPS (NT\$)**	-	-	-	-
EPS (NT\$)§	1.95	60.81	95.20	89.11
Revenue, net (NT\$ mn)	66,587	348,048	638,966	518,763

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EBITDA (NT\$ mn)	20,285	267,364	496,607	335,402
ModelWare net inc (NT \$ mn)	7,373	209,579	384,461	254,439
P/BV	3.5	3.5	1.8	1.3
RNOA (%)	4.3	168.1	68.8	34.8
ROE (%)	4.5	123.0	102.1	33.4
EV/EBITDA	26.9	5.8	2.7	2.7
Div yld (%)	0.0	0.0	0.0	0.0
FCF yld ratio (%)**	2.4	(16.4)	14.3	28.6
Leverage (EOP) (%)	(26.2)	51.6	(2.6)	(44.0)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

Valuation Methodology and Risks

Nanya Technology Corp. (2408.TW)

Base case, P/B. We expect the stock to trade at 4.77x for 2026 and 2.36x for 2027, and 1.77x 2028 BVPS, above its average since 2015. We think NTC will benefit from a supply-driven up-cycle as major memory players are exiting the DDR4 market. That should help NTC more than offset the competitive impact from CXMT in the near term.

Risks to Upside

- Sustained DRAM prices from more disciplined supply and stronger demand
- Stronger pricing environment, enabling revenue guidance to be beaten
- Faster-than-expected 1a/1b nm ramp-up progress

Risks to Downside

- Slower-than-expected 1a/1b nm ramp-up
- Less demand for specialty DRAM from 4K2K TVs and smart set-top boxes

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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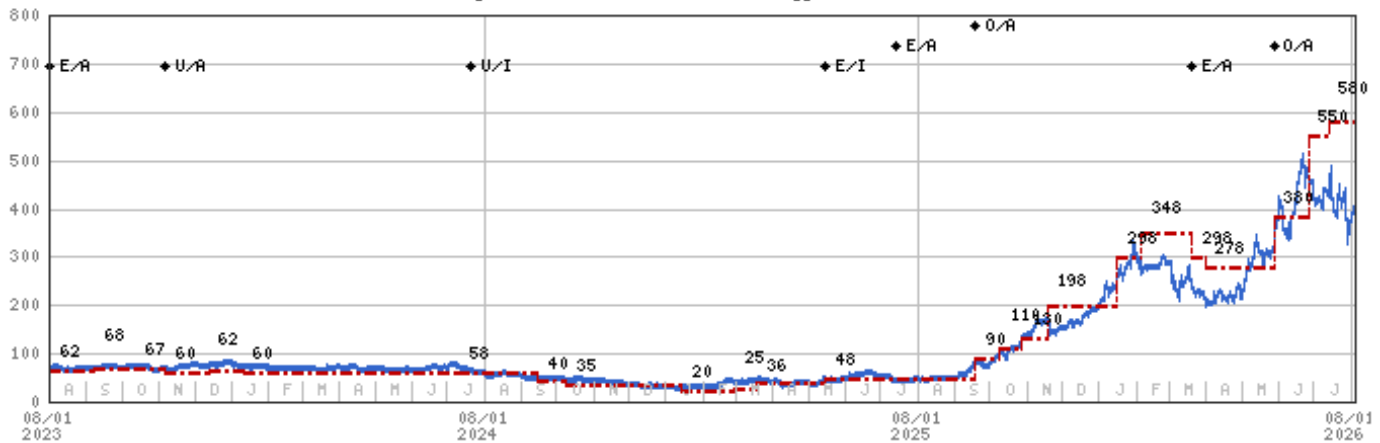
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Stock Price, Price Target and Rating History (See Rating Definitions)

Nanya Technology Corp. (2408.TW) - As of 08/04/26 GMT in TWD
Industry : Greater China Technology Semiconductors



Stock Rating History: 8/1/21 : O/I; 8/12/21 : E/I; 10/12/21 : E/C; 12/3/21 : U/C; 10/4/22 : E/A; 2/22/23 : E/I; 7/7/23 : E/A; 11/6/23 : U/A; 7/21/24 : U/I; 5/15/25 : E/I; 7/14/25 : E/A; 9/18/25 : O/A; 3/20/26 : E/A; 5/28/26 : O/A

Price Target History: 5/18/21 : 95; 8/12/21 : 75; 10/5/21 : 68; 3/24/22 : 65; 7/1/22 : 48; 1/11/23 : 46; 3/24/23 : 52; 4/11/23 : 60; 5/2/23 : 58; 7/11/23 : 62; 9/8/23 : 68; 10/12/23 : 67; 11/6/23 : 60; 12/13/23 : 62; 1/11/24 : 60; 7/10/24 : 58; 9/15/24 : 40; 10/9/24 : 35; 1/14/25 : 20; 2/27/25 : 25; 3/19/25 : 36; 5/15/25 : 48; 9/18/25 : 90; 10/9/25 : 110; 10/27/25 : 130; 11/18/25 : 198; 1/16/26 : 298; 2/5/26 : 348; 3/20/26 : 298; 3/31/26 : 278; 5/28/26 : 380; 6/26/26 : 550; 7/13/26 : 580

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/04/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$78.64
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb317.74
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$122.50
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$3,390.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$585.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,078.21
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$4,145.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$952.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$430.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$135.10
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$479.20
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$245.50
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb72.34
MediaTek (2454.TW)	O (11/28/2025)	NT\$3,865.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb696.04
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$436.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb687.00
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb87.95
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$1,820.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb101.56
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$424.00
SMIC (0981.HK)	O (10/21/2025)	HK\$65.30
TSMC (2330.TW)	O (02/07/2022)	NT\$2,320.00
UMC (2303.TW)	O (05/19/2026)	NT\$118.50
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$154.50
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$342.00

Daisy Dai, CFA

ASMP T Ltd (0522.HK)	O (07/24/2025)	HK\$158.00
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb54.15
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb89.81
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb29.12
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb275.35
Innoscence (2577.HK)	E (10/13/2025)	HK\$42.68
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb65.41
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$25.80
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb86.45
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb82.80
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb65.55
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb23.60
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb86.80

Daniel Yen, CFA

AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$806.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,360.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$15,500.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$96.50
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$157.50
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb105.38
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb356.02
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$120.00
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$262.60
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb203.25
Novatek (3034.TW)	U (02/04/2026)	NT\$524.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$129.50
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$584.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$60.10
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$723.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb52.69
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$157.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$117.50
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$212.50

Duan Liu

Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb101.78
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb336.05

Tiffany Yeh

AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,090.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$563.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$12.78
Hon Precision (7769.TW)	O (04/17/2026)	NT\$6,190.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$5,900.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$251.52
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$6,575.00

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

August 4, 2026 01:12 PM GMT

Vanguard International Semiconductor | Asia Pacific

Strong demand but limited by supply constraint; reiterate EW

AlphaSignals Earnings Reaction

Unchanged	In-line	Largely unchanged
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- AI-related revenue has reached a double-digit share of total revenue, and growth should be even stronger in 2027.
- AI demand includes interposer production in Singapore starting in 1Q27.
- Management is satisfied with its Singapore fab wafer sample out in June. Yield rate is above 99%.
- 2Q26 results came in largely in line with our estimate. 3Q26 utilization rate could reach above 90%.
- Stay EW: strong industry recovery is offset by supply constraints, potentially higher depreciation from the Singapore fab, and more expensive valuation vs. UMC.

Price hikes in 2027 should be larger than in 2026 with tighter supply/demand dynamics: Management expects supply to be tighter in 2027 than in 2026, driven by AI, industrial demand recovery, and share gain in the consumer sector. 2027 pricing will reflect incremental production cost and depreciation from capacity expansion, with a larger adjustment than in 2026. The company continues to invest in both 8- and 12-inch capacity to meet the strong demand.

3Q26 guidance lower than peer's given supply constraint: Management guided for 3Q26 wafer shipments up only 1-3% Q/Q owing to bottlenecks from a few tools, vs. UMC's high-single-digit Q/Q rise. However, Vanguard continues to lift wafer ASP by hiking prices and optimizing product mix, driving a 2-4% Q/Q ASP rise.

No concrete plan for Singapore fab phase 2 yet: Singapore fab phase 1's break-even point and ramp are ahead of schedule, and its 44kwpm capacity is fully booked. However, the company currently doesn't have a concrete plan for phase 2 capacity expansion. It would like to focus on phase 1 ramp and execution.

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Vanguard International Semiconductor (5347.TWO, 5347 TT)

Greater China Technology Semiconductors Taiwan					
Stock Rating	Equal-weight				
Industry View	Attractive				
Price target	NT\$180.00				
Up/downside to price target (%)	17				
Shr price, close (Aug 4, 2026)	NT\$154.50				
52-Week Range	NT\$223.00-87.60				
Sh out, dil, curr (mn)	1,858				
Mkt cap, curr (mn)	NT\$287,124				
EV, curr (mn)	NT\$264,578				
Avg daily trading value (mn)	NT\$2,808				
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e	
EPS (NT\$)**	4.18	5.46	6.76	8.32	
EPS (NT\$)§	4.32	5.71	6.93	8.98	

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Exhibit 1: Vanguard – 2Q26 Earnings Review

(NT\$ mn)	2Q26				
	Actual	Q/Q	Y/Y	MS Est.	Consensus
Financials					
Revenue	14,245	13.7%	21.8%	14,415	14,149
Opex	(1,703)	7.5%	23.1%	(1,708)	(1,756)
EPS (NT\$)	1.56	34.2%	43.7%	1.41	1.50
Ratios					
GM (%)	32.3%	303bps	428bps	32.2%	32.8%
Opex (%)	12.0%	-69bps	13bps	11.9%	12.4%
OPM (%)	20.4%	371bps	415bps	20.3%	20.4%

Source: Company Data, Visible Alpha, Morgan Stanley Research estimates

Revenue, net (NT\$ mn)	48,591	56,799	68,133	77,468
EBITDA (NT\$ mn)	16,326	20,717	25,023	29,713
ModelWare net inc (NT \$ mn)	7,770	10,167	12,579	15,487
P/E	22.0	28.3	22.9	18.6
P/BV	2.0	3.3	3.1	2.9
ROE (%)	11.3	12.2	14.7	17.1
EV/EBITDA	9.0	16.3	13.9	12.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

Valuation Methodology and Risks

Vanguard International Semiconductor (5347.TWO)

Base case, residual income model. Key assumptions: a cost of equity of 9.2%, a medium-term growth rate of 13.5%, and a terminal growth rate of 4.0%.

Risks to Upside

- Stronger-than-expected LCD driver IC demand
- Loosened competition in power semi business
- Faster-than-expected EV penetration
- Inability of IDM customers to move production in-house

Risks to Downside

- Inability to fully utilize VSMC 12-inch investment
- Weaker-than-expected LCD driver IC demand
- Intensified competition in power semi business
- Slower-than-expected EV penetration
- IDM customers moving production in-house

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Global Stock Ratings Distribution

(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

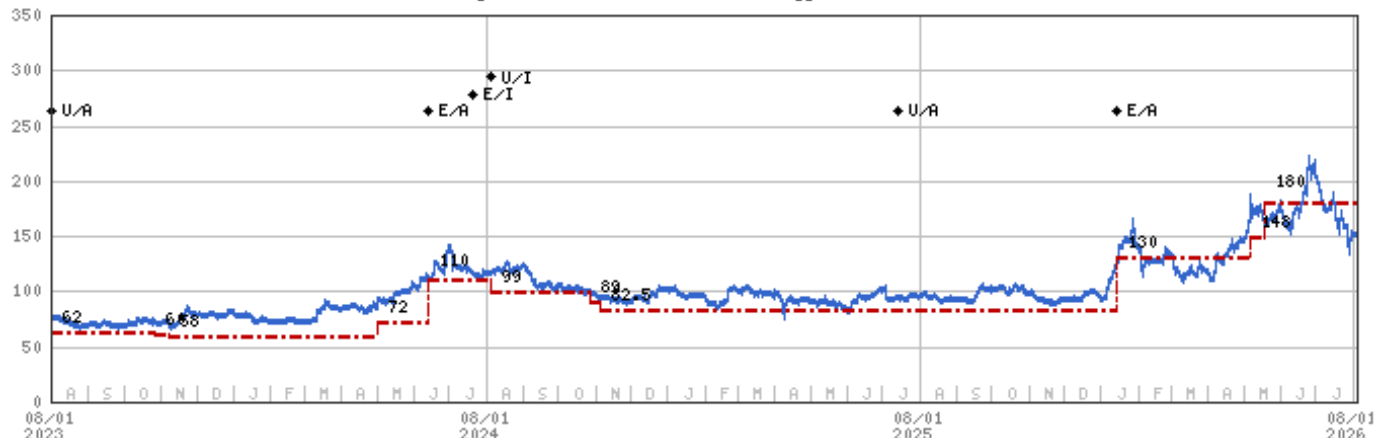
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Vanguard International Semiconductor (5347.TWO) - As of 08/04/26 GMT in TWD
Industry : Greater China Technology Semiconductors



Stock Rating History: 8/1/21 : U/I; 10/12/21 : U/C; 2/12/22 : E/C; 9/21/22 : U/C; 10/4/22 : U/A; 2/22/23 : U/I; 7/7/23 : U/A; 6/13/24 : E/A; 7/21/24 : E/I; 8/5/24 : U/I; 7/14/25 : U/A; 1/14/26 : E/A

Price Target History: 5/20/21 : 93; 8/3/21 : 106; 9/14/21 : 145; 2/12/22 : 135; 6/21/22 : 100; 7/12/22 : 80; 8/2/22 : 75; 9/21/22 : 65; 11/2/22 : 58; 5/3/23 : 62; 10/27/23 : 60; 11/8/23 : 58; 5/1/24 : 72; 6/13/24 : 110; 8/5/24 : 99; 10/28/24 : 89; 11/6/24 : 82.5; 1/14/26 : 130; 5/7/26 : 148; 5/19/26 : 180

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/04/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$78.64
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb317.74
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$122.50
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$3,390.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$585.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,078.21
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$4,145.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$952.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$430.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$135.10
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$479.20
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$245.50
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb72.34
MediaTek (2454.TW)	O (11/28/2025)	NT\$3,865.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb696.04
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$436.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb687.00
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb87.95
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$1,820.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb101.56
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$424.00
SMIC (0981.HK)	O (10/21/2025)	HK\$65.30
TSMC (2330.TW)	O (02/07/2022)	NT\$2,320.00
UMC (2303.TW)	O (05/19/2026)	NT\$118.50
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$154.50
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$342.00

Daisy Dai, CFA

ASMP Ltd (0522.HK)	O (07/24/2025)	HK\$158.00
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb54.15
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb89.81
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb29.12
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb275.35
Innoscence (2577.HK)	E (10/13/2025)	HK\$42.68
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb65.41
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$25.80
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb86.45
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb82.80
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb65.55
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb23.60
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb86.80

Daniel Yen, CFA

AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$806.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,360.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$15,500.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$96.50
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$157.50
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb105.38
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb356.02
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$120.00
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$262.60
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb203.25
Novatek (3034.TW)	U (02/04/2026)	NT\$524.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$129.50
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$584.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$60.10
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$723.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb52.69
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$157.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$117.50
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$212.50

Duan Liu

Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb101.78
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb336.05

Tiffany Yeh

AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,090.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$563.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$12.78
Hon Precision (7769.TW)	O (04/17/2026)	NT\$6,190.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$5,900.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$251.52
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$6,575.00

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

August 4, 2026 01:51 PM GMT

Wistron Corporation | Asia Pacific

Rising AI Demand Drives Growth with Margin Expansion

WHAT'S CHANGED

Wistron Corporation (3231.TW)	From	To
Price Target	NT\$210.00	NT\$275.00

AlphaSignals Earnings Reaction

Strengthens our thesis Impact to our thesis	Modest upside Financial results versus consensus	Meaningful revision higher Direction of next 12-month consensus EPS
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Source: Company data, Morgan Stanley Research

Strong AI demand and margin, aided by new customers (including CSPs), should boost confidence toward the stock.

Key Takeaways

- We raise our CY26-28 rack-equivalent shipment assumptions to 17.9k (+27%), 21k (+43%), 25k (+42%), respectively.
- We see AI server margin continuing to expand, contrary to market expectations.
- Wiwynn's implied 2Q OpM is seen at ~7.3% (30bps above the Street).

AI server demand to stay robust next 12 months: Management sounded bullish on component and system level AI server business into 1H27, citing strong demand from existing customers but also new customer demand, including CSP customers. They are broadening out to include more platforms as well, such as AMD's MI400 series platform. As a result, management sounded quite bullish on its AI server outlook. However, we think the more important comment was on margins; management expressed confidence that margins will continue to improve in the coming years despite rack ASP growth, which we think implies they have negotiated for ODM value-add based on percentage terms. We consider this is a very positive result for the ODMs that should help drive some confidence back to the sector.

Outside of AI, demand for general server and notebook not as exciting:

Management guided for general server demand to be flattish h/h in 2H26 and 1H27, with growth mainly seen in the AI space. For notebook, demand appears to be even weaker, with a 10-20% h/h decline expected for 2H26.

Other announcements: The board today approved 1) capex of NT\$2B and NT\$8.5B for its Hsinchu and Kaohsiung facilities, respectively, for equipment, and NT\$4B to establish an internal AI computing center in Tainan; 2) capex of US\$23M and US\$30M for Wistron InfoComm and SMS Infocomm in Texas; and 3) the issuance of up to 250M new common shares via GDR (up to ~7% dilution), to support AI.

Raising price target 31% to NT\$275; stay OW: Our PT implies 11.8x CY27e P/E. Valuation looks inexpensive at 8x CY27e (vs. 7-18x range past three years).

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Asia Summer School 2026

Wistron Corporation (3231.TW, 3231 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	Overweight
Industry View	In-Line
Price target	NT\$275.00
Up/downside to price target (%)	41
Shr price, close (Aug 4, 2026)	NT\$195.00
52-Week Range	NT\$201.00-109.00
Sh out, dil, curr (mn)	3,276
Mkt cap, curr (mn)	NT\$638,902
EV, curr (mn)	NT\$748,378
Avg daily trading value (mn)	NT\$7,256

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	9.04	16.67	23.32	28.31
Prior EPS (NT\$)**	-	13.95	18.11	21.30
Revenue, net (NT\$ bn)	2,186.5	3,913.1	5,626.4	7,040.6
EBITDA (NT\$ bn)	91.5	160.8	239.8	283.5
ModelWare net inc (NT\$ bn)	27.4	50.5	70.7	85.8
P/E	18.0	12.6	9.0	7.4
P/BV	1.9	2.2	1.9	1.6
RNOA (%)	35.0	32.4	63.9	59.8
ROE (%)	14.7	20.0	24.4	25.0
EV/EBITDA	6.6	3.9	2.7	2.2
Div yld (%)	2.4	1.9	2.8	5.2

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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2Q26 Results Summary

Wistron 2Q OpM was 10bps above MSe and 20bps above the Street, implying Wiwynn OpM of ~7.3%: Revenue was NT\$895B (+6% q/q, +62% y/y), with GM at 5.7% (+40bps q/q, +120bps y/y), 20bps above MSe and the Street. OpM was 3.7% (+30bps q/q, +180bps y/y), 10bps above MSe and 20bps above the Street. Management said Wistron's core OpM was slightly higher q/q in 2Q (1Q was ~2.05%), so we assume 2Q Wistron core OpM was 2.1-2.2%. That would imply Wiwynn's 2Q OpM was ~7.3% (above the Street at 7.0%), and its stock could react positively as a result. Wistron's non-op loss was better than MSe, due mainly to ~NT\$2.1B of FX gains; net profit was ~NT\$14.8B (+54% q/q, +128% y/y) for EPS of NT\$4.72, 26% above MSe and 30% above the Street.

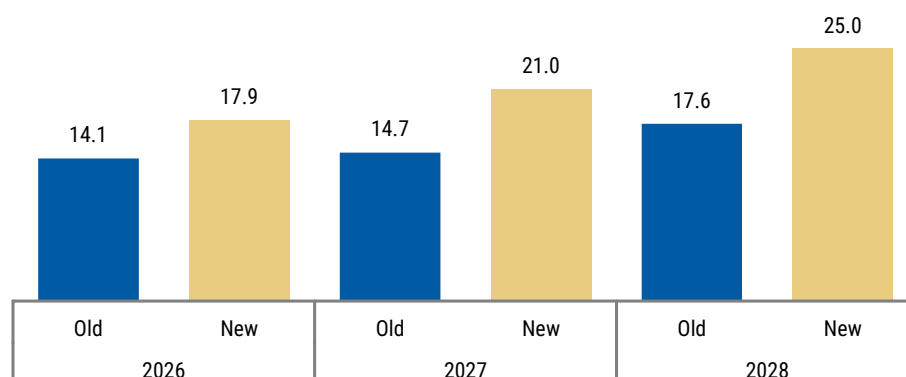
Exhibit 1: 2Q26 results recap

Year to Dec. 31 (NT\$m)	Actual 2Q26P	Q/Q	Y/Y	MS Forecast 2Q26E	Diff. %	Cons. 2Q26E	Diff. %
P&L Summary							
Net sales	895,443	6%	62%	920,238	-3%	873,399	3%
COGS	(844,779)			(869,782)		(825,424)	
Gross profit	50,664	15%	107%	50,457	0%	47,975	6%
Operating expenses	(17,217)	15%	26%	(16,666)		(17,127)	
Operating income	33,447	15%	210%	33,791	-1%	30,847	8%
Non-operating income	(2,363)			(5,208)		(4,444)	
Pre-tax income	31,084	32%	71%	28,582	9%	26,403	18%
Income tax	(7,340)			(7,146)		(5,423)	
Minority interest	8,917			9,685		7,321	
Net income	14,827	54%	128%	11,752	26%	11,384	30%
EPS (NT\$)	4.72			3.88		3.75	
Margins							
		ppt	ppt		ppt		ppt
Gross margin	5.7%	0.4	1.2	5.5%	0.2	5.5%	0.2
Operating margin	3.7%	0.3	1.8	3.7%	0.1	3.5%	0.2
Pretax margin	3.5%	0.7	0.2	3.1%	0.4	3.0%	0.4
Net margin	1.7%	0.5	0.5	1.3%	0.4	1.3%	0.4

Source: Company data, Visible Alpha, Morgan Stanley Research estimates.

Exhibit 2: Our Wistron GB200/300 rack equivalent shipment forecasts increase for CY26e-28e

AI Server Rack-Equivalent Forecast (k units)



Source: Morgan Stanley Research estimates.

Sensitivity analysis for GB300 compute tray assembly

We lay out a sensitivity analysis around potential ASPs and volumes that we could expect from enterprise or Tier 2/Tier 3 CSP customers in 2026 and beyond for GB300 compute tray (L10) assembly. We believe the mostly likely pricing outcomes for Wistron should be

~US\$3.0-3.2mn.

Our checks indicate that GB200 NVL72 ASP is US\$3.0mn to US\$3.4mn per rack (L11), and we estimate GB300 NVL72 ASP/rack is ~20% higher than that of GB200, putting GB300 NVL72 ASP between US\$3.6mn and US\$4.2mn per rack (L11). We estimate compute tray (L10) accounts for 75-85% of the entire cost of the rack, hence we view the most likely pricing outcome for GB300 compute tray (L10) at around US\$3.0-3.2mn.

Exhibit 3: GB300 rack sensitivity analysis

EPS contribution		Rack shipment (000s)					
Rack ASP (US\$ M)		1	2	3	4	5	6
	2.6	0.36	0.73	1.09	1.46	1.82	2.18
	2.8	0.39	0.78	1.18	1.57	1.96	2.35
	3.0	0.42	0.84	1.26	1.68	2.10	2.52
	3.2	0.45	0.90	1.34	1.79	2.24	2.69
	3.4	0.48	0.95	1.43	1.90	2.38	2.85
	3.6	0.50	1.01	1.51	2.01	2.52	3.02

Source: Morgan Stanley Research estimates.

Estimate Changes

We adjust our model, baking in our latest forecasts and the latest guidance from management. Our EPS estimates increase by 19%, 29%, and 33% for CY26-28, respectively.

Exhibit 4: Estimate changes

Year to Dec. 31 (NT\$m)	2026E			2027E			2028E		
	New	Old	% diff	New	Old	% diff	New	Old	% diff
P&L Summary									
Net sales	3,913,114	3,479,278	12%	5,626,375	4,669,135	21%	7,040,611	4,775,156	47%
COGS	(3,703,993)	(3,284,866)		(5,336,960)	(4,430,778)		(6,702,163)	(4,507,225)	
Gross profit	209,121	194,412	8%	289,415	238,357	21%	338,448	267,931	26%
Operating expenses	(67,635)	(64,439)		(77,722)	(74,898)		(89,404)	(79,926)	
Operating income	141,486	129,973	9%	211,694	163,459	30%	249,043	188,005	32%
Non-operating income	(23,526)	(21,443)		(42,013)	(21,983)		(55,689)	(23,049)	
Pre-tax income	117,961	108,530	9%	169,681	141,476	20%	193,354	164,956	17%
Income tax	(28,505)	(26,329)		(41,624)	(34,345)		(47,413)	(40,030)	
Minority interest	38,911	39,894		57,364	52,233		60,118	60,352	
Net income	50,545	42,307	19%	70,693	54,898	29%	85,823	64,574	33%
EPS (NT\$)	16.67	13.95	19%	23.32	18.11	29%	28.31	21.30	33%
Margins									
Gross margin	5.3%	5.6%		5.1%	5.1%		4.8%	5.6%	
Operating margin	3.6%	3.7%		3.8%	3.5%		3.5%	3.9%	
Pretax margin	3.0%	3.1%		3.0%	3.0%		2.7%	3.5%	
Net margin	1.3%	1.2%		1.3%	1.2%		1.2%	1.4%	

Source: Morgan Stanley Research (E) estimates.

How do we differ from consensus?

Exhibit 5: MSe vs. Consensus

Wistron	MSe			Consensus			Variance		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenue	3,913,114	5,626,375	7,040,611	3,650,386	5,236,229	6,406,038	7%	7%	10%
GM	5.3%	5.1%	4.8%	5.6%	5.2%	5.2%	-0.25ppt	-0.08ppt	-0.43ppt
OpM	3.6%	3.8%	3.5%	3.7%	3.4%	3.4%	-0.04ppt	0.39ppt	0.09ppt
Net income	50,545	70,693	85,823	47,422	65,014	82,995	7%	9%	3%
EPS	16.67	23.32	28.31	15.64	21.44	27.37	7%	9%	3%

Source: Visible Alpha, Morgan Stanley Research estimates.

Price Target and Valuation Methodology

We raise our price target (base-case value) by ~31% to NT\$275; stay OW: The current share price implies only 8.4x our 2027 EPS estimate, which we consider undervalued as Wistron continues to shift away from low-profit consumer businesses (e.g., smartphone EMS) to more commercial exposure (e.g., switches and servers). Our price target implies 11.8x our 2027 EPS estimate, slightly below Wistron's three-year average of 12.4x. We think this is fair, reflecting sustainable AI server demand but some conservatism for its PC/display business.

We continue to use a residual income model to value the stock. Our key assumptions (all unchanged) include a cost of equity of 8.7%, medium-term growth rate of 7.0%, and terminal growth rate of 3%.

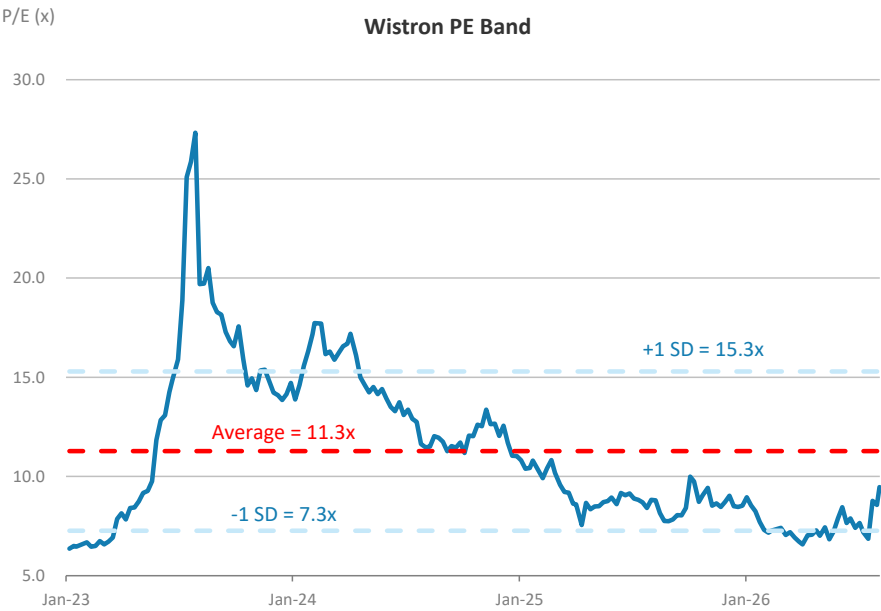
Our bull and bear case values increase by similar magnitudes as our base case value, to NT\$390 and NT\$144, respectively.

Exhibit 6: Residual income model

NT\$ mn	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Total Equity	289,446	343,524	398,655	487,204	581,950	683,329	791,805	907,874	1,032,067	1,164,954	1,301,562
Net Profit	50,545	70,693	85,823	91,831	98,259	105,137	112,497	120,372	128,798	137,814	141,879
Return on Equity	18.6%	22.3%	23.1%	20.7%	18.4%	16.6%	15.3%	14.2%	13.3%	12.5%	11.5%
Beta	1.20	1.20	1.20	1.20	1.20	1.20	1.20	1.20	1.20	1.20	1.20
Equity Risk Premium (Rm-Rf)	5.99%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%
Risk Free Rate (Rf)	1.50%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%
Cost of Equity	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%
Beginning Equity Capital	289,446										
PV of Forecast Period	286,507										
PV of Continuing Value	257,802										
Equity Value	833,755										
No. of Shares	3,032										
Projected Price (EoY)	275.0										
Implied 2027 P/E	11.8x										

Source: Morgan Stanley Research (E) estimates.

Exhibit 7: Wistron: P/E trend



Source: Company data, Morgan Stanley Research estimates.

Financials

Exhibit 8: Quarterly Earnings Estimates

(NT\$mnn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26P	3Q26E	4Q26E	2025A	2026E	2027E	2028E
Net sales	346,485	551,291	567,805	720,941	846,303	895,443	1,044,327	1,127,040	2,186,523	3,913,114	5,626,375	7,040,611
COGS	(319,430)	(526,838)	(525,840)	(680,431)	(802,209)	(844,779)	(988,022)	#####	(2,052,539)	(3,703,993)	(5,336,960)	(6,702,163)
Gross profit	27,056	24,453	41,965	40,509	44,094	50,664	56,306	58,057	133,983	209,121	289,415	338,448
Operating expenses	(11,906)	(13,666)	(14,822)	(15,036)	(14,957)	(17,217)	(18,239)	(17,222)	(55,430)	(67,635)	(77,820)	(89,505)
SG&A, R&D exp.	(11,906)	(13,666)	(14,822)	(15,036)	(14,957)	(17,217)	(18,239)	(17,222)	(55,430)	(67,635)	(77,722)	(89,404)
Employee bonus	0	0	0	0	0	0	0	0	0	0	(98)	(100)
Operating income	15,150	10,787	27,142	25,474	29,137	33,447	38,067	40,835	78,553	141,486	211,596	248,943
Non-operating income	(343)	7,356	(5,104)	(4,205)	(5,630)	(2,363)	(7,514)	(8,019)	(2,296)	(23,526)	(42,013)	(55,689)
Interest income	(1,591)	(2,270)	(4,352)	(4,587)	(5,185)	(7,295)	(7,699)	(8,204)	(12,799)	(28,383)	(42,754)	(56,430)
Investment income	160	136	373	142	85	85	85	85	812	341	341	341
Disposal of investment	0	(16)	(283)	276	602	0	0	0	(23)	602	0	0
Exchange gain	697	10,076	(1,013)	783	(973)	2,135	0	0	10,543	1,162	0	0
Other	391	(571)	171	(819)	(159)	2,712	100	100	(829)	2,753	400	400
Pre-tax income	14,807	18,143	22,038	21,269	23,508	31,084	30,553	32,816	76,257	117,961	169,583	193,254
Income tax	(3,638)	(4,406)	(5,518)	(4,924)	(5,487)	(7,340)	(7,638)	(8,040)	(18,485)	(28,505)	(41,624)	(47,413)
Minority interest	5,838	7,234	9,114	8,179	8,390	8,917	10,326	11,278	30,364	38,911	57,364	60,118
Net income	5,331	6,504	7,406	8,167	9,631	14,827	12,589	13,498	27,408	50,545	70,595	85,723
Adj.wtd.avg.shrs (mn)	2,884	2,952	3,144	3,032	3,144	3,144	3,144	3,144	3,032	3,032	3,032	3,032
EPS	1.85	2.20	2.36	2.69	3.06	4.72	4.00	4.29	9.04	16.67	23.32	28.31
Fully Diluted shares (mn)	3,276	3,276	3,276	3,276	3,276	3,276	3,276	3,276	3,276	3,276	3,276	3,276
Diluted EPS (NT\$)	1.63	1.99	2.26	2.49	2.94	4.53	3.84	4.12	8.37	15.43	21.58	26.19
Margins (%)												
Gross Margin	7.8	4.4	7.4	5.6	5.2	5.7	5.4	5.2	6.1	5.3	5.1	4.8
Operating Margin	4.4	2.0	4.8	3.5	3.4	3.7	3.6	3.6	3.6	3.6	3.8	3.5
Pretax Margin	4.3	3.3	3.9	3.0	2.8	3.5	2.9	2.9	3.5	3.0	3.0	2.7
Net Margin	1.5	1.2	1.3	1.1	1.1	1.7	1.2	1.2	1.3	1.3	1.3	1.2
QoQ Growth (%)												
Sales	17	59	3	27	17	6	17	8				
Gross Profit	13	-10	72	-3	9	15	11	3				
Operating Profit	28	-29	152	-6	14	15	14	7				
Pretax Profit	17	23	21	-3	11	32	-2	7				
Net Profit	0	22	14	10	18	54	-15	7				
YoY Growth (%)												
Sales	45	130	108	143	144	62	84	56	108	79	44	25
Gross Profit	57	22	85	69	63	107	34	43	59	56	38	17
Operating Profit	115	25	138	115	92	210	40	60	102	80	50	18
Pretax Profit	85	99	116	68	59	71	39	54	91	55	44	14
Net Profit	51	47	76	54	81	128	70	65	57	84	40	21

Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 9: Consolidated Financial Summary**Consolidated Income Statement**

NT\$mnn (Year End Dec 31)	2025A	2026E	2027E	2028E
Net sales	2,186,523	3,913,114	5,626,375	7,040,611
COGS	(2,052,539)	(3,703,993)	(5,336,960)	(6,702,163)
Gross profit	133,983	209,121	289,415	338,448
Operating expenses	(55,430)	(67,635)	(77,722)	(89,404)
Operating income	78,553	141,486	211,694	249,043
Non-operating income	(2,296)	(23,526)	(42,013)	(55,689)
Interest income	(12,799)	(28,383)	(42,754)	(56,430)
Investment income	812	341	341	341
Disposal of investment	(23)	602	-	-
Exchange gain	10,543	1,162	-	-
Other	(829)	2,753	400	400
Pre-tax income	76,257	117,961	169,681	193,354
Income tax	(18,485)	(28,505)	(41,624)	(47,413)
Minority interests	30,364	38,911	57,364	60,118
Net income	27,408	50,545	70,693	85,823
Adj. wtd. Avg. shrs (m)	3,032	3,032	3,032	3,032
Reported EPS (NT\$)	9.04	16.67	23.32	28.31
Diluted shrs (m)	3,276	3,276	3,276	3,276
Diluted EPS (NT\$)	8.37	15.43	21.58	26.19

Consolidated Cash Flow Statement

NT\$mnn (Year End Dec 31)	2025A	2026E	2027E	2028E
Operating Cashflow	(105,810)	244,954	48,263	80,565
Net Profits	27,408	50,545	70,693	85,823
Depreciation & Amort.	12,938	19,341	28,101	34,443
Investment losses/(income)	(625)	(341)	(341)	(341)
Working capital change	(218,203)	185,801	(40,474)	(31,340)
Other adjustments	72,916	(9,791)	(9,716)	(8,020)
Investing Cashflow	(43,513)	(59,259)	(57,028)	(36,135)
Capex	(39,615)	(66,984)	(68,180)	(50,115)
Change of L/T investment	1,935	0	0	0
Change of S/T investment	(1,482)	0	0	0
Other adjustments	(5,081)	(101)	(101)	(101)
Financing Cashflow	217,195	(60,540)	(7,708)	(23,280)
Increase in L/T debt	56,538	0	0	0
Increase in S/T debt	155,381	0	0	0
Issuance of stock	27,109	(3,514)	1	1
Cash dividends	(10,997)	(11,521)	(16,675)	(30,752)
Other adjustments	(10,837)	(45,505)	8,966	7,471
FX adjustment	(3,279)	(1,162)	0	0
Net change in cash	64,593	123,992	(16,473)	21,151

Consolidated Balance Sheet

NT\$mnn (Year End Dec 31)	2025A	2026E	2027E	2028E
Cash	147,816	271,808	255,335	276,486
Mkt securities	5,529	5,529	5,529	5,529
AR/NR	422,913	540,010	776,440	971,604
Inventory	355,474	388,919	560,381	703,727
Others	12,399	22,191	31,906	39,926
Current Assets	944,132	1,228,457	1,629,591	1,997,273
Long-term investments	22,267	22,267	22,267	22,267
Fixed assets	87,914	127,731	156,558	158,149
Other assets	43,413	43,514	43,615	43,716
Total Assets	1,097,726	1,421,969	1,852,031	2,221,405
S/T borrowings	235,166	235,166	235,166	235,166
AP/NP	356,019	740,799	1,067,392	1,340,433
Other ST liabilities	141,036	92,600	133,424	167,554
Total Current Liabilities	732,221	1,068,564	1,435,982	1,743,153
L/T debt	44,394	44,394	44,394	44,394
Other LT liabilities	67,823	19,566	28,132	35,203
Total Liabilities	844,438	1,132,523	1,508,507	1,822,749
Common shares	31,804	28,289	28,289	28,289
Retained Earnings	125,567	162,486	216,163	270,893
Other SH' Equity	95,917	98,671	99,072	99,473
Total Shareholders' Equity	253,288	289,446	343,524	398,655
Total Liab./SH's Equity	1,097,726	1,421,969	1,852,031	2,221,405

Consolidated Financial Ratios

	2025A	2026E	2027E	2028E
Margins (%)				
Gross margin	6.1	5.3	5.1	4.8
Operating margin	3.6	3.6	3.8	3.5
Pretax margin	3.5	3.0	3.0	2.7
Net margin	1.3	1.3	1.3	1.2
YoY growth (%)				
Sales	108.4	79.0	43.8	25.1
Operating profits	101.5	80.1	49.6	17.6
Pretax profits	90.8	54.7	43.8	14.0
Net profits	57.1	84.4	39.9	21.4
Others				
Cash dividend payout (%)	62%	61%	61%	61%
Cash div (NT\$)	3.80	5.50	10.14	14.19
Yield (%)	16%	NM	NM	NM
Net Debt/Equity (%)	50%	1%	5%	-1%
Liabilities/Equity (%)	333%	391%	439%	457%
Liabilities/Assets (%)	77%	80%	81%	82%
ROAE (%)	12%	19%	22%	23%
ROAA (%)	3%	4%	4%	4%
AR/NR Turnover (days)	51	45	43	45
Inventory Turnover (days)	49	37	32	34
AP/NP Turnover (days)	47	54	62	66
Cash conversion cycle	52	28	13	14

Source: Company data, Morgan Stanley Research (E) estimates

Risk Reward – Wistron Corporation (3231.TW)

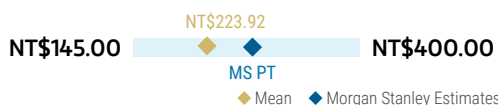
Well positioned for B200/300 and GB200/300 with undemanding valuation; OW

PRICE TARGET NT\$275.00

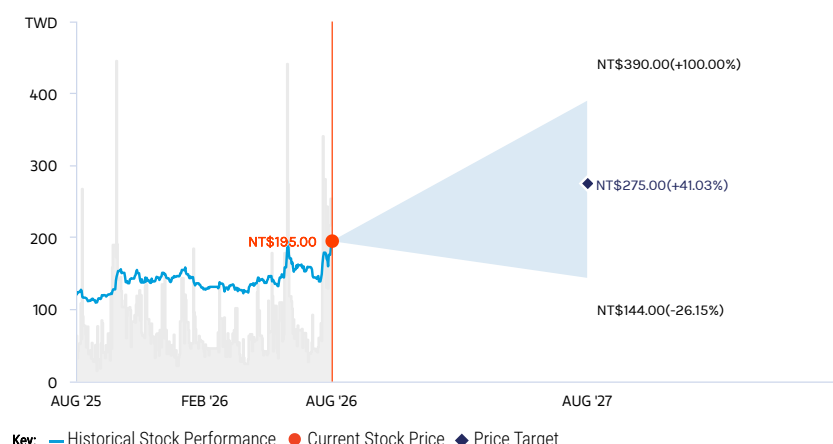
Base case, residual income valuation. Key assumptions: 8.7% cost of equity, 7.0% medium-term growth rate and 3% terminal growth rate.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART

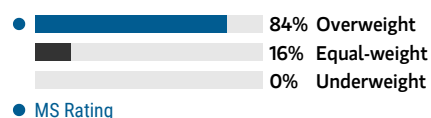


Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We think the market has still not fully priced in Wistron's Nvidia GPU (GB300, VR200, etc.) projects for US enterprise customers for CY26-28.
- We view Wistron Group as well positioned for AMD's MI455 Helios rack-scale solution, as they should be the OAM SMT partner to AMD.
- Networking business is also starting to grow, and is now no longer a drag on profitability.
- Our price target implies 11.8x 2027e P/E, which looks fair vs. the 3-year average of 11.3x given its AI growth potential.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*

Secular Growth: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

NT\$390.00

16.7x 2027e EPS

Much stronger-than-expected NB shipments and rising new product contributions: 1) Total sales rise at a 85-95% CAGR, 2025-28, with stronger AI growth driven by better ASP and demand, and AI reaching 65-70% revenue contribution by 2028. 2) AI-related revenue rises at a 130-140% CAGR, 2025-28. 3) Operating margin improves to ~5% by 2028, from ~3.6% in 2025.

BASE CASE

NT\$275.00

11.8x 2027e EPS

Total sales rise at a ~48% CAGR, 2025-28, driven by AI sales. AI-related revenue rises at a 90-100% CAGR, 2025-28, with contribution rising to 60-65% by 2028 from ~27% in 2025. Operating margin improves slightly to 3.7-3.8% by 2028 vs. ~3.6% in 2025 due to favorable mix (higher contributions from Wiwynn and new AI server customers).

BEAR CASE

NT\$144.00

6.2x 2027e EPS

Limited server growth, and NB deteriorates more than expected: 1) Total sales post just a 10-20% CAGR, 2025-28, with AI momentum slowing in 2026. 2) AI-related sales record just a 30-35% CAGR during the same period. 3) Operating margin decreases to just ~2.7% by 2028, from ~3.6% in 2025.

Risk Reward – Wistron Corporation (3231.TW)

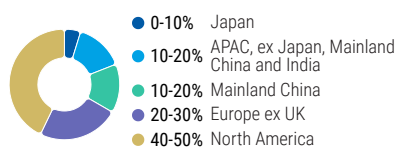
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
NB shipment y/y (%)	19.3	(12.9)	(0.1)	1.0
AI server revenue y/y (%)	642.4	217.1	64.1	41.6
NB OPM (%)	1.0	1.0	1.0	1.2
AI server OPM (%)	0.9	2.3	2.3	2.3

INVESTMENT DRIVERS

- AI server demand
- Notebook demand
- Server demand
- Switch demand

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected divestiture of consumer electronics business
- Stronger-than-expected NB demand
- Margin expansion from better product mix
- Faster-than-expected AI server penetration

RISKS TO DOWNSIDE

- Slower-than-expected divestiture of consumer electronics business
- Weaker-than-expected NB demand
- Margin contraction from sales shortfall and fierce competition
- Slower-than-expected AI server penetration

OWNERSHIP POSITIONING

Inst. Owners, % Active **58.8%**

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e

Sales / Revenue (NT\$, mn) **5,626,375**
4,285,249 **5,179,161** 7,829,279

EBITDA (NT\$, mn) **239,794**
145,351 **199,140** 276,633

Net income (NT\$, mn) **70,693**
47,212 **63,935** 100,791

EPS (NT\$) **23.32**
15.00 **19.76** 32.05

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Valuation Methodology and Risks

Wiwynn Corp (6669.TW)

Base case, derived from a residual income (RI) model. Key assumptions include a cost of equity of 7.0% (beta of 1.0, equity premium of 6% and risk-free rate of 1%), medium-term growth rate of 6%, and terminal growth rate of 3%.

Risks to Upside

- Accelerated demand pull-in from Meta, Microsoft, and Amazon
- Project wins from new customers
- Share gain
- Edge computing projects
- Accelerated AI server penetration

Risks to Downside

- Delayed data center builds from Meta, Microsoft, and Amazon
- Server demand slowdown
- Share loss
- Delayed AI server penetration

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Wistron Corporation (3231.TW) - As of 08/04/26 GMT in TWD
Industry : Greater China Technology Hardware



Wiiwynn Corp (6669.TW) - As of 08/04/26 GMT in TWD
Industry : Greater China Technology Hardware



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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/04/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$41.06
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb172.32
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$24.44
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.13
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb17.13
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb448.00
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$502.00
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb23.11
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.83
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb38.63
Largan Precision (3008.TW)	O (07/10/2026)	NT\$4,355.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb7.09
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.66
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb55.48
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.73
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$7.24
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb46.39
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$33.76
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb57.83
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$57.80
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb212.00
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb17.11
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$27.96
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb284.00
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$105.60
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb92.93
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb25.91
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb1,021.99
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$25.64
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb34.37
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,320.00
Advantech (2395.TW)	O (01/20/2021)	NT\$576.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,425.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,600.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$24.45
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$944.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,300.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.63
Chenbro (8210.TW)	O (07/23/2025)	NT\$1,150.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$1,925.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,620.00
E Ink Holdings Inc. (8069.TWO)	O (05/11/2026)	NT\$197.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$53.70
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,590.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$332.00
Innolux (3481.TW)	E (04/07/2025)	NT\$47.80
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$9,495.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb32.95
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$252.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.77
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.58

Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb182.52
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$29.05
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$806.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$181.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$37.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.28
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb59.93
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$332.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$897.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$250.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb74.14
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$1,965.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$25.16
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$2,010.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,045.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$88.40
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$300.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb112.23
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb332.54
Unimicron (3037.TW)	O (02/23/2026)	NT\$924.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$353.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$195.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$6,205.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$566.00
Zhen Ding (4958.TW)	O (05/18/2026)	NT\$444.00

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

HBM容量限制浮現 記憶體卸載重塑地端AI訓練伺服器供應鏈價值

2026/07/31-伺服器- 鍾易良



DIGITIMES觀察，GPU算力成長速度與HBM容量擴充速度呈現落差，地端模型訓練在特定情況下，將面臨記憶體不足情形。透過軟體資源池化或卸載記憶體等方法，可在不大幅增加GPU數量情形下，增加模型訓練時所需記憶體，進而降低地端AI訓練門檻，提高企業導入模型訓練的意願。

大型模型訓練的記憶體需求通常高於權重本身，部分高記憶體需求的工作負載率先受到HBM容量限制，形成企業建置AI訓練平台時的系統層級挑戰。半導體、高階製造、金融、醫療及政府等均屬於這類有擴充地端AI訓練平台需求的領域。

當既有GPU算力足夠，但HBM容量不足時，若僅透過新增GPU取得更多記憶體，往往必須同步增加伺服器、網路、電力及散熱等整體系統成本，未必符合企業投資效益。在此情況下，市場開始出現不同的記憶體容量擴充路徑，在不大幅增加GPU數量的前提下，提高單機或系統可使用的記憶體容量，以因應模型訓練需求。

軟體資源池化、記憶體卸載及CXL為地端AI訓練的三種擴充記憶體方案，三種方案改善問題及適用情境並不相同，包括軟體資源池化著重提升多節點GPU利用率、記憶體卸載聚焦突破HBM容量限制，以及CXL則代表共享記憶體架構的長期演進方向。記憶體卸載技術的興起，將重塑地端AI伺服器的產業價值分配結構，控制晶片業者、企業級SSD供應商及具備系統整合與驗證能力的OEM廠，正迎來全新的市場切入點與高附加價值機會。

企業AI訓練需求漸起 資料治理與設備利用率決定地端投資效益

企業是否建置地端AI訓練平台，主要取決於資料治理需求、模型自主程度及訓練工作的持續性。敏感資料與自主模型需求提高地端部署必要性，但專案式負載亦可能降低GPU利用率，因此企業須同時衡量部署必要性、設備利用率與長期投資效益。

■ 資料治理與模型自主需求驅動地端AI訓練部署

一般AI應用可透過公有雲快速部署，當涉及核心製程、金融交易、醫療病歷、政府或國防資料時，企業則較傾向保留於地端，以兼顧資料安全、法規遵循及模型控制權。

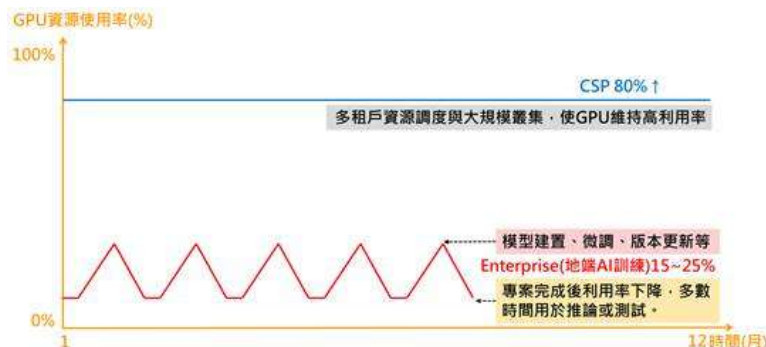
因此，地端AI訓練需求主要集中於半導體、高階製造、金融、醫療及政府等高度資料治理產業領域。地端部署並非取代公有雲，而是承接因資料治理、法規遵循或模型自主需求而不適合移至公有雲的AI訓練工作。近年企業AI部署逐漸朝依工作負載特性選擇部署模式(Fit-for-Purpose)發展，資料治理需求亦成為地端部署的重要考量。

■ 地端AI訓練呈專案式負載 設備利用率決定長期投資效益

雲端服務供應商(Cloud Service Provider；CSP)可利用多租戶及大規模資源調度維持較高GPU利用率；企業地端訓練則多集中於模型首次建置、資料更新、模型微調及版本迭代等特定階段。由於企業通常僅在新資料累積、模型效能調整或業務需求變動時啟動集中訓練，因此GPU使用呈現階段性高峰；專案完成後，設備多數時間則用於推論、測試或維持待命狀態，難以維持長期高負載。

Ownership；ICU)及投資回收期。只有當訓練需求具持續性且設備維持一定利用率時，地端平台才較可能形成長期成本優勢。

AI訓練工作下CSP與企業GPU資源利用率示意



註：本圖以AI訓練工作負載為例，不包含推論工作負載。

資料來源：DIGITIMES，2026/7

因此，企業開始重新評估地端AI訓練平台的投資效益，並思考如何在既有 GPU 架構下提升記憶體資源配置效率。

GPU算力成長快於HBM容量擴充 高記憶體需求驅動企業重新思考容量擴充方式

近年GPU算力持續提升，但高頻寬記憶體(High Bandwidth Memory；HBM)容量擴充速度不若GPU算力成長速度，使高記憶體需求工作負載率先受到容量限制。相較於CSP可藉由大規模GPU叢集分散負載，企業受限於採購規模及資本支出，難以持續透過增加GPU取得更多HBM容量，因此開始評估既有GPU架構下的記憶體容量擴充路徑。

■ GPU算力成長快於HBM容量擴充 大型模型訓練率先受限

自2017年NVIDIA V100演進至最新Blackwell架構B200，GPU FP16 Dense核心算力由125 TFLOPS提升至2,250 TFLOPS，約成長18倍；HBM容量則由32 GB增至180 GB，約成長5.6倍。由於GPU算力增幅明顯高於HBM容量增幅，單位HBM記憶體需承擔的運算密度(FLOPS-to-Byte Ratio)亦由3.9提升至12.5，反映GPU算力與記憶體容量的成長速度逐漸失衡。

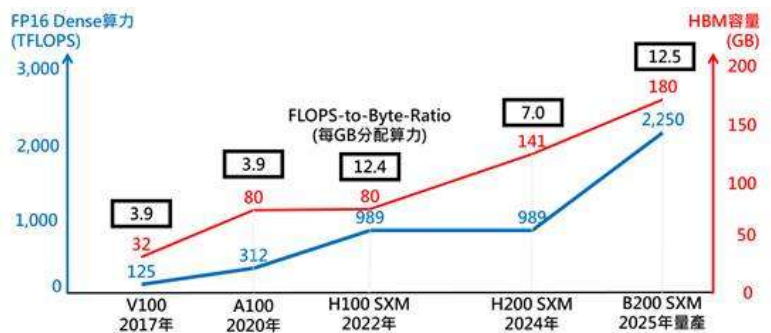
值得注意的是，NVIDIA於2024年推出H200時，在GPU Tensor Core規格與H100大致相同的情況下，主要將HBM容量由80 GB提升至141 GB。此一產品規畫顯示，在既有GPU架構下，HBM容量已逐漸成為大型模型訓練的重要設計考量。對於無法頻繁升級至最新GPU平台的地端企業而言，如何在既有GPU架構下提升可用記憶體容量，將成為大型模型訓練平台的重要評估方向。

大型模型訓練除權重(Weights)外，還需儲存梯度(Gradient)、優化器狀態(Optimizer State)及激活函數(Activation)。模型權重通常僅為訓練期間所需記憶體的一部分，梯度、優化器狀態及激活函數等中間資料亦需同步儲存在HBM，因此整體容量需求遠高於模型權重本身。當總需求超過GPU HBM，模型便無法完整載入或執行；一般推論及小模型則多可在既有架構下完成。

以70B模型採用FP16訓練為例，模型權重約需140 GB(70B×2 Bytes)記憶體。訓練過程需同步保存梯度，其容量通常與權重相當；若採用FP32儲存梯度則約為權重的2倍，因此約需140~280 GB。若採用Adam優化器，還需額外保存一階與二階動量，因此優化器狀態約280~560 GB；激活函數不具固定容量，其需求會隨模型深度、批

架構訓練大型模型，可能率先受到HBM容量限制。

近五代GPU FP16 Dense算力與HBM容量演進比較



註：1. H200主要提升HBM容量與頻寬，GPU Tensor Core規格與H100大致相同，因此FP16 Dense算力維持相近。

2.運算密度FLOPS-to-Byte Ratio等於FP16 Dense TFLOPS÷HBM容量(GB)。

資料來源：NVIDIA，DIGITIMES整理，2026/7

由於完整訓練所需記憶體通常遠高於單張GPU HBM容量，因此市場開始發展不同的外部記憶體容量擴充方案，以降低新增GPU的必要性。

70B模型完整訓練期間的記憶體需求結構(FP16訓練為例)



註：實際需求會隨模型架構、精度、序列長度與批次大小而變動。

資料來源：DIGITIMES，2026/7

增加GPU，可同步提高算力及HBM總容量，但也會增加伺服器、網路、電力及散熱支出。若企業主要缺口是記憶體容量，而非運算能力，持續增加GPU未必具成本效益。因此企業開始重新評估如何沿用既有GPU平台，以較低新增成本擴充可用記憶體容量，也促使市場逐步發展不同的記憶體容量擴充路徑。

三種記憶體擴充路徑改善不同瓶頸 設備條件與效能代價決定適用情境

企業若希望沿用既有GPU平台，目前主要可評估軟體資源池化、記憶體卸載及CXL記憶體擴充。三者改善的系統瓶頸不同，因此適用情境亦有所差異。

三種記憶體擴充路徑改善不同系統瓶頸

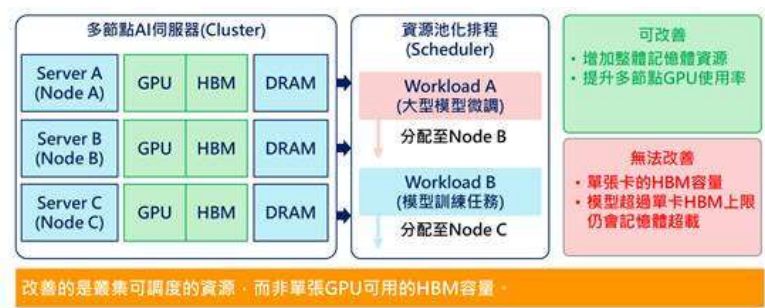
技術路徑	主要問題	擴充層級	主要代價
軟體資源池化	叢集GPU及記憶體利用不足	多節點叢集	網路同步與管理複雜度
記憶體卸載	單機GPU HBM不足	單機GPU伺服器	訓練時間增加
CXL記憶體池化	CPU側本地DRAM容量不足	平台與外部記憶體	AI訓練整合尚未成熟

資料來源：DIGITIMES，2026/7

軟體資源池化(如Nutanix AHV或MemVerge GPU Cluster Manager)本質上屬於叢集層級的資源排程與管理軟體，其透過叢集資源排程與工作負載管理，將多台伺服器間閒置的GPU與系統記憶體資源彈性配置給不同AI工作負載，以提高整體叢集設備利用率。

現有方案反映不同層級的資源調度能力，例如Nutanix的「AHV」平台搭配NVIDIA vGPU，可在既有HCI叢集中配置GPU至不同虛擬機，改善GPU與基礎設施資源利用率；MemVerge的「GPU Cluster Manager」則透過工作排程、GPU動態配置及工作負載暫停、恢復與遷移，提高叢集設備利用率。然而，上述方案改善的是叢集資源調度效率與工作負載配置能力，並未增加單張GPU可直接使用的HBM容量。當單一工作負載仍需完整載入單張GPU執行時，仍可能受到HBM容量限制。

AI叢集軟體資源池化之記憶體資源調度機制示意

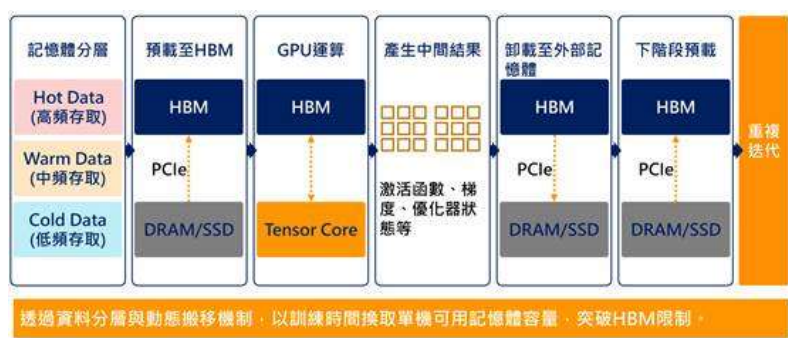


資料來源：DIGITIMES，2026/7

■ 「記憶體卸載」以訓練時間換取單機容量 商業化方案已逐步形成

記憶體卸載透過資料分層管理機制，將訓練資料依使用時點配置於HBM、DRAM及SSD。立即使用的資料保留於HBM，較晚使用的資料則移至DRAM或SSD，並於GPU運算前預取。GPU完成目前批次運算後，再由控制器依序搬移下一批資料至HBM，以維持模型訓練流程持續進行。

記憶體卸載訓練流程示意



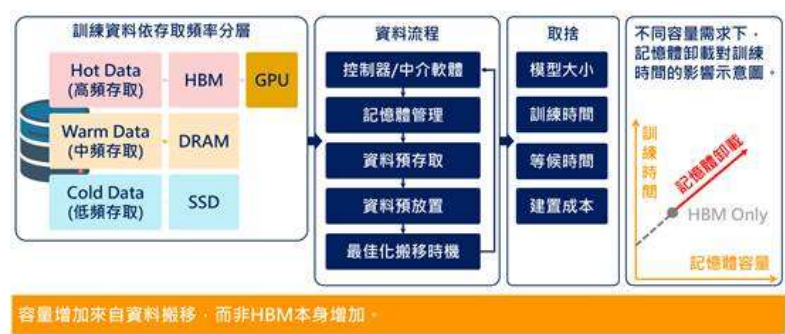
資料來源：DIGITIMES，2026/7

目前記憶體卸載已逐漸形成由儲存控制器、中介軟體、GPU平台及OEM系統整合所構成的商業交付鏈，其中，群聯電子aiDAPTIV+為目前較具代表性的商品化案例。儲存方案業者提供控制器、SSD及中介軟體(Middleware)，GPU平台提供驅動與訓練框架環境，OEM或系統整合業者則負責PCIe配置、韌體、散熱及工作負載驗證。

記憶體卸載可讓模型容量超過HBM，但外部記憶體的頻寬與延遲仍不如HBM。若資料無法及時搬回GPU，GPU必須等待資料搬移完成後才能繼續運算，導致訓練時間增加，而實際效能折損取決於模型架構、卸載資料類型、PCIe頻寬、SSD效能及排程效率。

高頻率訓練、低延遲或大量資料長時間駐留於HBM，則且接增GPU 資源仍可能是較適合的選項。

記憶體卸載資料存取流程及對訓練時間的影響



資料來源：DIGITIMES，2026/7

■ CXL擴充CPU側外部容量 導入成熟度仍待提升

CXL利用PCIe實體層連接處理器與外部記憶體設備，使伺服器可在本地DRAM外，增加可定址容量。Intel Xeon及AMD EPYC等CPU平台已支援CXL記憶體設備，Astera Labs等業者提供控制器，MemVerge等軟體則支援本地DRAM與CXL記憶體分層。相較於HBM容量受GPU封裝限制，CXL可提升CPU側可定址記憶體容量，增加大型資料集管理彈性，並為未來共享記憶體架構奠定基礎。

但目前CXL的案例主要集中於CPU側記憶體擴充、分層及部分AI推論。GPU、作業系統、CXL記憶體解耦 (Memory Disaggregation)與自動化動態分層排程的原生支援、PyTorch及DeepSpeed等主流訓練框架與整機平台尚未形成企業可直接部署的完整AI訓練方案。

CXL硬體生態正逐步建立，但仍屬中長期架構選項，目前CXL已具備硬體平台基礎，但GPU AI訓練軟體生態及整機驗證仍持續發展中。

■ CXL擴充CPU側外部容量 導入成熟度仍待提升

三種記憶體擴充方案皆以提升AI訓練平台可使用的記憶體資源為目標，但改善問題及適用情境並不相同。軟體資源池化著重提升多節點GPU利用率，記憶體卸載聚焦突破HBM容量限制，CXL則代表共享記憶體架構的長期演進方向。

已建置多節點叢集者，可優先提高既有資源利用率，單機HBM不足、但可接受訓練時間增加者，可評估記憶體卸載，而CXL則適合納入中長期平台規畫。

三種記憶體擴充方案主要差異

比較項目	軟體資源池化	記憶體池化	CXL記憶體
改善瓶頸	叢集利用率	單機HBM容量	CPU側外部容量
擴充層級	Cluster	Single Server	Platform
代表案例	Nutanix NVIDIA vGPU	群聯電子 aiDAPTIV+	英特爾、超微 CXL平台
主要代價	管理複雜度較高	訓練時間增加	生態與成熟度不足
近期成熟度	高	中高	中低
適用條件	已建GPU叢集	HBM不足且可容忍速度折損	中長期平台導入

資料來源：DIGITIMES，2026/7

記憶體卸載商業化帶動多方協作 導入模式將重新分配供應鏈價值

隨著記憶體卸載方案逐步商品化，企業導入AI訓練平台的方式，也由單純採購GPU，轉向評估完整平台整合、驗證及交付能力，進而帶動地端AI訓練伺服器供應鏈價值重新分配。

記憶體卸載由控制器、企業級SSD、中介軟體及系統驗證共同組成。以群聯電子aiDAPTIV+為例，儲存業者提供容量擴充方案，OEM或系統整合業者則負責硬體配置、相容性及工作負載驗證，使方案能在特定GPU平台部署。因此，儲存業者掌握控制器與資料管理能力，系統業者則透過平台整合及交付取得價值，兩者並非競爭同一環節。

由於記憶體卸載涉及控制器、SSD、GPU驅動、PCIe配置及工作負載驗證，單一業者難以獨立完成交付，因此方案商須透過OEM或系統整合商完成平台驗證，才能降低企業導入風險。

記憶體卸載生態系



資料來源：DIGITIMES，2026/7

■ 企業是否採用記憶體卸載方案 決定SSD生態新增價值

記憶體卸載可利用DRAM或SSD作為外部容量層，但現階段商品化方案多以企業級SSD作為容量媒介，並搭配控制器及資料管理軟體完成資料搬移與管理，因此，目前新增商業價值主要集中於SSD、控制器及相關軟體，而非DRAM元件本身。

企業級SSD可承接部分訓練資料，但並不取代HBM。只有當控制器與軟體能降低資料搬移造成的GPU等待，使整體訓練成本低於新增GPU資源的成本，企業級SSD搭配控制器及資料管理軟體後，才具備AI訓練容量層的商業價值。因此，企業級SSD的新增價值並非來自容量本身，而是在控制器、資料管理軟體及GPU平台協同運作下，於可接受的訓練時間內降低企業容量取得成本。

■ 企業導入模式不同 系統整合角色隨之改變

企業可在既有伺服器加裝記憶體卸載方案，延後新增GPU採購，亦可採購由OEM預先完成配置、驗證及交付的新機。

伺服器購買後，安裝的模式主要增加方案商與SSD業者收入，也可能延後企業升級或採購新伺服器；購買前，安裝模式則可為OEM帶來整合、驗證及售後服務收入。因此，OEM並非必然受益，其利益取決於方案最終採取既有設備後裝或新機預整合交付；然系統整合價值也並非來自單一硬體，而是來自平台驗證、部署效率及降低企業導入風險的能力。

企業導入模式影響方案交付方式



資料來源：DIGITIMES，2026/7

因此，記憶體卸載商業化並非改變GPU的核心地位，而是使AI訓練平台的新增價值由單一硬體規格，延伸至控制器、資料管理軟體、平台整合及系統驗證等能力。

結語

GPU算力成長快於HBM容量擴充，使大型模型微調、長文本及多模態等高記憶體需求工作負載更容易受到容量限制，也使企業重新評估AI訓練平台的投資方式。

軟體資源池化、記憶體卸載及CXL三種路徑改善的系統瓶頸、導入條件與效能代價並不相同，並不存在適用所有企業的單一最佳方案。隨著企業逐步導入外部容量方案，新增價值亦開始由單一GPU硬體規格，延伸至控制器、資料管理軟體、系統驗證及整機交付等系統整合能力。

然而後續仍須持續觀察GPU原生HBM容量演進、CXL軟硬體生態成熟速度，以及AI訓練框架與GPU平台對外部記憶體的支援程度，這些因素都可能改變不同記憶體擴充路徑的市場定位。

此外，企業AI訓練工作負載是否持續朝大型模型、多模態及長文本發展，以及資料治理需求是否持續推動地端部署，也將直接影響容量擴充需求與相關供應鏈價值分配；然而上述因素仍快速演變，亦將持續影響企業AI訓練平台的記憶體容量需求，以及不同記憶體擴充路徑的市場定位與供應鏈價值分配，值得後續持續觀察。



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非常不重要 5 非常重要

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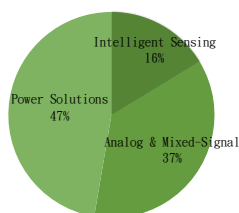
潛在漲幅	24.38%
前日收盤價(元)	80.4
目標價(元)	100.00
前次目標價(元)	-
前次評等	-

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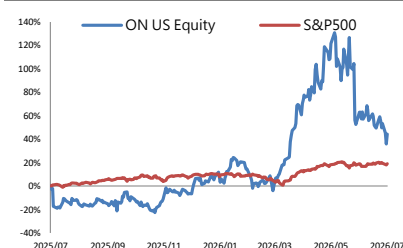
已發行股數(百萬股)	397
總市值(十億元)	24
本益比(TTM)	27.7
股價淨值比(LYR)	4.3
股息(元)	0
殖利率(%)	-
52週最高價	134.92
52週最低價	44.56
月均成交量(百萬股)	12.09

註：美元

產品別營收佔比(2025 年)



個股與指數走勢(%)



李曉昀

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IDM

Onsemi(ON)

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買進(Buy)

需求復甦訊號逐步明朗，AI 成長與營運槓桿支撐獲利上行

- 2Q26 財報優於預期，AI 需求帶動營收及產能利用率回升
- 3Q26 財測優於市場預期
- 交期拉長、通路庫存下降，需求復甦訊號逐步明朗

2Q26 財報優於預期，AI 需求帶動營收及產能利用率回升：2Q26 營收 16.04 億美元，季增 6%、年增 9%，優於財測中位數及市場預期。其中，汽車業務營收 7.81 億美元，季減 2%、年增 7%，主要受歐洲客戶季節性因素影響，惟中國市場維持強勁成長，目前公司認為出貨量已與終端實際需求一致；工業業務營收 4.23 億美元，年增 4%，主要受惠能源基礎設施、醫療及工廠自動化需求；其他營收 4.00 億美元，季增 34%，主要由 AI 資料中心業務強勁成長所帶動。毛利率季增 0.8 個百分點至 39.3%，主要受惠製造效率改善及產品組合優化，晶圓廠產能利用率亦由 1Q26 的 77% 進一步提升至 83%；營業利益率達 20.8%，季增 1.7 個百分點、年增 3.5 個百分點。Non-GAAP EPS 為 0.74 美元，季增 16%、年增 39%，優於市場預期 4%。

3Q26 財測優於市場預期：3Q26 財測 3Q26 營收中間值為 17.0 億美元，季增約 6%。按終端市場來看，汽車應用預期季增低個位數，工業應用持平，而包含 AI 資料中心在內的其他應用預期季增高十位數，為主要成長動能，公司並將 2026 年 AI 資料中心營收展望上調至翻倍以上。獲利方面，每提升 1% 的產能利用率，約可帶動毛利率改善 25-30bps，預期 3Q26 產能利用率持平至小幅上升，毛利率指引為 40.0%-42.0%，中間值季增 1.7 個百分點，高於市場預期的 40.3%，主要受惠產能利用率回升及 Fab Right 策略持續改善製造效率；EPS 指引中間值為 0.87 美元，季增 18%，也高於市場預期的 0.84 美元。

交期拉長、通路庫存下降，需求復甦訊號逐步明朗：AI 資料中心需求持續強勁，搭配產能利用率回升及產品組合改善，將帶動營運槓桿釋放並推升獲利，且產品出貨可直接進入終端及基礎建設，庫存風險低；汽車市場雖尚未出現明顯補庫存，但受惠單車內容價值提升，需求維持穩健。通路庫存由 1Q26 的 10.8 週降至 2Q26 的 10.1 週，交期則由 26 週延長至約 32 週，顯示需求逐步改善。面對原材料成本上升，公司已啟動第二輪調價，預期效益將於未來數季逐步反映。估值方面，公司過去三年本益比區間為 11-38 倍，平均約 18 倍，目前股價對應 2027 年預估 EPS 約 16 倍，考量 AI 資料中心成長及獲利改善空間，我們給予 2027 年 20 倍本益比，目標價 100 美元，給予買進評等。

風險因子：工業復甦不如預期、中國市場競爭加劇。

(百萬，美元)	2025	2026(E)	2027(E)	2Q26	3Q26(E)	4Q26(E)	1Q27(E)	2Q27(E)	3Q27(E)
營業收入	5,995	6,629	7,642	1,604	1,703	1,809	1,798	1,834	1,944
營業毛利	2,305	2,714	3,616	631	712	788	811	847	928
營業利益	1,120	1,505	2,331	334	401	480	490	522	615
稅後純益	966	1,309	1,950	294	348	414	367	449	529
稀釋後 EPS(元)	2.35	3.32	4.99	0.74	0.88	1.06	0.93	1.14	1.36
毛利率	38.4%	40.9%	47.3%	39.3%	41.8%	43.5%	45.1%	46.2%	47.7%
營業利益率	18.7%	22.7%	30.5%	20.8%	23.6%	26.6%	27.3%	28.5%	31.6%
稅前純益率	16.1%	19.7%	25.5%	18.3%	20.4%	22.9%	20.4%	24.5%	27.2%
ROE	77.2%	55.0%	36.2%	37.6%	11.0%	11.9%	8.9%	9.3%	9.2%
營業收入 YoY	8.4%	34.2%	31.3%	57.2%	21.7%	17.6%	25.7%	30.4%	35.1%
稅前純益 YoY	20.6%	33.5%	-3.5%	19.9%	28.1%	13.7%	10.7%	-30.1%	10.6%

*資料來源: Bloomberg，中信投顧預估整理

*上述財報為Non-GAAP制

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圖表一：2Q26 財報結果

	2Q26實際	市場預期	差異	公司指引
營收(USD \$mn)	1,604	1,587	1%	1,535-1,635
毛利率	39.3%	39.0%	+0.3ppts	38-40%
營業利益率	20.8%	20.5%	+0.3ppts	-
Non-GAAP EPS	0.74	0.71	4%	0.65-0.77

資料來源：公司資料、中信投顧整理

圖表二：2Q26 各部門表現與市場預估差異

營收(USD \$mn)	2Q26實際	市場預期	差異
Power Solutions Group	829	778	7%
Analog & Mixed-Signal Group	546	565	-3%
Intelligent Sensing Group	229	243	-6%
毛利率			
Power Solutions Group	27.8%	27.7%	+0ppts
Analog & Mixed-Signal Group	53.4%	52.0%	+1ppts
Intelligent Sensing Group	41.4%	39.9%	+2ppts

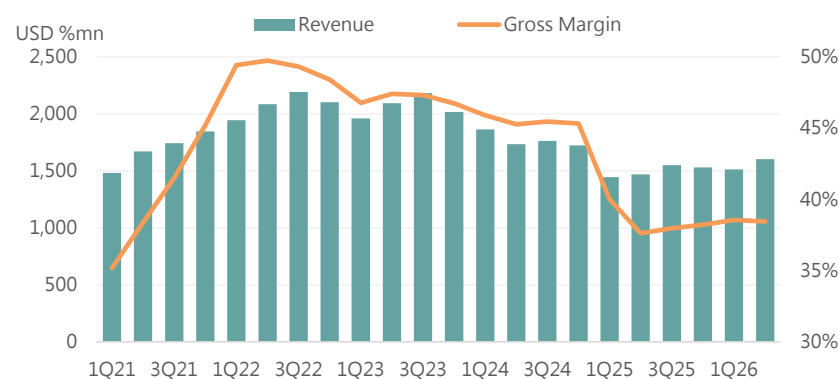
資料來源：公司資料、中信投顧整理

圖表三：2Q26 終端表現與市場預估差異

營收(USD \$mn)	2Q26實際	占比	QoQ	市場預期	差異
Automotive	781	49%	-2%	800	-2%
Industrial	423	26%	1%	442	-4%
Others	400	25%	34%	346	15%

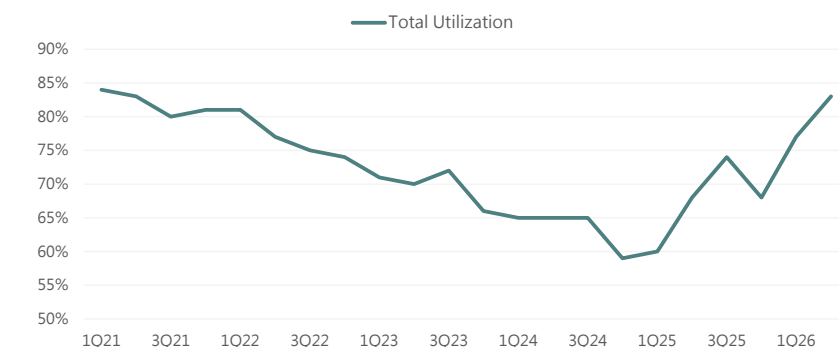
資料來源：公司資料、中信投顧整理

圖表四：近五年獲利趨勢



資料來源：公司資料、中信投顧整理

圖表五：2Q26 產能利用率回升至 83%

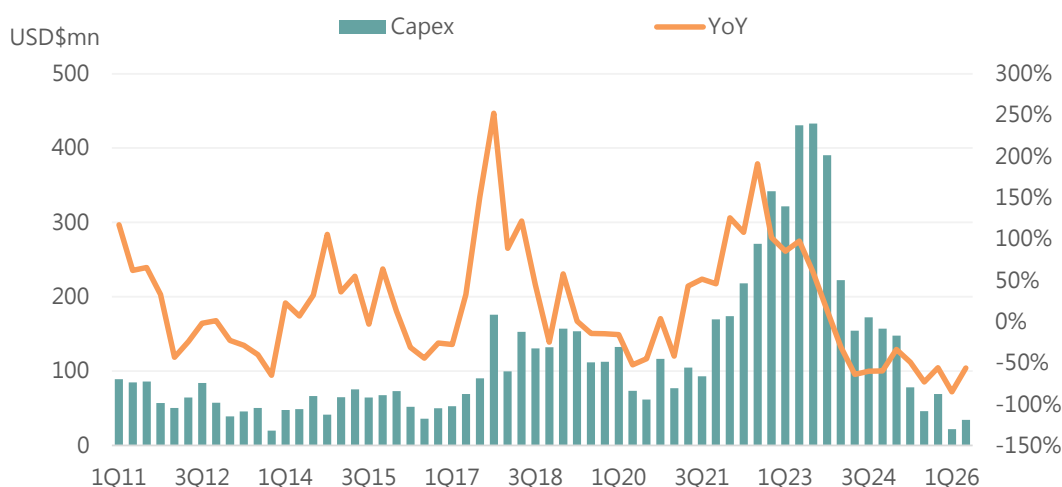


資料來源：公司資料、中信投顧整理

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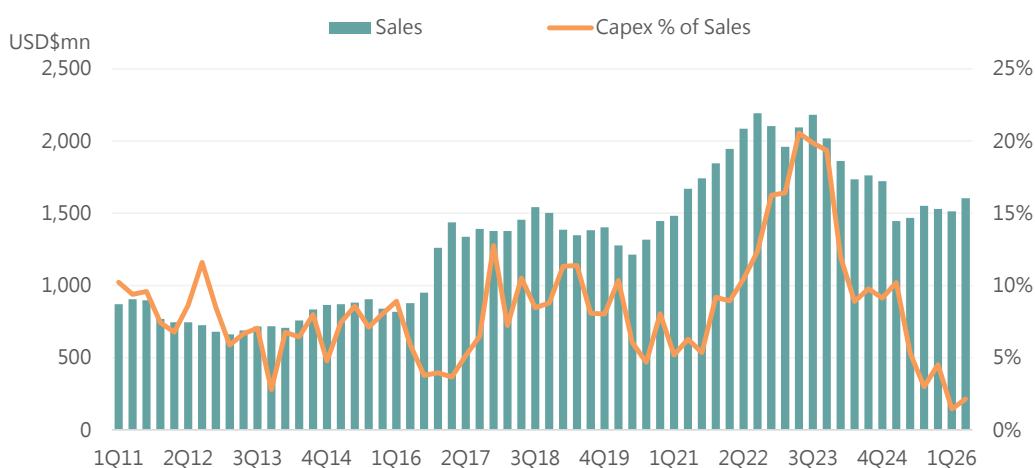
資本支出維持低檔，現階段以提升既有產能利用率為主：2Q26 資本支出為 3,430 萬美元，約占營收 2%，預期 3Q26 將增加至 4,000–5,000 萬美元，2026 年全年資本支出占營收比重則低於 5%，低於過去長期中個位數百分比的資本密集度。管理層表示，公司過去 2–3 年已完成主要產能投資，目前重點轉向提升既有產能利用率，而非大幅擴充新產能；現有產能仍充足，在產能利用率達 90% 前，營收仍可再成長約 25%–30%，因此短期內(包括 2027 年在內)，無需大幅提高資本支出，現階段資本支出主要以維護性支出為主。此外，公司透過 Fab Right 策略精簡製造網路、退出低效率產能，有助於提高整體製造效率及資本使用效率。

圖表六：資本支出連 10 季年減



資料來源：公司資料、中信投顧整理

圖表七：資本支出佔營收比重低於 5%



資料來源：公司資料、中信投顧整理

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圖表八：季度財報與預估差異

損益表 (單位：百萬元)	2Q26					3Q26(F)				
	實際數	中信預估	差異	市場共識	差異	調整後	調整前	差異	市場共識	差異
營業收入	1,604	-	-	1,587	1.0%	1,703	-	-	1,669	2.0%
營業毛利	631	-	-	620	1.8%	712	-	-	673	5.9%
營業利益	401	-	-	326	23.2%	480	-	-	380	26.4%
稅前純益	346	-	-	331	4.6%	413	-	-	385	7.5%
稅後淨利	294	-	-	281	4.5%	348	-	-	326	6.6%
EPS(元)	0.74	-	-	0.71	3.9%	0.88	-	-	0.84	5.6%
財務比率(%/百分點)										
毛利率	39.3%	-	-	39.0%	0.3 ppts	41.8%	-	-	40.3%	1.5 ppts
營益率	25.0%	-	-	20.5%	4.5 ppts	28.2%	-	-	22.8%	5.4 ppts
稅後淨利率	18.3%	-	-	17.7%	0.6 ppts	20.4%	-	-	19.5%	0.9 ppts

資料來源：公司資料、中信投顧整理

圖表九：年度財報與預估差異

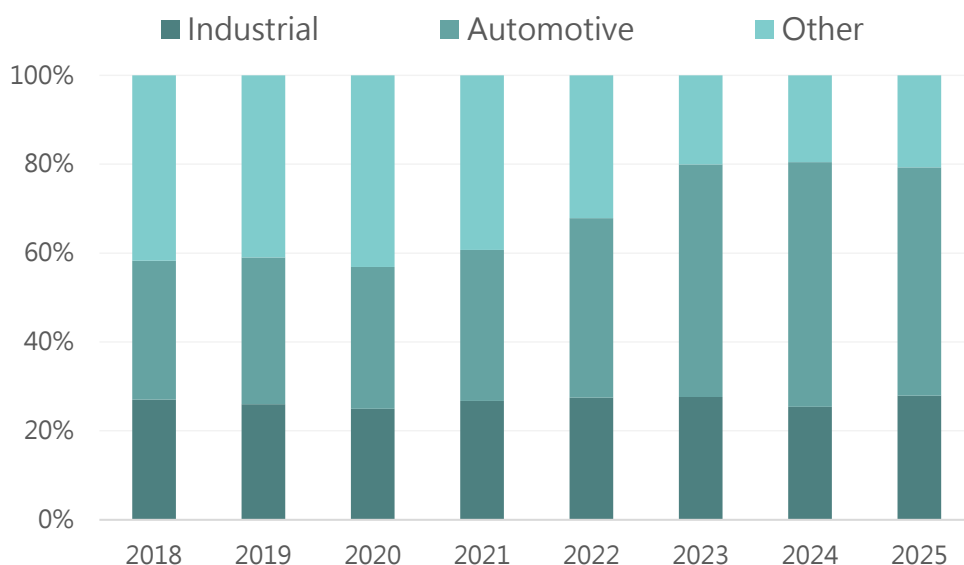
損益表 (單位：百萬元)	2026(F)					2027(F)				
	調整後	調整前	差異	市場共識	差異	調整後	調整前	差異	市場共識	差異
營業收入	6,629	-	-	6,483	2.3%	7,642	-	-	7,213	5.9%
營業毛利	2,714	-	-	2,591	4.8%	3,616	-	-	3,155	14.6%
營業利益	1,505	-	-	1,409	6.8%	2,331	-	-	1,933	20.6%
稅前純益	1,551	-	-	1,435	8.1%	2,367	-	-	1,975	19.9%
稅後淨利	1,309	-	-	1,217	7.5%	1,950	-	-	1,659	17.5%
EPS(元)	3.32	-	-	3.12	6.5%	4.99	-	-	4.34	14.9%
財務比率(%/百分點)										
毛利率	40.9%	-	-	40.0%	1.0 ppts	47.3%	-	-	43.7%	3.6 ppts
營益率	22.7%	-	-	21.7%	1.0 ppts	30.5%	-	-	26.8%	3.7 ppts
稅後淨利率	19.7%	-	-	18.8%	1.0 ppts	25.5%	-	-	23.0%	2.5 ppts

資料來源：公司資料、中信投顧整理

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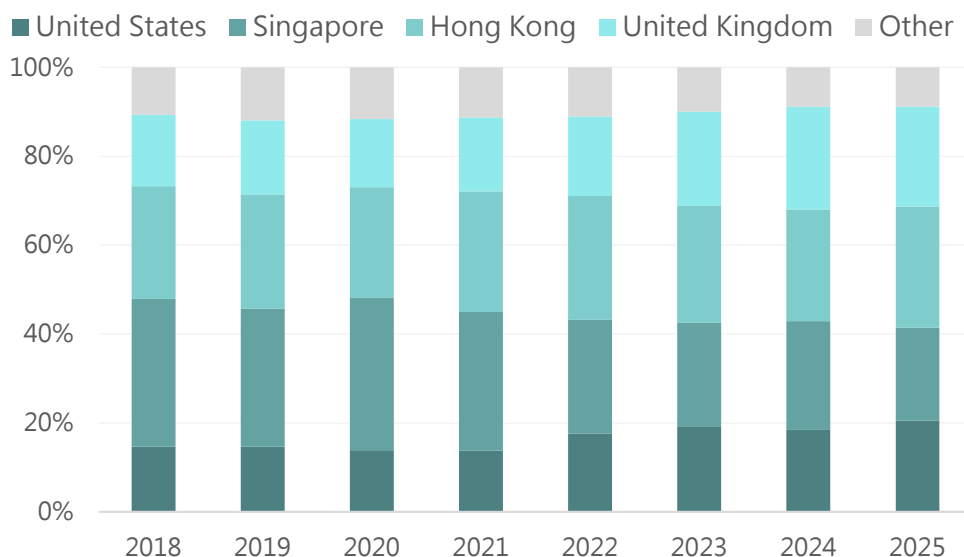
公司簡介：Onsemi(安森美)成立於 1999 年，為全球領先的智慧電源與感測技術解決方案供應商，主要業務涵蓋電源方案(PSG)、類比與混合訊號(AMG)及智慧感測(ISG)三大部門，其中 PSG 為最大營收來源，約占整體營收 47%。終端以汽車與工業市場為核心，兩者合計占營收近八成，汽車產品涵蓋 EV 動力傳動系統、EliteSiC 碳化矽、ADAS 及車用影像感測器，工業與能源應用則聚焦於太陽能、儲能系統、直流快充及工廠自動化等領域。此外，公司亦積極拓展 AI 資料中心電源管理與人形機器人感測等新興應用，並持續投入垂直氮化鎵(Vertical GaN)技術開發，透過高效率、高功率密度的技術優勢，掌握能源轉型、AI 及自動化等長期成長趨勢。

圖表七、Onsemi 終端市場



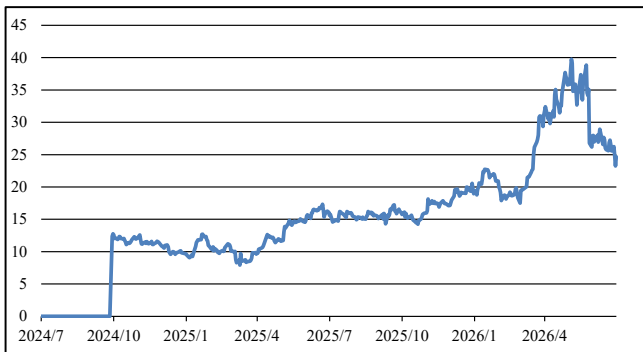
資料來源：公司資料、中信投顧整理

圖表八、Onsemi 營收地區佔比



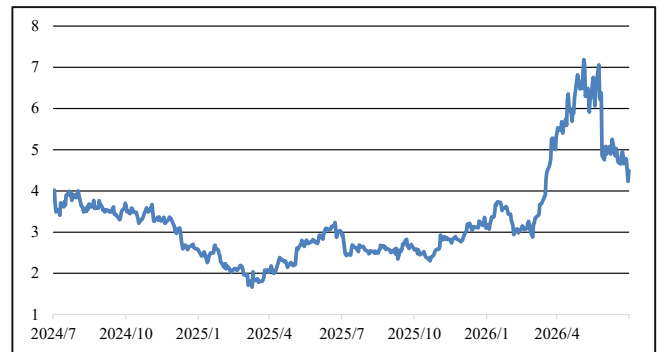
資料來源：公司資料、中信投顧整理

PER Band



資料來源：Bloomberg，中信投顧整理

PBR Band



投資評等說明

個股評等	Rating	定義
買進	Buy (B)	相較於市場指數之回報潛力極具吸引力
增加持股	Overweight (OW)	相較於市場指數之回報潛力略有吸引力
中立	Neutral (N)	相較於市場指數之回報潛力相似
降低持股	Underweight (UW)	相較於市場指數之回報潛力稍低
賣出	Sell (S)	相較於市場指數之回報潛力較低
未評等	Not Rated (NR)	

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